BUSINESS & ENTREPRENEURSHIP (INDIA)

Startup Funding & Equity in India

Cap tables, dilution arithmetic, CCPS and iSAFE instruments, Indian term sheets clause by clause, FEMA and FC-GPR filings, ESOP taxation, government schemes and exits — a practitioner's manual for Indian founders.

india · startup · funding · venture-capital · cap-table · equity · esop · term-sheet · valuation · dilution · ccps · fema · fc-gpr · due-diligence · angel-investing · exits

Study Pack · Comprehensive reference & interview prep · ~177 min read · 39,023 words

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How to Use This Guide

This is a working manual on startup equity and fundraising for an Indian software engineer who has — or is about to have — a company. It covers the arithmetic of cap tables, the instruments Indian investors actually use, the clauses in an Indian term sheet and what is market on each, the FEMA filings that will blow up your diligence if you skipped them, ESOPs end to end with the tax worked out, the non-dilutive money most founders never apply for, and the exits. Every number is worked. Every form is named. Every portal is named.

This is educational material, not legal, tax or investment advice

Securities law, exchange control and tax law in India are statutory, fact-specific and change with every Budget, every RBI Master Direction amendment and every MCA notification. Nothing here is advice on your facts. Before you sign a term sheet, issue a single share, grant an ESOP, accept foreign money, or claim a tax benefit, engage a qualified Company Secretary (CS), Chartered Accountant (CA) and a corporate lawyer, and have them confirm the current position for your situation. Every rate, threshold, fee, form number, due date and scheme limit in this guide is stated as at **FY 2025-26 / early 2026** and **must be re-verified** against the official portal before you act on it.

⚠ **Five changes are in flight right now — verify current status before relying on anything here**

(1) Income-tax Act, 2025 is scheduled to replace the Income-tax Act, 1961 with effect from **1 April 2026**, introducing a unified **"tax year"** concept in place of the "previous year" / "assessment year" pair. Section numbers in this guide follow the 1961 Act (80-IAC, 56(2)(viib), 79, 54GB, 192(1C), 62(1)(b) of the Companies Act is unaffected). Map every section reference before relying on it — **incometax.gov.in**. **(2) Angel tax under Section 56(2)(viib)** was abolished for **all classes of investors** with effect from **AY 2025-26** (Finance (No. 2) Act, 2024). Much online material still describes the old regime and the old DPIIT exemption mechanics. Confirm the current position before pricing a round on a "valuation report required for angel tax" assumption. **(3) The four Labour Codes** were brought into force from **late 2025**, but state rules are still landing. This matters to funding only indirectly — through diligence on payroll liabilities and gratuity provisioning — but it does matter. **(4) The DPDP Act 2023 Rules** were notified in **late 2025** with phased compliance deadlines. Technical and legal diligence now asks about this. **(5) Revised MSME investment and turnover limits** took effect **1 April 2025**, changing who qualifies for MSME-linked credit schemes including CGTMSE. Treat all five as "verify current status" items.

Official sources — bookmark these, trust nothing else

Portal	Authoritative for	You will use it for
mca.gov.in	Ministry of Corporate Affairs — Companies Act 2013	PAS-3 return of allotment, MGT-14, SH-7, DIR-12, charge filings, master data a diligence lawyer will pull on you
rbi.org.in → FIRMS portal (**firms.rbi.org.in**)	Reserve Bank of India — FEMA, NDI Rules 2019	Entity Master Form, FC-GPR, FC-TRS, downstream investment (Form DI), LLP-I/LLP-II
dpiit.gov.in	Dept. for Promotion of Industry and Internal Trade	Consolidated FDI Policy, Press Note 3 (2020), startup definition notifications
startupindia.gov.in	DPIIT Startup India	DPIIT recognition, Section 80-IAC application to the Inter-Ministerial Board, SISFS, scheme directory
incometax.gov.in	Income Tax Department / CBDT	ITR-6, Form 3CEB if related-party cross-border, capital gains, TDS on perquisite
sidbi.in and **sidbivcf.in**	Small Industries Development Bank of India	Fund of Funds for Startups (FFS), SIDBI direct loan products, CGSS operation
sebi.gov.in	Securities and Exchange Board of India	AIF Regulations 2012 (who your investor legally is), ICDR Regulations (IPO), SME platform rules
ibbi.gov.in	Insolvency and Bankruptcy Board of India	Registered Valuer directory — you need one for Rule 11UA / Section 62 valuations
bseindia.com / **nseindia.com**	Stock exchanges	BSE SME and NSE Emerge listing criteria
meity.gov.in, **birac.nic.in**, **nidhi.dst.gov.in**	MeitY, BIRAC, DST	TIDE 2.0, GENESIS, BIG grants, NIDHI-PRAYAS / NIDHI-SSS, iDEX

How to read the worked numbers

Every rupee figure is written in Indian numbering with the plain numeric equivalent in brackets on first use — ₹1 crore (₹10,000,000), ₹25 lakh (₹2,500,000). Cap table arithmetic is shown to the share, because that is how it is actually done; rounding errors in a cap table become legal problems at the next round. Where a worked example uses a percentage, it is computed on the **fully diluted** base unless explicitly stated otherwise.

Should You Raise At All?

Venture capital is not funding. It is the sale of a controlling interest in your future, in instalments, to people who are legally obliged to return 3–5x their fund to their own investors inside ten years. That obligation is the single fact that explains every term in a term sheet and every board conversation you will have for the next decade. If your business cannot plausibly return a fund, taking venture money is not ambitious — it is a category error that will end in a forced sale or a wind-down.

What a venture fund actually is

An Indian VC fund is usually registered with SEBI as a **Category I or Category II Alternative Investment Fund (AIF)** under the SEBI (Alternative Investment Funds) Regulations, 2012. It raises capital from Limited Partners (LPs) — family offices, HNIs, fund-of-funds including SIDBI's FFS, insurance companies, sovereign funds. It has a fixed life, usually **10 years with two one-year extensions**. It charges roughly **2% a year in management fees** and takes **20% of profits (carry)** above a hurdle. The economics are brutal and they are not negotiable by you.

TEXT

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WHY YOUR VC NEEDS A 50x OUTCOME FROM SOMEBODY

Fund size                                        Rs 500 crore  (5,000,000,000)
Management fee: 2% x 10 years                    Rs 100 crore  (deployed capital falls)
Capital actually deployed into companies         Rs 400 crore

LP expectation for a "good" fund                 3x net of fees
Gross proceeds required                          Rs 1,500 crore + carry gross-up
                                                 ~ Rs 1,875 crore gross


Portfolio of 25 companies, typical outcomes:
   12 go to zero                                 Rs      0
    8 return roughly capital (1x)                Rs    128 crore   (8 x 16cr)
    4 return 3x                                  Rs    192 crore
    1 must return the rest                       Rs  1,555 crore
                                                 ____________________
                                                 Rs  1,875 crore

That ONE company, from a Rs 16 crore cheque, must return Rs 1,555 crore.
That is a ~97x on that cheque. Every partner in every meeting is
screening for whether YOU are that company. Not whether you are good.
Not whether you are profitable. Whether you can be 97x.
```

⚠ **The consequence founders underestimate**

Once you have taken institutional venture money, a ₹200 crore (₹2,000,000,000) acquisition offer that would make you personally wealthy can be **blocked** by a single investor exercising a reserved matter, because it does not move their fund. That is not bad faith. It is the contract you signed. Read Section 9 of this guide (*protective provisions*) before you sign one.

The three financing models, honestly compared

Dimension	Bootstrapped	Venture-backed	Revenue-financed / debt
Source of cash	Customer revenue, founder savings, services income	Equity sold to funds and angels	Future revenue sold at a discount, or a loan
Dilution	Zero	60–85% across four rounds is normal	Zero (warrants sometimes, 0.5–2%)
Cost of capital	Opportunity cost only	Catastrophic if you succeed; free if you fail	14–24% effective annualised in India
Who decides strategy	You	You, subject to reserved matters and a board	You, subject to covenants
Exit required?	No	Yes — contractually, usually within 5–7 years	No — just repay
Speed to decision	Immediate	3–6 months per round	1–4 weeks after first underwriting
Failure mode	Slow growth, founder burnout, competitor outspends you	Forced into a scale you cannot support; down round; wipeout by liquidation preference	Repayment squeezes working capital during a bad quarter
Best fit	Services, niche B2B SaaS, tools, agencies, infra products with slow compounding	Winner-take-most markets, network effects, heavy upfront R&D, land-grab categories	Predictable recurring revenue, profitable or near it, clear use of funds
Typical Indian example	Zoho (famously), many ₹5–50 crore ARR dev shops and SaaS tools	Marketplaces, fintech, consumer, deep-tech	D2C brands, established SaaS, agencies with AR gaps

What raising commits you to — the explicit list

- ☐ A board of directors that meets at least quarterly, with a pack circulated in advance and minutes recorded under Section 118 of the Companies Act, 2013.
- ☐ Monthly or quarterly MIS to investors, on a deadline, forever.

- ☐ Reserved matters: a defined list of decisions you cannot take without investor consent — new debt, new hires above a salary band, budget approval, any new share issue, any acquisition, any change in business.
- ☐ An annual statutory audit plus, usually, an investor-mandated audit firm from an approved list (often a Big 4 or a next-tier firm), which costs multiples of your current audit.
- ☐ Founder vesting that restarts or re-cuts at the round — you will re-earn equity you thought you owned.
- ☐ Lock-in: you cannot sell your own shares without consent, often until a liquidity event.
- ☐ An exit obligation: a clause requiring the company and founders to use best efforts to provide an exit to the investor within 5–7 years, sometimes with a buyback or drag-along fallback.
- ☐ A permanent asymmetry: the investor has downside protection (liquidation preference) and you do not.
- ☐ Growth expectations set by the round, not by the market — a ₹8 crore seed at ₹40 crore post means the Series A needs ₹150–250 crore of value, which means roughly 3x revenue growth in 18 months.

Businesses that should almost never raise institutional VC

SERVICES AND CONSULTING FIRMS

Revenue scales linearly with headcount. Gross margins cap at 35–55%. There is no multiple expansion. A ₹20 crore (₹200,000,000) revenue dev shop at 15% net margin is a superb life and an unfundable asset. Fund it from retained earnings and a working capital line.

SINGLE-MARKET NICHE TOOLS

A ₹3–15 crore ARR ceiling is a great outcome for you and a rounding error for a fund. Taking ₹10 crore at a ₹60 crore valuation means you must now reach ₹300 crore+ or deliver nothing.

LIFESTYLE-OPTIMISED BUSINESSES

If "I want to work four days a week and take August off" is a non-negotiable, do not sell 20% of your company to people whose entire model assumes you will not.

LOW-DEFENSIBILITY ARBITRAGE

Reselling someone else's API with a UI on top. Capital accelerates the copying, not the moat.

BUSINESSES ALREADY PROFITABLE AND GROWING 30–50%

If you are compounding at 40% on retained earnings, equity is the most expensive capital available to you. Venture debt or revenue-based financing at 16–20% is cheaper than selling equity that will be worth 10x in four years.

PRE-PRODUCT, PRE-CUSTOMER, PRE-INSIGHT

Raising before you have evidence sets a valuation you will spend two years trying to grow into. A ₹30 crore pre-seed with no revenue is a trap, not a trophy.

✦ **The honest self-test**

Write down your realistic best case: revenue in year 7, gross margin, and the exit multiple paid for comparable Indian companies in your category. Multiply. If the answer is under ₹500 crore (₹5,000,000,000), institutional VC is a poor fit regardless of how good the business is. Angels and micro-VCs can still work — their fund math tolerates ₹100–300 crore outcomes. Match the capital to the ceiling.

The middle paths most Indian founders ignore

Path	How it works	Realistic cost	When it fits
Services-funded product	Run a consulting arm at 20–30% net margin; fund product development from it. Many Indian SaaS companies did this for 2–4 years.	Focus. Your best engineers get pulled into client work every quarter.	You have billable skills and a product thesis you cannot yet prove
Customer-funded development	Charge a design partner for a bespoke build, retain the IP, generalise it into a product. Contract must say you own the IP.	Slower, and the first customer's edge cases distort the roadmap.	Enterprise B2B with a painful, expensive problem
Grant-funded R&D	BIRAC BIG, MeitY TIDE 2.0, NIDHI-PRAYAS, state innovation grants. ₹5–50 lakh, non-dilutive.	Paperwork, milestones, utilisation certificates, slow disbursal.	Deep-tech, biotech, hardware, genuinely novel technology
Revenue-based financing	GetVantage, Velocity, Klub advance 2–6x of monthly revenue; you repay 5–12% of monthly revenue until a fixed multiple (1.1–1.3x) is paid.	Effective 15–30% annualised depending on repayment speed.	Predictable recurring revenue, marketing or inventory spend with measurable payback
Venture debt	Trifecta, Alteria, Stride, InnoVen. ₹2–50 crore, 14–18% coupon, 1–2% warrants, 24–36 month tenor.	Interest plus warrants plus covenants; usually requires a recent equity round.	Extending runway between rounds, funding a known-ROI expansion
Supplier and customer float	Annual prepaid contracts with a 15–20% discount; 60-day vendor terms. This is free capital.	Discount given up; obligation to deliver 12 months of service.	Any SaaS or retainer business — the most underused capital source in India

⚠ **As at FY 2025-26 — verify**

Scheme names, limits and the lenders named above change. Verify grant limits at **birac.nic.in**, **meity.gov.in** and **startupindia.gov.in**; verify the AIF categories and investor eligibility at **sebi.gov.in**. Interest rates and advance multiples quoted by private lenders are indicative market ranges in early 2026, not quotes.

The Indian Funding Ladder

Indian startup funding has a reasonably well-defined ladder with recognisable cheque sizes, dilution bands and evidence requirements at each rung. Knowing which rung you are on prevents the two most common mistakes: pitching a seed deck to a Series A fund (and getting a polite pass that poisons the relationship), and raising too much too early at a valuation you cannot grow into.

₹25 lakh
MINIMUM CONVERTIBLE NOTE TRANCHE

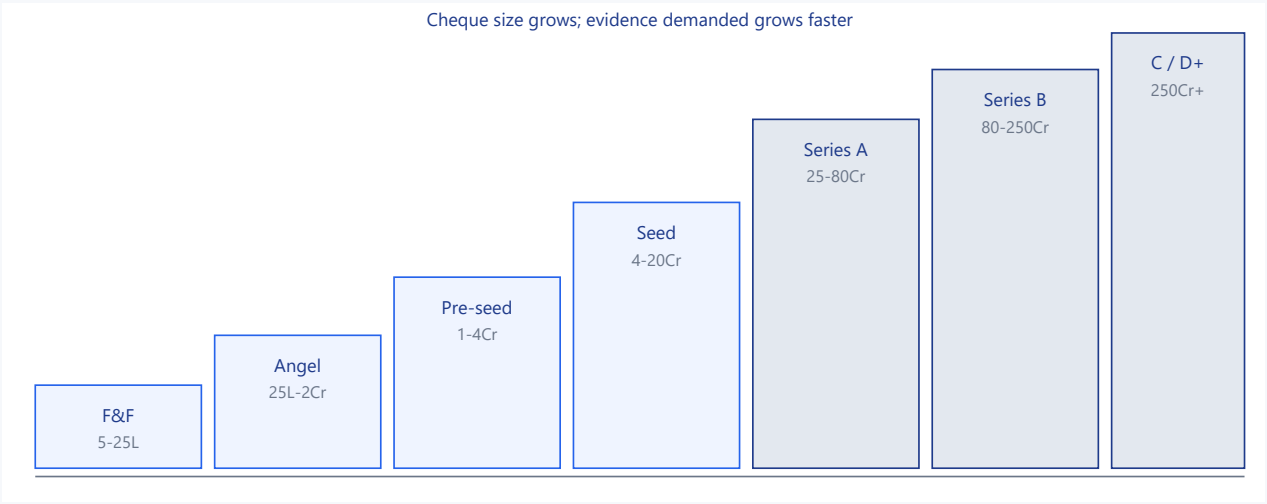
30 days
FC-GPR DEADLINE FROM ALLOTMENT

60 days
SEC. 42 ALLOTMENT DEADLINE

15–22%
TARGET DILUTION PER ROUND

9 months
START RAISING BEFORE CASH-OUT





The Indian funding ladder — indicative cheque bands in rupees, early 2026. Bands overlap heavily in practice.

Rung by rung — cheque, dilution, and what you must prove

Stage	Typical cheque	Post-money band	Dilution	What you must have	In
Friends & family	₹5–25 lakh (500,000–2,500,000)	₹1–5 crore	2–10%	A relationship and a plan. Nothing else.	Ec pa pr sc lo
Angel (individual)	₹5–50 lakh	₹3–15 crore	1–5% each	Working prototype, founder credibility, early users	C(cc (if re iS
Angel network / syndicate	₹50 lakh–₹3 crore	₹5–30 crore	8–20%	Demo, 3–10 paying customers or strong usage, a deck that survives 40 questions	C(
Accelerator	₹20 lakh–₹2 crore	₹2–25 crore	5–15% (often fixed)	Team + idea + some signal; the programme is the product	Ec SA cc
Micro-VC / pre-seed fund	₹1–5 crore	₹8–40 crore	8–20%	Early revenue (₹5–50 lakh ARR) or exceptional usage metrics	C(
Seed (institutional)	₹4–20 crore	₹25–120 crore	12–25%	₹50 lakh–₹3 crore ARR, retention data, a repeatable channel	C(te
Series A	₹25–80 crore	₹120–500 crore	15–25%	₹8–30 crore ARR, 100%+ YoY growth, NRR >	C(bc

				100% for SaaS, unit economics	
Series B	₹80–250 crore	₹400–1,500 crore	12–20%	₹35–120 crore ARR, multi-channel GTM, management team in place	C(
Series C/D	₹250 crore+	₹1,500 crore+	8–15%	Market leadership, path to profitability, often international expansion	C(sc st
Growth / pre-IPO	₹500 crore+	₹4,000 crore+	5–12%	Audited history, governance, IPO-ready reporting	C(se cc

⚠ **Indicative market data, early 2026 — not a benchmark you can quote**

These bands are compiled from publicly reported Indian rounds and vary enormously by sector (fintech and AI command premiums; D2C does not), by city, and by the funding cycle. There is no official source for valuation bands. Do not take a term sheet to a lawyer saying "the guide said ₹120 crore is market for Series A".

Who is actually active in India

ANGEL NETWORKS AND SYNDICATE PLATFORMS

Platform	Model	Typical round	What to know
Indian Angel Network (IAN)	Member network + IAN Fund (SEBI-registered AIF)	₹50 lakh–₹5 crore	Oldest and largest; structured screening, due diligence committee, a lead member who champions you. Process takes 8–14 weeks.
Mumbai Angels	Network + platform	₹50 lakh–₹4 crore	Strong Mumbai/Bengaluru base, active in consumer and B2B; charges a facilitation fee.
LetsVenture	Online syndicate platform; AngelList-style	₹50 lakh–₹8 crore	Lead investor forms a syndicate; good for aggregating many small cheques into one entity on the cap table (a key cap-table hygiene benefit).
AngelList India	Syndicates and rolling funds	₹25 lakh–₹5 crore	Fast, lead-driven, SPV sits on your cap table as one line. Check the SPV's domicile for FEMA implications.
Chennai Angels, Hyderabad Angels, Calcutta Angels, Lead Angels	Regional networks	₹25 lakh–₹2 crore	Underrated. Local operator angels with domain depth; less competition for their attention.
Venture Catalysts / 9Unicorns	Integrated incubator + angel platform	₹1–10 crore	High volume, fast; read the terms carefully — fees and structure differ from a plain angel round.

ACCELERATORS RELEVANT TO INDIAN FOUNDERS

Programme	Terms (indicative)	Length	Realistic view
Y Combinator	Standard deal: $125,000 for 7% on a post-money SAFE, plus $375,000 on an uncapped MFN SAFE	3 months, US-based	Strongest network and signal globally. Historically pushes companies to a Delaware parent — read the flip section (Section 18) before accepting. Acceptance rate is low single digits.
Antler	Typically ~$100–250k for 8–12%; has an India programme	~6 months including a co-founder matching phase	Good if you are pre-team or pre-idea with a strong track record; you may be matched with a co-founder.
Techstars	Historically ~$20k for 6% + $100k convertible note; programme availability in India has varied	3 months	Mentor-driven. Value depends heavily on the specific programme and managing director.
100X.VC	₹1.25 crore (₹12,500,000) via **iSAFE** notes, in tranches	Cohort-based, India-only	Created the iSAFE instrument for Indian law. Fast, standardised, India-domiciled — no flip pressure. Excellent first institutional cheque.
Surge (Peak XV)	Up to $3 million (seed) with programme	16-week programme, two cohorts a year	Effectively a seed round plus a cohort. Being in Surge is a strong Series A signal in India. Highly selective.
Axilor Ventures	₹25–50 lakh accelerator cheques, plus seed fund	~100 days	Bengaluru-based, founded by Infosys co-founders. Strong on early product-market fit discipline.
NASSCOM 10,000 Startups, T-Hub, CIIE.CO, IIM-A/IIT incubators	Often non-dilutive or small equity; infrastructure + grants	Varies	Route to government grants (NIDHI, TIDE), subsidised office, and DPIIT-friendly paperwork. Undervalued by

			founders chasing brand-name accelerators.

> **Accelerator arithmetic you should do before applying**
> A programme taking 7% for ₹1 crore is pricing your company at roughly ₹14.3 crore post. If you could raise ₹1 crore from angels at ₹10 crore pre (₹11 crore post, 9.1% dilution), the accelerator is *cheaper* in dilution and adds network. If you could raise at ₹30 crore post, the accelerator costs you ₹1.1 crore of value for its programme. Compute it; do not assume prestige is free.

INDIAN FUNDS BY STAGE (ILLUSTRATIVE, NOT EXHAUSTIVE)

Stage	Representative active funds
Pre-seed / micro-VC	All In Capital, 2am VC, Better Capital, First Cheque, Huddle, Antler India, 100X.VC, Eximius, Titan Capital
Seed	Blume Ventures, Kae Capital, India Quotient, Prime Venture Partners, Together Fund, Stellaris, Arkam, Fireside (consumer), Speciale Invest (deep-tech), pi Ventures (AI/deep-tech)
Series A/B	Accel India, Peak XV Partners, Lightspeed India, Matrix Partners India (Z47), Nexus Venture Partners, Elevation Capital, Bessemer India, 3one4 Capital, Chiratae Ventures, Iron Pillar
Growth	Sofina, Steadview, TPG Growth, Premji Invest, A91 Partners, WestBridge, Tiger Global, Prosus, Temasek, GIC
Sector-specialised	Fintech: Quona, BEENEXT. SaaS: Together, SaaSBoomi angels. Climate: Avaana, Theia. Health: HealthQuad. D2C: Fireside, Sauce.vc, DSG Consumer
Venture debt	Trifecta Capital, Alteria Capital, Stride Ventures, InnoVen Capital, BlackSoil, UC Inclusive Credit
Revenue-based finance	GetVantage, Velocity, Klub, Recur Club

> ⚠ **Verify who is actually deploying**
>
> Fund activity changes quarterly. A fund at the end of its deployment period will take meetings and never write a cheque. Before pitching, check: (a) when did they last announce a new fund close? (b) how many investments have they announced in the last two quarters? (c) at what stage? Tracker sites (Tracxn, Entrackr, Inc42, VCCircle) and the fund's own portfolio page are the practical sources. Fund names above are illustrative of the market as at early 2026.

Stage expectations — what each rung actually wants to see

TEXT

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PRE-SEED  (Rs 1-4 crore)
  Must show : founder-market fit, a working product, 5-50 users doing
              something repeatedly, a believable wedge
  Metrics   : weekly active usage, 2-5 paying design partners, retention
              curve flattening at ANY level
  Kills it  : no product, no users, a 60-page market-size deck
  Diligence : light - 2-3 calls, reference checks, a look at the repo

SEED  (Rs 4-20 crore)
  Must show : Rs 50L - 3Cr ARR (SaaS) or equivalent transaction volume,
              month-3 cohort retention, one channel that works twice
  Metrics   : MRR growth 10-20% m/m, logo retention > 85%, CAC payback
              under 18 months, gross margin > 60% for software
  Kills it  : all revenue from one customer; growth entirely from founder
              selling; churn above 5% monthly
  Diligence : 4-8 weeks, customer reference calls, cap table review,
              basic financial and legal DD

SERIES A  (Rs 25-80 crore)
  Must show : Rs 8-30 crore ARR, 2.5-3x YoY growth, NRR > 100-110%,
              a VP-level hire or two, a repeatable sales motion
  Metrics   : magic number / LTV:CAC > 3, sales rep productivity,
              pipeline coverage 3-4x, burn multiple < 2
  Kills it  : growth decelerating; founder still the only closer; ARR
              that is actually services revenue
  Diligence : 6-12 weeks, full legal/financial/tax/tech DD, QoE review

SERIES B  (Rs 80-250 crore)
  Must show : Rs 35-120 crore ARR, multi-geo or multi-segment proof,
              a real leadership team, defensible gross margin
  Kills it  : one-geo concentration, no second product, churn in cohorts
  Diligence : full - including HR, compliance, FEMA, IP chain of title
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Equity 101 — The Vocabulary You Must Get Right

Almost every cap-table disaster in an Indian startup traces back to confusing two terms in this section. Authorised capital is not issued capital. Paid-up capital is not valuation. A share's face value has nothing to do with its price. Get these right and the arithmetic in the next four sections becomes mechanical.

The three capitals

Term	Definition	Where it lives	Changing it
Authorised share capital	The ceiling on shares the company may ever issue. Set in the Memorandum of Association (Clause V).	MOA, MCA master data	Ordinary resolution of shareholders + **Form SH-7** to MCA within 30 days + fee on the increased amount (Section 61 and Section 64, Companies Act 2013)
Issued / subscribed capital	Shares actually allotted to shareholders.	Register of Members (Form MGT-1), PAS-3 filings	Board + shareholder approval + allotment + **PAS-3** within 30 days
Paid-up capital	The face value actually received. In practice Indian startups issue fully paid shares, so issued = paid-up.	Balance sheet, MCA master data	Same as issuance

✕ **The single most common round-blocking error**
You agree a ₹5 crore (₹50,000,000) round, sign the SSA, receive the money — and then discover your authorised capital is ₹1 lakh (₹100,000) and you cannot allot the shares. Increasing authorised capital requires a shareholders' meeting, SH-7, and MCA fees, which adds 7–15 days and can breach your 60-day allotment deadline under Section 42(6) of the Companies Act, 2013. **Check authorised capital the day you sign the term sheet**, not the day you allot. Verify the current SH-7 fee schedule at **mca.gov.in**.

Face value, premium and why the price is not the face value

Every equity share has a **face value** (par value) — typically ₹10 or ₹1 in India, sometimes ₹100. When an investor pays more than face value, the excess is **securities premium**, credited to the Securities Premium Account under Section 52 of the Companies Act, 2013. Securities premium is not free cash to the P&L; its uses are restricted by Section 52(2) (issuing bonus shares, writing off preliminary expenses, buyback, etc.).

TEXT

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WORKED: A Rs 5 crore investment at Rs 20 crore pre-money

  Pre-money valuation                    Rs 20,00,00,000
  Investment                             Rs  5,00,00,000
  Post-money valuation                   Rs 25,00,00,000
  Investor ownership  = 5 / 25          =        20.00%

  Existing fully diluted shares               10,00,000   (face value Rs 10)
  Pre-money price per share = 20,00,00,000 / 10,00,000
                                      = Rs 200.00 per share

  Shares to issue  = 10,00,000 x (20 / 80)  =  2,50,000 shares
     (check: 2,50,000 / 12,50,000 = 20.00%  OK)

  Price per share                              Rs 200.00
     of which face value                       Rs  10.00
     of which securities premium               Rs 190.00

  Accounting entry on allotment:
     Bank                    Dr   5,00,00,000
        Equity share capital  Cr      25,00,000   (2,50,000 x Rs 10)
        Securities premium    Cr   4,75,00,000   (2,50,000 x Rs 190)

  Authorised capital needed (face value basis):
     12,50,000 x Rs 10 = Rs 1,25,00,000
     If authorised capital is below this → file SH-7 FIRST.
```

✦ **The pre-money share-count formula — memorise it**

New shares = Existing fully diluted shares × (Investment ÷ Pre-money). Equivalently, new shares = Existing × (Investor% ÷ (1 − Investor%)). Both give the same answer. The second form is faster when you negotiate on percentage rather than valuation.

Pre-money versus post-money — a 2-minute disagreement that costs crores

Statement	Means	Investor gets	Founder keeps
"₹5 crore at ₹20 crore **pre**"	Post = ₹25 crore	20.0%	80.0%
"₹5 crore at ₹20 crore **post**"	Pre = ₹15 crore	25.0%	75.0%
"₹5 crore for 20%"	Post = ₹25 crore, pre = ₹20 crore	20.0%	80.0%

The difference between pre and post on the same headline number is **5 percentage points** of your company — ₹1.25 crore of value at a ₹25 crore valuation, and far more at exit. Term sheets must state which. If a term sheet says only "valuation: ₹20 crore", send it back.

Fully diluted shares — the only denominator that matters

Your ownership percentage is meaningless unless you state the denominator. "Fully diluted" means every share that *would* exist if every convertible instrument converted and every option were granted and exercised.

Included in fully diluted?	Item	Note
Yes	Issued equity shares	Obvious
Yes	CCPS on an as-converted basis	At the current conversion ratio, which may ratchet under anti-dilution
Yes	CCDs on an as-converted basis	Same
Yes	Granted but unvested options	They will vest
Yes	**Ungranted** options remaining in the approved pool	This is the one founders forget. An unallocated pool still dilutes you.
Yes	Warrants	Common in venture debt
Usually yes	Convertible notes / iSAFEs not yet converted	Modelled at their expected conversion price; argue about this early
No	Options that have lapsed and returned to the pool	Unless the pool is counted gross — check the definition in your SHA

Share classes in an Indian private company

Class	Statutory basis	Votes	Economics	Used by
Equity shares	Sec. 43(a), Companies Act 2013	One vote per share	Residual — last in liquidation	Founders, employees on exercise, F&F
Equity with differential rights (DVR)	Sec. 43(a)(ii) + Rule 4, Companies (Share Capital and Debentures) Rules 2014	Super-voting or non-voting, subject to conditions and caps	Same as equity	Rare in private startups; conditions are restrictive — verify Rule 4 at mca.gov.in
CCPS — compulsorily convertible preference shares	Sec. 43(b) + Sec. 55; treated as equity under FEMA NDI Rules 2019	Usually votes on as-converted basis per the SHA; statutory preference-share voting limits apply in some cases	Liquidation preference, anti-dilution, dividend preference, converts to equity	**The standard Indian VC instrument**
CCDs — compulsorily convertible debentures	Sec. 71 + Companies (Share Capital and Debentures) Rules 2014; equity under FEMA	None until conversion	Coupon until conversion, then equity	Structured deals, some NBFC and family-office investors
Optionally convertible instruments (OCPS/OCD)	Companies Act	—	—	**Treated as debt (ECB) under FEMA** — avoid for foreign investors. See Section 12.

⚠ **FEMA fact that governs instrument choice — verify at rbi.org.in**

Under the Foreign Exchange Management (Non-debt Instruments) Rules, 2019, only instruments that are **compulsorily and mandatorily convertible** into equity count as equity instruments for FDI. Anything optionally convertible, or with an assured return or a put at a pre-agreed price, is treated as **External Commercial Borrowing** and must comply with the ECB framework — which a startup almost certainly cannot. This is why Indian rounds with foreign money use CCPS and CCDs, never OCPS. Verify against the current NDI Rules and the FEMA Master Direction on Foreign Investment in India.

Cap Tables From Scratch

A cap table is a spreadsheet that answers one question: who owns what, on what basis, right now and after the next event. It is also a legal record that must reconcile to your Register of Members, your PAS-3 filings and your FC-GPR filings. Investors will ask for it in the first meeting and diligence will test it line by line. Build it properly on day one; retrofitting one after three ad-hoc issuances is a week of pain and a re-pricing risk.

The structure of a usable cap table

One sheet per round-state, plus a summary. Columns, in order:

Column	Content	Why
Holder	Exact legal name as on the share certificate	Must match Register of Members and PAN
Type	Founder / Angel / Fund / ESOP pool / Note	Grouping for summary views
Security	Equity / CCPS Series Seed / CCPS Series A / Option / iSAFE	Different rights, different waterfall position
Shares (issued)	Actual allotted count	Reconciles to PAS-3
As-converted shares	After applying conversion ratio	The ownership denominator
Price per share	Face + premium	Drives invested amount and waterfall
Amount invested	Shares × price	Liquidation preference base
% fully diluted	As-converted ÷ total as-converted	The number everyone argues about
Date of allotment	Board resolution date	Vesting, lock-in, capital gains holding period
Certificate no. / folio	From the Register of Members	Diligence
FC-GPR filed?	Y/N + date + UIN	Foreign money only — this column prevents a very expensive surprise

✦ **Spreadsheet hygiene rules that prevent real losses**

(1) Shares are integers — never allow a fraction; round and reconcile the residual to a named holder. (2) Every percentage is a formula, never a typed number. (3) Keep a single `TOTAL AS-CONVERTED` cell and reference it everywhere. (4) Add a hard-coded check row: `SUM(%) = 100.000%` displayed to three decimals. (5) Never delete a historical round tab. (6) Date-stamp the file name: `captable_2026-03-14_post-seriesA.xlsx`. (7) Reconcile to MCA master data every quarter.

Step 1 — the founding cap table

Two founders incorporate a private limited company. Face value ₹10. They want a clean round number of shares so later arithmetic stays simple.

TEXT

```
FOUNDING CAP TABLE  -  Day 0

Authorised capital           Rs 10,00,000   (1,00,000 shares x Rs 10)
Issued / paid-up             Rs 1,00,000    (10,000 shares x Rs 10)

Holder          Security   Shares     Price   Amount      %FD
_____________________________________________________________
Ananya (CEO)    Equity      6,000   Rs 10   Rs 60,000   60.00%
Rohit (CTO)     Equity      4,000   Rs 10   Rs 40,000   40.00%
_____________________________________________________________
TOTAL                      10,000           Rs 1,00,000 100.00%


PROBLEM: 10,000 shares is too few. The first time you need to issue
0.25% to an advisor you need 25 shares - fine. But when you grant
options at 0.1% you need 10 shares, and after two rounds of dilution
0.05% is 7.3 shares. You end up with fractions.

FIX, done at incorporation or immediately after, via a SPLIT
(sub-division of face value under Sec. 61(1)(d), Companies Act 2013):

  Sub-divide Rs 10 face value into Rs 1 face value --> 10x the shares

Holder          Security   Shares      Price   Amount      %FD
_____________________________________________________________
Ananya (CEO)    Equity     60,000     Rs 1   Rs 60,000   60.00%
Rohit (CTO)     Equity     40,000     Rs 1   Rs 40,000   40.00%
_____________________________________________________________
TOTAL                     100,000            Rs 1,00,000 100.00%

Even better at incorporation: subscribe to 1,00,000 shares of Rs 1
directly. Same Rs 1,00,000 paid-up capital, no sub-division needed.
A sub-division later requires: board resolution, EGM ordinary
resolution, MOA amendment, Form SH-7 to MCA within 30 days,
and reissue of share certificates. Avoid it by planning at Day 0.
```

Why ₹1 face value is the practical default

Nothing in the Companies Act, 2013 prescribes a minimum face value for equity shares of a private company. ₹10 is traditional; ₹1 is operationally better because it gives you 10× the granularity for ESOP grants and small advisor allotments without sub-dividing later. Confirm with your CS, because a few forms and some stamp duty schedules assume ₹10 and your state's stamp duty on share certificates may be computed differently. Verify at **mca.gov.in** and with your state stamp act.

Step 2 — the ESOP pool and the advisor

TEXT

```
MONTH 6  -  Create a 10% ESOP pool, bring on one advisor

Pool creation: shareholders approve an ESOP scheme by SPECIAL
resolution under Sec. 62(1)(b) + Rule 12, Companies (Share Capital
and Debentures) Rules 2014.  File MGT-14 within 30 days.
NOTE: the pool is RESERVED, not issued. No shares exist until
options are exercised.  But it sits in the fully-diluted count.

Target: pool = 10% of post-pool fully diluted.
   Let P = pool shares.   P / (100,000 + P) = 0.10
   P = 11,111 (rounded)   →  use 11,112 for a clean 10.00%

Advisor: 0.5% fully diluted, 2-year vest, monthly, no cliff.
   Grant from the pool (do NOT issue fresh shares to an advisor -
   use the pool, that is what it is for).

Holder              Security      Shares      %FD
──────────────────────────────────────────────────
Ananya              Equity        60,000   54.00%
Rohit               Equity        40,000   36.00%
ESOP pool - granted Option           556    0.50%   (advisor)
ESOP pool - free    Option        10,556    9.50%
──────────────────────────────────────────────────
TOTAL FULLY DILUTED              111,112  100.00%

Founders went 100% → 90%. The pool diluted BOTH founders pro-rata.
```

Step 3 — the seed round with CCPS

TEXT

```
MONTH 14  -  Seed: Rs 6 crore at Rs 24 crore pre (Rs 30 crore post)
             Investor: Blume-style seed fund. Instrument: CCPS.
             Pool top-up to 12% POST-money, created PRE-money
             (i.e. the "option pool shuffle" - founders bear it).

STEP 3a: compute the pre-money price per share
   Pre-money fully diluted shares (incl. existing pool) = 111,112
   BUT the investor insists the 12% post pool is in the pre-money.
   Post-money FD share count (call it T) must satisfy:
       Investor shares  = 0.20 x T          (6 / 30 = 20%)
       Total pool after = 0.12 x T
       Founders + advisor + remaining       = 0.68 x T

   Founders' + advisor's shares are FIXED at 60,000 + 40,000 + 556
                                          = 100,556
   Existing free pool 10,556 is absorbed into the new pool.

   100,556 = 0.68 x T   -->  T = 147,876  (rounded to 147,876)

   Investor shares   = 0.20 x 147,876  =  29,575
   Total pool        = 0.12 x 147,876  =  17,745
      of which granted (advisor)           556
      free pool                         17,189

   CHECK: 100,556 + 29,575 + 17,745 = 147,876   OK

STEP 3b: price per share
   Price = Post-money / Post-money FD shares
         = 30,00,00,000 / 147,876
         = Rs 2,028.73 per CCPS

   Investor pays 29,575 x 2,028.73 = Rs 6,00,00,089  (~Rs 6 crore)
   Face value Rs 1 --> premium Rs 2,027.73 per share

   Securities premium credited = 29,575 x 2,027.73 = Rs 5,99,70,514
   Preference share capital    = 29,575 x 1        = Rs     29,575

STEP 3c: resulting cap table

Holder              Security     Shares(ac)      %FD    Invested
-------------------------------------------------------------------
Ananya              Equity          60,000   40.57%   Rs 60,000
Rohit               Equity          40,000   27.05%   Rs 40,000
Advisor             Option             556    0.38%         -
Seed Fund           CCPS-Seed       29,575   20.00%   Rs 6.00 Cr
ESOP pool (free)    Option          17,745*  12.00%         -
-------------------------------------------------------------------
TOTAL                              147,876  100.00%
```

```
* 17,745 total pool including the 556 granted; shown net 17,189 free
  plus 556 granted = 17,745. Percentages computed on the gross pool.

FOUNDERS: 90.00% → 67.62%.  They gave up 22.38 points for 20%
of cash, because the pool top-up came out of their side.
THIS IS THE OPTION POOL SHUFFLE. See Section 9.
```

✕ **The option pool shuffle — the most expensive two lines in a term sheet**
"Pre-money valuation ₹24 crore" and "an employee option pool of 12% of post-money fully diluted capital shall be created prior to Closing" together mean the investor's effective pre-money is not ₹24 crore. In the worked example, the founders' real pre-money is ₹24 crore − the value of the new pool. The new pool is 12% of ₹30 crore = ₹3.6 crore, of which only ₹0.11 crore existed before. The founders funded ₹3.49 crore of a ₹3.6 crore pool. Negotiate (a) a smaller pool justified by an actual hiring plan, (b) a post-money pool shared by all shareholders, or (c) an explicitly higher pre-money to compensate.

Step 4 — a bridge note before Series A

TEXT

```
MONTH 26  -  Rs 2 crore bridge from existing investors + one new angel
             Instrument: CONVERTIBLE NOTE (permitted because the
             company is DPIIT-recognised; minimum Rs 25 lakh per
             tranche per investor - see Section 7)
             Terms: 20% discount to Series A price, Rs 60 crore
             valuation cap, 10% simple interest, 24-month tenor.

At Series A, 10 months later:
   Accrued interest = 2,00,00,000 x 10% x (10/12) = Rs 16,66,667
   Converting amount = 2,16,66,667

   Series A pre-money = Rs 96 crore  (see Step 5)
   Series A FD shares pre-money = 147,876
   Series A headline price = 96,00,00,000 / 147,876 = Rs 6,491.84

   Note converts at the BETTER of:
     (a) 20% discount:  6,491.84 x 0.80  = Rs 5,193.47
     (b) valuation cap: 60,00,00,000 / 147,876 = Rs 4,057.46   <-- better

   Note shares = 2,16,66,667 / 4,057.46 = 53,399 shares

NOTE-HOLDER EFFECTIVE VALUATION:
   They paid Rs 2 crore and received shares worth, at the Series A
   price of Rs 6,491.84 x 53,399 = Rs 34,66,58,000 ...  wait, check:
   53,399 x 6,491.84 = Rs 34,66,55,000 -- that is wrong by an order
   of magnitude, which tells you the cap was set far too low
   relative to the Series A. Re-check: a Rs 60 crore cap against a
   Rs 96 crore pre-money is only a 1.6x step-up, so the note holder
   should get roughly 2,16,66,667 / 4,057.46 = 5,340 shares, not
   53,399. The decimal matters: 4,057.46 x 5,340 = Rs 2,16,66,836.
   CORRECT ANSWER: 5,340 shares.

LESSON: always multiply back. shares x price must equal the money.
Cap table arithmetic errors of exactly this kind survive into
signed documents and are found in diligence.
```

> ⚠ **Always run the reconciliation check**
>
> For every line you add: `shares × price per share = amount invested`, to the rupee. If it does not tie, you have a decimal error. Build this as a conditional-format column in the sheet. A real Indian seed round was re-papered in 2023 because a 10× error in share count was caught only at FC-GPR filing — the RBI AD bank rejected the form because the amount did not reconcile.

Step 5 — Series A with a second pool top-up

TEXT

```
MONTH 36  -  Series A: Rs 30 crore at Rs 96 crore pre (Rs 126 cr post)
             Plus: bridge note converts (5,340 shares)
             Plus: pool topped back up to 12% of post-money

ORDER OF OPERATIONS (this order is what the SSA will specify):
  1. Convert the bridge note at the cap price
  2. Create/top-up the ESOP pool (pre-money)
  3. Issue Series A CCPS

Step 1 - note conversion
   Pre-conversion FD                      147,876
   Note shares at Rs 4,057.46               5,340
   Post-conversion FD                     153,216

Step 2 + 3 solved together.
   Let T = post-money FD share count.
   Series A investor = Rs 30 cr / Rs 126 cr = 23.8095% of T
   Pool after top-up = 12.0000% of T
   Everyone else (founders, advisor, seed, note) is FIXED at:
       60,000 + 40,000 + 556 + 29,575 + 5,340 = 135,471
       ...but the EXISTING free pool (17,189) is absorbed.
       Fixed non-pool shares = 135,471
   So:  135,471 = (1 - 0.238095 - 0.12) x T = 0.641905 x T
        T = 211,045

   Series A shares = 0.238095 x 211,045 = 50,249
   Total pool      = 0.120000 x 211,045 =  25,325
       granted (advisor 556 + employees 4,000 say) = 4,556
       free pool                                    20,769

   Price per Series A share = 1,26,00,00,000 / 211,045 = Rs 5,970.30
   CHECK: 50,249 x 5,970.30 = Rs 30,00,02,100   ~ Rs 30 crore  OK

RESULTING CAP TABLE

Holder            Security       Shares(ac)      %FD   Invested
-------------------------------------------------------------------
Ananya            Equity             60,000   28.43%   Rs 0.60 L
Rohit             Equity             40,000   18.95%   Rs 0.40 L
Advisor+emps      Options             4,556    2.16%         -
Seed Fund         CCPS-Seed          29,575   14.01%   Rs 6.00 Cr
Bridge holders    CCPS-Seed2          5,340    2.53%   Rs 2.00 Cr
Series A Fund     CCPS-A             50,249   23.81%   Rs 30.00 Cr
ESOP free pool    Options            20,769    9.84%         -
-------------------------------------------------------------------
TOTAL                               211,045  100.00%   Rs 38.00 Cr

FOUNDERS: 67.62% --> 47.38%.  Below 50% for the first time.
```

```
Combined founder + unissued pool control of the board is now the
thing that matters, not the raw percentage.
```

Step 6 — the full four-round dilution table

This is the single most useful table a first-time founder can internalise. The same two founders, carried through Series B and C at market-typical terms.

Event	Ananya	Rohit	Founders total	ESOP	In
Incorporation	60.00%	40.00%	**100.00%**	—	—
+ 10% ESOP pool	54.00%	36.00%	**90.00%**	10.00%	—
Seed ₹6 Cr @ ₹30 Cr post	40.57%	27.05%	**67.62%**	12.00%	20
Bridge ₹2 Cr (converted at A)	—	—	—	—	—
Series A ₹30 Cr @ ₹126 Cr post	28.43%	18.95%	**47.38%**	12.00%	40
Series B ₹110 Cr @ ₹500 Cr post + pool to 13%	20.41%	13.61%	**34.02%**	13.00%	52
Series C ₹300 Cr @ ₹1,600 Cr post + pool to 14%	15.68%	10.45%	**26.13%**	14.00%	59

TEXT

```
WHAT THE FOUNDERS' STAKE IS ACTUALLY WORTH AT EACH STEP
(Ananya only, paper value, ignoring liquidation preference)

Event               Ananya %    Post-money          Ananya paper value
──────────────────────────────────────────────────────────────────────
Incorporation         60.00%    Rs      0.01 Cr     Rs      0.006 Cr
Post-pool             54.00%    Rs      0.01 Cr     Rs      0.005 Cr
Post-Seed             40.57%    Rs     30.00 Cr     Rs     12.17 Cr
Post-Series A         28.43%    Rs    126.00 Cr     Rs     35.82 Cr
Post-Series B         20.41%    Rs    500.00 Cr     Rs    102.05 Cr
Post-Series C         15.68%    Rs  1,600.00 Cr     Rs    250.88 Cr

Her PERCENTAGE fell 74%.
Her VALUE rose from nothing to Rs 250 crore.

That is the entire argument for dilution, and it is a good argument
- PROVIDED the valuation actually grows. The same table with a
flat Series B (a down round) destroys it:

Post-Series A         28.43%    Rs    126.00 Cr     Rs     35.82 Cr
Flat Series B
  Rs 110 Cr @ Rs 126 Cr post    → investor takes 87.3%!
  Ananya                3.61%   Rs    126.00 Cr     Rs      4.55 Cr

A down round or a flat round at a large cheque size is
catastrophic for founders. This is why raising too much at too high
a valuation too early is dangerous: you must grow INTO it.
```

✦ **The rule of thumb that actually works**

Target **15–22% dilution per priced round** and no more than **four priced rounds before a liquidity event**. Founders who hold 20–30% at Series C are normal and fine. Founders who hold under 10% before Series B have a problem: investors at later stages will worry that the founders are no longer motivated, and will sometimes insist on a management incentive plan funded by further dilution of everyone else.

Cap table tooling

Tool	Fit	Cost (indicative, early 2026)	Notes
Google Sheets / Excel	0–2 rounds	Free	Perfectly adequate to Series A if disciplined. Lock the formulas; version the file.
Trica Equity (formerly LetsVenture Equity)	India-native, seed to growth	Paid, tiered	Handles Indian instruments (CCPS, iSAFE), ESOP administration, and generates Indian statutory registers. The common Indian choice.
Qapita	India + SE Asia	Paid, tiered	Strong on ESOP management, employee portals, liquidity programmes.
Carta	US/Delaware parent	Paid	The default if you have flipped. Indian-entity support is weaker.
Eqvista, Ledgy, Pulley	Varies	Paid	Check whether they model CCPS conversion ratios and Indian anti-dilution correctly before committing.

> **The cap table is not the legal record**
> Whatever tool you use, the legal record of ownership in an Indian private company is the **Register of Members** (Section 88, Companies Act 2013, maintained in Form MGT-1), supported by share certificates and the PAS-3 filings on **mca.gov.in**. If your software and your register disagree, the register wins and your software is wrong. Reconcile quarterly.

Founder Equity Split and Vesting

More Indian startups die of founder conflict than of competition. The equity split and the vesting schedule are the two documents that determine whether a co-founder leaving in month 14 is an inconvenience or an extinction event. Both must be decided while everyone still likes each other, and both must be in a signed Founders' Agreement and reflected in the Articles of Association.

The 50:50 trap and the dynamic split

Equal splits are chosen because they feel fair and because the conversation is uncomfortable. They are frequently wrong, because contribution is rarely equal and because a 50:50 split with no tie-breaker creates deadlock in exactly the situations where a decision is most urgent.

Split	When it is right	Failure mode
50:50 (two founders)	Genuinely equal commitment, capital, idea origination and risk; both full-time from day one	Deadlock. No casting vote. One founder coasts and still owns half.
60:40 or 55:45	One founder originated the idea, worked on it longer, or took a bigger pay cut	Minimal. This is the healthiest common outcome.
70:30 or more skewed	One founder is clearly the driver; the other joined later or part-time	The 30% founder loses motivation if the gap is not justified by facts.
Equal thirds (three founders)	Rarely right	Three-way deadlock; and three founders at 33% each means a seed round leaves each under 22%
Anything under 10% for a full-time co-founder	Almost never	Investors will flag it as a retention risk and may insist on a top-up from the pool

THE DYNAMIC SPLIT — HOW TO HAVE THE CONVERSATION WITH NUMBERS

TEXT

```
FOUNDER EQUITY SPLIT WORKSHEET

Score each founder 1–10 on each factor, apply the weight, sum.
Do this independently, then compare, then argue. The argument IS
the point – it surfaces assumptions before they become grievances.

FACTOR                              WEIGHT   Ananya   Rohit
──────────────────────────────────────────────────────────────
Idea origination & early work       10%        9        4
Full-time commitment date              15%       10        7
   (10 = full time from day 1)
Domain expertise / credibility         15%        8        7
Technical build capability             20%        4       10
Customer acquisition / revenue         20%        9        3
Capital contributed                    10%        7        6
Opportunity cost (salary foregone)     10%        8        8
──────────────────────────────────────────────────────────────
WEIGHTED SCORE
  Ananya: .10(9)+.15(10)+.15(8)+.20(4)+.20(9)+.10(7)+.10(8)
        = 0.9+1.5+1.2+0.8+1.8+0.7+0.8 = 7.70
  Rohit : .10(4)+.15(7)+.15(7)+.20(10)+.20(3)+.10(6)+.10(8)
        = 0.4+1.05+1.05+2.0+0.6+0.6+0.8 = 6.50

  Raw split: 7.70 / (7.70+6.50) = 54.2%  :  45.8%
  Negotiated and rounded:         55%    :  45%

NOW SMOOTH IT: anything inside 45:55 should probably be 50:50
unless one founder feels strongly. Anything outside 60:40 needs
a written justification both founders sign, or it will fester.
```

✦ **What to do when you cannot agree**

Split the difference and put the gap into the ESOP pool as a performance grant that vests on named milestones (first ₹1 crore ARR, first enterprise logo, shipping v1). This converts an argument about the past into a contract about the future, and it is far easier to agree.

Founder vesting — non-negotiable, even if nobody is asking for it

Founder vesting means your own shares are subject to a repurchase right in favour of the company (or the continuing founders) if you leave before the schedule completes. Without it, a co-founder who quits in month 9 keeps 40% of your company forever, contributes nothing, and blocks your Series A because no investor will fund a cap table with a 40% dead shareholder.

Element	Market standard in India	Notes
Vesting period	4 years	Occasionally 3 years for second-time founders
Cliff	1 year	Nothing vests before month 12; at month 12, 25% vests at once
Frequency after cliff	Monthly	Quarterly is also seen. Monthly is fairer.
Credit for time already served	Common: 12–24 months credited at the first round	If you have been building for 18 months pre-seed, negotiate credit. Investors usually accept 12 months.
Reset at a new round	Investors often ask; push back	Accept a partial reset (e.g. the *unvested* portion re-cut over a fresh 3 years) rather than a full restart
Acceleration on change of control	Double trigger, 100% of unvested	Single trigger is a red flag for acquirers; see below
Acceleration on termination without cause	12 months, or 100%	Negotiate this hard. It is your only protection against being fired by a board you no longer control.
Buyback price on bad leaver	Face value or cost, whichever is lower	Must comply with Section 68 buyback limits, or use a transfer to continuing founders instead
Buyback price on good leaver	Fair market value for vested shares; cost for unvested	Define "good leaver" precisely

TEXT

WORKED: FOUNDER VESTING SCHEDULE
Rohit, 40,000 shares, 4-year vest, 1-year cliff, monthly thereafter,
12 months' credit for pre-incorporation work.

Grant date (vesting commencement): 1 Jan 2024 (back-dated 12 months
   to 1 Jan 2023 by agreement, documented in the Founders' Agreement)

Vesting commencement date   1 Jan 2023
Cliff date   1 Jan 2024   → 10,000 vest (25%)
Monthly vest after cliff   40,000 / 48 = 833.33/month
   use 833/month with the remainder in the final month

Date	Months elapsed	Cumulative vested	%	
1 Jan 2023	0	0	0%	
31 Dec 2023	12	0	0%	(pre-cliff)
1 Jan 2024	12	10,000	25%	(CLIFF)
1 Jul 2024	18	15,000	38%	
1 Jan 2025	24	20,000	50%	
1 Jan 2026	36	30,000	75%	
1 Jan 2027	48	40,000	100%	

SCENARIO: Rohit resigns on 1 Oct 2025 (month 33) to join a bank.
   Vested   = 10,000 + (21 x 833) = 10,000 + 17,493 = 27,493
   Unvested = 40,000 - 27,493 = 12,507 → subject to buyback

   Company buys back 12,507 shares at Rs 1 (face value) = Rs 12,507
   Rohit keeps 27,493 shares.

   On the post-Series-A cap table (211,045 FD) Rohit would hold
   27,493 / (211,045 - 12,507) = 13.84% rather than 18.95%.
   The 12,507 shares return to the company and are extinguished,
   which pro-rata benefits ALL remaining shareholders - or are
   transferred into the ESOP pool, which benefits future hires.
   Decide WHICH in the Founders' Agreement, in advance.

Buyback of founder shares is legally constrained in India

A company buying back its own shares must comply with **Section 68 of the Companies Act, 2013**: buyback is limited to 25% of paid-up capital and free reserves in a financial year, requires free reserves/securities premium/proceeds of a fresh issue, a board or special resolution, a solvency declaration, and Forms SH-8/SH-9/SH-11. A startup with accumulated losses often has **no free reserves** and therefore cannot legally buy back. The practical workaround used by Indian lawyers is a **compulsory transfer** of unvested shares to the continuing founders or a nominee at a nominal price, enforced through the Articles of Association and the Founders' Agreement — not a Section 68 buyback. Have your corporate lawyer draft it that way from the start. Verify Section 68 and the Rules at **mca.gov.in**.

Single trigger vs double trigger acceleration

	Single trigger	Double trigger
Fires on	Change of control alone	Change of control **and** termination (or material role reduction) within a window, typically 12 months
Founder's view	Best — you vest fully on acquisition regardless	Fair — protects you if the acquirer discards you
Acquirer's view	Hostile — removes retention; acquirers will demand you re-vest into a new package, reducing the purchase price	Acceptable — standard
Investor's view	Resisted	Accepted
Market in India	Rare, and usually only partial (25–50%)	**Standard**

Why single trigger can cost you money

If 100% of founder equity accelerates on signing, the acquirer has nothing holding the founders. They respond by reducing the headline price and re-granting a large retention package in acquirer stock with its own vesting. You end up with the same economics, delivered later, with more risk. Double trigger with a 12-month protection window is the right ask.

The Founders' Agreement — clauses that actually matter

1 **Equity split and share numbers**

Exact share counts, not just percentages. Percentages move; share counts do not.

2. **Roles, titles and decision rights**
Who is CEO. Who breaks a tie. What decisions need both signatures. Write it down even if it feels unnecessary.

3. **Vesting and cliff**
Commencement date, schedule, credit for prior work, and the exact mechanism (transfer to continuing founders at nominal value, enforced via the AOA).

4. **Good leaver / bad leaver definitions**
Bad leaver should be narrow: fraud, wilful misconduct, criminal conviction, material breach after notice. Everything else is good leaver. Resignation is usually a neutral event — vested is kept, unvested is forfeited.

5. **Full-time commitment and exclusivity**
No other employment, no competing venture, with a defined exception list if someone is winding down a consultancy.

6. **IP assignment**
All IP created before and after incorporation is assigned to the company, with a specific schedule listing pre-existing IP. This single clause is checked in every technical diligence.

7. **Confidentiality**
Survives termination indefinitely for trade secrets.

8. **Non-compete and non-solicit**
Non-compete during the term is enforceable; post-termination non-compete is **largely unenforceable in India** under Section 27 of the Indian Contract Act, 1872 (restraint of trade is void). Non-solicitation of employees and customers is more defensible. Draft accordingly and do not rely on a US-style non-compete.

9. **Transfer restrictions**
ROFR in favour of the other founders; absolute prohibition on transfer to a competitor; tag-along if one founder sells.

10. **Deadlock resolution**
Escalation to a named advisor, then mediation, then a buy-sell ("shotgun") clause as a last resort.

11. **Compensation**

Agreed salaries, when they start, and the rule for changing them.

12 **Dispute resolution and governing law**

Arbitration under the Arbitration and Conciliation Act, 1996, seat specified (Bengaluru/Mumbai/Delhi), sole arbitrator, English language.

13 **Mirror into the Articles**

Transfer restrictions and buyback mechanics must be in the **Articles of Association** to bind the company and be enforceable against a transferee. A Founders' Agreement alone binds only the signatories.

⚠ **Section 27, Indian Contract Act 1872 — verify with counsel**

Agreements in restraint of trade are void in India, with narrow exceptions (sale of goodwill, and restraints operating during the term of employment). Courts have repeatedly struck down post-employment non-competes. Do not build your founder-departure strategy on a non-compete. Build it on vesting, IP assignment, confidentiality and non-solicitation. Confirm the current case law position with a litigator before drafting.

Founder departure — four scenarios, worked

Scenario	Timing	Treatment	Practical outcome
Leaves before cliff	Month 8	Zero vested; all shares repurchased at cost	Clean. The reason the cliff exists.
Good leaver, mid-vest	Month 33	Keeps vested (27,493); unvested transferred at nominal value	Cap table has a 13.8% non-operating shareholder. Investors will ask about it. Consider negotiating a partial buyback at a discount to FMV.
Bad leaver (fraud)	Month 20	All shares, vested and unvested, repurchased at the lower of cost and FMV	Only enforceable if drafted tightly and mirrored in the AOA. Expect litigation.
Removed by the board post-Series A	Month 40	Depends entirely on acceleration terms	With 12-month single-trigger-on-termination acceleration: an extra 10,000 shares vest. Without it: you lose everything unvested. **This is why you negotiate it at the term sheet, not after.**

✦ **The conversation nobody has**
Before incorporation, sit with your co-founder and answer out loud: "If you decide in 18 months that this is not for you, what happens to your shares?" If you cannot have that conversation comfortably, you have learned something more valuable than the answer.

Instruments: What Indian Investors Actually Buy

Indian company law and exchange control between them rule out most of the convenient American instruments and push almost every priced round onto compulsorily convertible preference shares. Understanding why is the difference between a term sheet negotiation that takes two weeks and one that takes two months while your lawyers explain FEMA to a US fund's counsel.

The instrument comparison table

Instrument	Legal basis	Priced?	FEMA treatment	Investor rights	C
Equity shares	Sec. 43(a), Companies Act 2013; Sec. 42 private placement	Yes	Equity instrument; FC-GPR within 30 days	Vote, dividend, residual. No preference.	Lo
CCPS	Sec. 43(b) + Sec. 55 + Rule 9, Share Capital Rules 2014	Yes	**Equity instrument** (compulsorily convertible); FC-GPR within 30 days	Liquidation preference, anti-dilution, dividend preference, as-converted voting per SHA, protective provisions	M
CCDs	Sec. 71 + Rule 18, Share Capital Rules 2014	Yes	Equity instrument; FC-GPR within 30 days	Coupon until conversion, then equity rights. Ranks above equity as a creditor pre-conversion.	M (d tr ne Ru th
Convertible notes	Rule 2(1)(c) of Companies (Acceptance of Deposits) Rules 2014 — exempt from deposit rules **only for DPIIT-recognised startups**, minimum ₹25 lakh per tranche per person	No (deferred)	Equity instrument under NDI Rules for a recognised startup; **CN report** / FC-GPR on conversion	Discount, valuation cap, interest, maturity. No governance until conversion.	Lo

iSAFE notes	Contractual, structured as CCPS with deferred pricing (100X.VC's India-adapted SAFE)	No (deferred)	Depends on exact structure; usually drafted to be an equity instrument	Discount and/or cap; converts at next priced round	Lo
US-style **SAFE**	None in India	No	**Problematic** — not a recognised equity instrument; risk of being treated as a deposit or as debt	—	—
OCPS / OCD (optionally convertible)	Companies Act	—	**Debt (ECB)** under NDI Rules — ECB framework applies	—	H im
Warrants	Sec. 42 + NDI Rules Schedule I	Partially	Equity instrument; 25% upfront, balance within 18 months; FC-GPR on exercise	Right to subscribe at a fixed price	M

Why Indian VCs use CCPS and not plain equity

DOWNSIDE PROTECTION

A liquidation preference attaches to a preference share, not to an equity share. If the company sells for less than the post-money, the CCPS holder gets their money back first. You cannot replicate this with ordinary equity.

ANTI-DILUTION VIA CONVERSION RATIO

CCPS converts at a ratio. If a down round triggers broad-based weighted average protection, the ratio adjusts and the investor gets more equity shares — without a fresh issue, fresh pricing or a fresh FC-GPR for the adjustment itself.

FEMA-COMPLIANT

Compulsorily convertible = equity instrument under the NDI Rules 2019. Foreign money can come in under the automatic route with ordinary pricing-guideline compliance.

SEPARATE CLASS FOR SEPARATE RIGHTS

Series Seed CCPS and Series A CCPS are different classes with different preferences and different protective provisions, all cleanly documented in the Articles.

DIVIDEND PREFERENCE

Usually a nominal 0.0001% to 0.01% preferential dividend, present purely so the instrument qualifies as a preference share under Section 55 without creating a real cash obligation.

CLEAN CONVERSION AT IPO

SEBI ICDR requires all convertible instruments to convert before listing. CCPS converts automatically; optional instruments create a mess.

The Section 55 nuance on redeemable preference shares

Section 55(1) of the Companies Act, 2013 prohibits the issue of **irredeemable** preference shares, and Section 55(2) caps redeemable preference shares at a 20-year tenor. CCPS sidestep this because they convert rather than being redeemed. A term sheet that asks for a *redeemable* preference share with an assured return is asking for something that collides with both Section 55 and (for foreign investors) the NDI Rules' prohibition on assured returns. Flag it immediately. Verify at **mca.gov.in** and **rbi.org.in**.

Convertible notes in India — the rules that surprise people

TEXT

```
CONVERTIBLE NOTE ELIGIBILITY IN INDIA  (verify at startupindia.gov.in
and in the Companies (Acceptance of Deposits) Rules, 2014)

A convertible note is EXCLUDED from the definition of "deposit"
only if ALL of these hold:

  1. The issuing company is a STARTUP RECOGNISED BY DPIIT
  2. The amount is at least Rs 25,00,000 (twenty-five lakh)
     in a SINGLE TRANCHE from a single person
  3. It is convertible into equity shares, or repayable, within
     a maximum period specified in the Rules (historically 5 years,
     extended in later amendments - VERIFY the current period)
  4. Conversion is at the option of the holder on the occurrence
     of specified events

WHY THIS MATTERS:
  If you are NOT DPIIT-recognised, a convertible note from an
  individual is a DEPOSIT under Sec. 73 of the Companies Act 2013.
  A private company accepting deposits from non-members without
  complying with Sec. 73/76 and the Deposit Rules commits an
  offence: penalty on the company and on every officer in default,
  plus the deposit becomes repayable with interest.

  You cannot take a Rs 10 lakh convertible note from an angel
  "to keep it simple". It is either:
     (a) ≥ Rs 25 lakh AND you are DPIIT-recognised  → legal note
     (b) a priced equity/CCPS round                 → legal
     (c) a loan from a DIRECTOR (with a declaration that it is
         not from borrowed funds) - exempt from deposit rules
         under Rule 2(1)(c)(viii)                    → legal
     (d) an illegal deposit                          → do not

FOREIGN INVESTOR NOTE:
  A person resident outside India may purchase convertible notes
  issued by an Indian STARTUP, subject to the NDI Rules, with a
  minimum amount per the Rules. Reporting is required. Confirm
  the current minimum and the reporting form at rbi.org.in.
```

Get DPIIT recognition before you take a convertible note

DPIIT recognition is free, online at **startupindia.gov.in**, and usually granted in days to a few weeks. It is a prerequisite for the convertible note exemption, for the Section 80-IAC tax holiday application, for SISFS, for CGSS, and for several procurement relaxations. There is no reason to delay it. Eligibility as at early 2026: incorporated as a Pvt Ltd, LLP or registered partnership; within 10 years of incorporation; turnover not exceeding ₹100 crore (₹1,000,000,000) in any financial year; working towards innovation, development or improvement of products/processes/services, or a scalable business model with high potential for employment generation or wealth creation; not formed by splitting up or reconstructing an existing business. **Verify the current eligibility criteria at startupindia.gov.in.**

Why a US SAFE does not work for an Indian company

SAFE feature	US position	Indian problem
Not a debt, not equity, just a contract	Works — Delaware law accommodates it	Indian company law recognises shares, debentures and deposits. A bare contractual right to future shares for money received today looks like a deposit under Section 73 unless it fits an exemption.
No interest, no maturity	Fine	Removes the convertible-note exemption route, which requires specified terms
Money received before shares are issued	Fine	Section 42(6), Companies Act 2013: securities must be allotted **within 60 days** of receipt of application money, or refunded within 15 days thereafter with interest at 12% p.a. A SAFE deliberately leaves money outstanding for 12–24 months.
Foreign investor	Fine	A SAFE is not an "equity instrument" under the NDI Rules 2019. Inbound foreign money against a non-equity instrument is a FEMA problem requiring compounding.
Conversion at next round at a discount/cap	Fine	Pricing guidelines under FEMA require that shares issued to a non-resident be at or above fair value at the time of issue, determined by an internationally accepted pricing methodology certified by a merchant banker or CA. A deep discount can breach this.

✦ **The Indian answer: iSAFE**

100X.VC created the **iSAFE note** specifically to solve this. It is structured as **compulsorily convertible preference shares issued now at face value**, with the *conversion ratio* determined later by reference to the next priced round's price, subject to a discount and/or cap. Because the CCPS are issued upfront, Section 42's 60-day rule is satisfied, the instrument is an equity instrument under FEMA, and the economic effect mirrors a SAFE. The templates are published free by 100X.VC. If an investor insists on "a SAFE", send them the iSAFE and your lawyer's one-page explanation.

TEXT

```
iSAFE MECHANICS - WORKED

Day 0:  Angel invests Rs 50,00,000 via iSAFE
        Terms: 20% discount, Rs 12 crore valuation cap
        Issued: 50,00,000 iSAFE CCPS at Rs 1 face value
        (the number is arbitrary; the CONVERSION RATIO is what
         carries the economics)

Month 16: Priced seed round at Rs 24 crore pre-money
        Pre-money FD shares                111,112
        Seed price per share    = 24,00,00,000 / 111,112
                                = Rs 2,160.11

        Conversion price = LOWER of
           (a) 20% discount:  2,160.11 x 0.80    = Rs 1,728.09
           (b) cap price:     12,00,00,000 / 111,112
                                                 = Rs 1,080.05  <-- lower

        Equity shares on conversion = 50,00,000 / 1,080.05
                                    = 4,629 equity shares

        CHECK: 4,629 x 1,080.05 = Rs 49,99,551  ~ Rs 50,00,000  OK

        The 50,00,000 iSAFE CCPS convert into 4,629 equity shares
        (ratio 0.0009258 : 1). The board resolution records the
        ratio; no new money moves.

        Angel's stake, at the seed post-money of Rs 30 crore:
           4,629 / 147,876 (post-seed FD) = 3.13%
           Value = Rs 93.9 lakh on a Rs 50 lakh cheque after 16 months.
```

Choosing an instrument — a decision table

Situation	Use	Why
Founders at incorporation	Equity shares	Simple, cheap, full voting
₹5–20 lakh from a friend or relative	Equity at a modest premium, **or** a director's loan if the person is a director	Too small for a convertible note (₹25 lakh minimum); avoid deposit rules
₹25 lakh–₹2 crore from angels, DPIIT-recognised, do not want to price	Convertible note or iSAFE	Defers valuation; fast; cheap documentation
₹25 lakh–₹2 crore, want it priced and simple	CCPS with a short-form SHA	Gives the angel a preference without complex terms
Institutional seed or later	CCPS	The only realistic option
Bridge between priced rounds	Convertible note with cap and discount	Avoids setting a price in a weak moment
Foreign angel or fund	CCPS (or convertible note if DPIIT-recognised)	Must be an equity instrument under NDI Rules
Venture debt	NCD / term loan + warrants	Debt with equity kicker; **ECB rules apply if the lender is foreign**
Strategic/corporate investor wanting a coupon	CCD	Coupon until conversion, still an equity instrument under FEMA

Valuation: How the Number Is Actually Set

Early-stage valuation is not a calculation; it is a negotiation with a spreadsheet attached for decorum. The number is set by the amount being raised, the dilution the investor wants, comparable rounds in the same sector that quarter, and how many other investors are at the table. The formal methods below matter for two reasons: they give you the vocabulary to argue, and Indian law requires a formal valuation report for certain issuances regardless of what you and the investor agreed over coffee.

How the number is really determined

TEXT

```
THE ACTUAL ALGORITHM USED BY AN EARLY-STAGE INVESTOR

  1. "How much do you need to hit the next milestone?"
         Founder: "Rs 6 crore for 18 months of runway"

  2. "I want 20% for a seed."
         → Post-money = 6 / 0.20 = Rs 30 crore
         → Pre-money  = Rs 24 crore

  3. Sanity-check against comparables:
         "Indian B2B SaaS seeds with Rs 60L-1Cr ARR priced at
          Rs 20-35 crore pre this quarter. Rs 24 crore is fine."

  4. Adjust for:
         + Repeat founder, strong team         up to +50%
         + Competitive process, 3 term sheets  up to +40%
         + Hot sector (AI, fintech infra)      up to +60%
         - Single founder                      -10 to -25%
         - Pre-revenue                         -30 to -50%
         - Down market                         -20 to -40%
         - Messy cap table / 6 angels at 2%    -10 to -20%

  5. The DCF, if one exists, is produced AFTER step 4 and reverse-
     engineered to support it. This is not cynicism; it is how
     early-stage pricing works everywhere.

THE ONLY TWO LEVERS YOU CONTROL:
  (a) The quality of the evidence you present (revenue, retention,
      growth rate, pipeline)
  (b) COMPETITIVE TENSION - a second interested fund moves the
      number more than any model ever will.
```

The formal methods, each worked

1. DISCOUNTED CASH FLOW (DCF)

Projects free cash flows and discounts them to present value. Almost useless pre-revenue because every input is invented, but mandatory vocabulary at growth stage and sometimes required in a statutory valuation report.

TEXT

```
DCF - WORKED (a Rs 10 crore ARR Indian SaaS company)

Year          1       2       3       4       5
Revenue    10.0    18.0    30.6    46.0    62.0   (Rs crore)
EBITDA     -2.0     0.9     6.1    13.8    21.7
Less tax      0       0    -1.5    -3.5    -5.5   (25.17% eff.)
Less capex -0.5    -0.7    -1.0    -1.2    -1.5
Less dWC   -0.8    -1.2    -1.5    -1.8    -2.0
-------------------------------------------------------------
FCF        -3.3    -1.0     2.1     7.3    12.7

Discount rate (WACC) for an Indian early-growth SaaS: 22%
   (Risk-free ~7% on 10-yr G-sec + equity risk premium ~7%
    + size/illiquidity premium ~8%)

PV of FCF  = -3.3/1.22  -1.0/1.22^2  +2.1/1.22^3
             +7.3/1.22^4 +12.7/1.22^5
           = -2.70 - 0.67 + 1.16 + 3.30 + 4.70
           = Rs 5.79 crore

Terminal value (Gordon growth, g = 5%):
   TV(year5) = 12.7 x 1.05 / (0.22 - 0.05) = Rs 78.4 crore
   PV of TV  = 78.4 / 1.22^5 = Rs 29.0 crore

ENTERPRISE VALUE = 5.79 + 29.0 = Rs 34.8 crore
Add cash Rs 4 crore, less debt Rs 0  --> EQUITY VALUE Rs 38.8 crore

SENSITIVITY (this is the point of the exercise):
                 WACC 18%   WACC 22%   WACC 26%
   g = 3%        Rs 48.5    Rs 34.0    Rs 25.8
   g = 5%        Rs 55.1    Rs 38.8    Rs 29.3
   g = 7%        Rs 64.7    Rs 44.9    Rs 33.6

A 4-point WACC move changes the answer by 40%. Anyone presenting a
single DCF number for an early-stage company without a sensitivity
table is either inexperienced or selling you something.
```

2. COMPARABLE COMPANY / TRANSACTION MULTIPLES

TEXT

```
COMPARABLES - WORKED

Target: Indian vertical B2B SaaS, Rs 10 crore ARR, 80% YoY growth,
        78% gross margin, 112% net revenue retention

Comparable Indian/global SaaS transactions (illustrative only -
you must source live comps; Tracxn, VCCircle, public filings):

  Company A   ARR Rs 12 Cr   growth 70%   raised at 14x ARR
  Company B   ARR Rs  8 Cr   growth 95%   raised at 20x ARR
  Company C   ARR Rs 15 Cr   growth 55%   raised at 11x ARR
  Company D   ARR Rs  9 Cr   growth 85%   raised at 17x ARR
  ------------------------------------------------------------
  Median multiple                              15.5x ARR
  Growth-adjusted (our 80% is above median 77.5%) --> 16.5x

  Implied valuation = 10 x 16.5 = Rs 165 crore

ADJUSTMENTS TO APPLY:
  - Illiquidity / private discount            -20%
  - India market size vs global comps         -15%
  + Net revenue retention above 110%          +10%
  ------------------------------------------------------
  Adjusted:  165 x 0.80 x 0.85 x 1.10 = Rs 123 crore

THE MULTIPLES THAT MATTER BY BUSINESS MODEL (indicative, 2026):
  SaaS (ARR multiple)               8x - 20x, growth dependent
  Marketplace (GMV multiple)        0.5x - 2x GMV, or 3x-8x net rev
  Services / IT consulting          0.8x - 2.0x revenue, 6x-12x EBITDA
  D2C brand                         1.5x - 4x revenue
  Fintech lending                   1.5x - 4x book value
  AI infrastructure (2025-26)       highly inflated; verify live
```

3. THE VC METHOD

TEXT

```
VC METHOD - WORKED (the method a seed fund actually runs mentally)

Step 1: Estimate exit value in year 6
        Year 6 revenue projection        Rs 150 crore
        Exit multiple (M&A comp)            4.0x
        EXIT VALUE                       Rs 600 crore

Step 2: Apply the fund's required return
        Seed fund wants 25x on seed cheques (to cover the portfolio)
        REQUIRED POST-MONEY TODAY = 600 / 25 = Rs 24 crore

Step 3: Adjust for future dilution
        Expect ~50% further dilution across Series A, B, C
        Required ownership at exit  = Investment / (Exit/25)
        Investor puts in Rs 6 crore, wants Rs 150 crore at exit
           → 150 / 600 = 25% AT EXIT
           → with 50% dilution, needs 50% TODAY

        Rs 6 crore for 50% → post-money Rs 12 crore

Step 4: Negotiate. The founder will not give 50%. The fund
        compromises to 20-22%, which implicitly means they have
        lowered their return expectation on this deal or raised
        their exit estimate.

THE USEFUL OUTPUT: this tells you what exit value the investor is
underwriting. If they offer Rs 6 crore for 20% and seed funds
target 25x, they believe your exit is worth
   Rs 30 crore post x 25 x (1 / (1-0.5 dilution))  ...  roughly
   Rs 1,500 crore. ASK THEM. "What exit are you underwriting?"
is an excellent question that very few founders ask.
```

4. BERKUS METHOD (PRE-REVENUE)

TEXT

```
BERKUS METHOD - rupee-adjusted for India

Assign up to a ceiling for each of five risk-reduction factors.
Original US ceiling $500k each ( max $2.5m ). For India, a common
adaptation uses Rs 50 lakh per factor (max Rs 2.5 crore pre-money),
scaled up to Rs 1 crore per factor for strong teams in hot sectors.

FACTOR                              CEILING    OUR SCORE
_____________________________________________________________
Sound idea (basic value)           Rs 50 L     Rs 45 L
Prototype (reduces tech risk)      Rs 50 L     Rs 50 L
Quality management team            Rs 50 L     Rs 40 L
Strategic relationships            Rs 50 L     Rs 20 L
Product rollout / sales            Rs 50 L     Rs 15 L
_____________________________________________________________
PRE-MONEY VALUATION                            Rs 1.70 crore

USE: a sanity floor for a pre-revenue angel round. Nobody will
price a Rs 2 crore pre-money seed off a Berkus table alone, but
it stops you from asking for Rs 20 crore pre with a Figma file.
```

5. SCORECARD (PAYNE) METHOD

TEXT

SCORECARD METHOD – WORKED

Start with the median pre-money for comparable seed deals in your geography and sector. Say Indian B2B SaaS pre-seed median = Rs 8 crore.

FACTOR	WEIGHT	OUR RATING (vs median)	CONTRIBUTION
Strength of team	30%	150%	0.450
Size of opportunity	25%	110%	0.275
Product / technology	15%	120%	0.180
Competitive environment	10%	80%	0.080
Marketing / sales channels	10%	70%	0.070
Need for further investment	5%	100%	0.050
Other	5%	100%	0.050
SUM OF FACTORS			1.155

PRE-MONEY = Rs 8 crore x 1.155 = Rs 9.24 crore

This is the method most angel networks in India actually use in their investment committee notes, because it forces an explicit comparison to a baseline instead of an abstract number.

6. RISK-FACTOR SUMMATION

TEXT

```
RISK-FACTOR SUMMATION - WORKED

Start at the regional median pre-money: Rs 8 crore.
Score 12 risk factors from -2 (very negative) to +2 (very positive).
Each point = Rs 50 lakh adjustment (choose a step appropriate to
your market).

RISK                          SCORE   ADJUSTMENT
──────────────────────────────────────────────
Management                      +2    + Rs 1.00 Cr
Stage of business               -1    - Rs 0.50 Cr
Legislation / political risk     0      Rs 0
Manufacturing risk              +1    + Rs 0.50 Cr   (software: low)
Sales & marketing risk    -1    - Rs 0.50 Cr
Funding / capital raising       +1    + Rs 0.50 Cr
Competition risk                -1    - Rs 0.50 Cr
Technology risk                 +1    + Rs 0.50 Cr
Litigation risk                  0      Rs 0
International risk              +1    + Rs 0.50 Cr
Reputation risk                  0      Rs 0
Potential lucrative exit        +2    + Rs 1.00 Cr
──────────────────────────────────────────────
NET ADJUSTMENT                        + Rs 2.50 Cr
PRE-MONEY                               Rs 10.50 Cr
```

Triangulate, never rely on one

Run three methods. If they cluster within ±30%, you have a defensible range to negotiate inside. If they are 5x apart, your assumptions are the problem, not the methods. Present a **range** to investors, not a point — "we think ₹22–28 crore pre is right, here is why" is a far stronger position than "our valuation is ₹26.5 crore".

Statutory valuation reports — when Indian law requires one

Situation	Report required	Who may issue it	Governing provision
Preferential allotment / private placement of shares by an unlisted company	**Yes** — valuation report	**Registered Valuer** (registered with IBBI under the Companies (Registered Valuers and Valuation) Rules, 2017)	Sec. 62(1)(c) and Rule 13, Companies (Share Capital and Debentures) Rules 2014
Issue of shares to a **non-resident**	**Yes** — price must be at or above fair value	**SEBI-registered Merchant Banker** or a **Chartered Accountant**, using any internationally accepted pricing methodology on an arm's-length basis	Rule 21, NDI Rules 2019 + FEMA Master Direction — Foreign Investment in India
Transfer of shares between a resident and a non-resident	**Yes**	Merchant banker or CA	Rule 21, NDI Rules 2019 (resident sells to non-resident: price not below FMV; non-resident sells to resident: price not above FMV)
Issue at a premium — angel tax valuation	**No longer** (abolished)	—	Sec. 56(2)(viib) abolished for all investor classes from **AY 2025-26** by the Finance (No. 2) Act, 2024 — **verify at incometax.gov.in**
ESOP perquisite valuation at exercise	**Yes** — FMV certificate	**Category I Merchant Banker**	Rule 3(8)/(9) of the Income-tax Rules, 1962 for unlisted shares — verify current rule numbering
Buyback under Section 68	Yes	Registered Valuer	Sec. 68 + Rule 17, Share Capital Rules
Issue of CCPS/CCDs	Yes	Registered Valuer (and merchant banker/CA if a non-resident subscribes)	Sec. 62(1)(c) + NDI Rules

⚠ **Angel tax — what changed, and what you should still do (verify at incometax.gov.in)** Section 56(2)(viib) taxed the excess of consideration over fair market value, when an unlisted company issued shares at a premium, as "income from other sources" in the **company's** hands at up to ~30% plus surcharge and cess. The Finance Act 2023 extended it to non-resident investors, which caused significant disruption; the **Finance (No. 2) Act, 2024 abolished Section 56(2)(viib) entirely with effect from AY 2025-26**. **However**: (a) a Registered Valuer report is still required under Section 62(1)(c) of the Companies Act for a preferential allotment; (b) a merchant banker/CA valuation is still required under the NDI Rules for any non-resident subscription; (c) Section 56(2)(x), which taxes the **recipient** of property below FMV, is unaffected and can still apply to share transfers. Do not skip valuations because "angel tax is gone". Confirm the current statutory position before relying on this.

The gap between the number and reality

- ☐ A headline valuation with a 2x participating liquidation preference is worth far less to founders than a lower valuation with 1x non-participating. **Always compare offers on the exit waterfall, not the headline.**
- ☐ A high valuation sets the bar for the next round. A ₹120 crore post seed means the Series A must price above ₹120 crore or you are in a down round with anti-dilution triggering.
- ☐ Paper valuation is not wealth. It becomes wealth only in a secondary sale, an acquisition, or an IPO — and preference stacks eat the first slice of all three.
- ☐ A 409A-style valuation for ESOP strike price in India (the merchant banker FMV) will be materially **lower** than the preferred-share price, because ordinary shares lack preference rights. A 2–4x gap is normal and is good for employees.

The Term Sheet, Clause by Clause

A term sheet is a short, mostly non-binding document that sets the commercial terms of a round. It is non-binding on economics but binding on exclusivity, confidentiality and costs. Once signed, renegotiating a term is expensive in goodwill and nearly impossible in practice. Every hour spent on the term sheet saves ten on the definitive agreements. This section walks every clause: what it means, what is market in India, and what to push back on.

Read these three lines first, every time

(1) **Liquidation preference** — multiple and participation. (2) **Option pool** — size and whether pre- or post-money. (3) **Protective provisions / reserved matters** — the full list. These three determine more of your outcome than the valuation does. A founder who negotiates valuation from ₹24 crore to ₹28 crore and accepts a 2x participating preference has lost the negotiation.

Clause 1 — Round size, valuation and the pre/post statement

What it says	What it means	Market	Push back on
"Investment Amount: ₹6,00,00,000. Pre-Money Valuation: ₹24,00,00,000 on a fully diluted basis including the Employee Stock Option Pool referred to below."	You are selling 20% post-money, and the pool is inside the pre-money	Explicit pre or post, fully diluted basis defined	Any term sheet that does not say "pre-money" or "post-money"; any definition of "fully diluted" that is vague about ungranted options and unconverted notes
"Tranching: 60% at Closing, 40% on achievement of Milestones"	You get part of the money; the rest is conditional	Common at seed in India, resisted at Series A	Vague milestones. If you accept tranching, make milestones objectively measurable and the second tranche's price fixed at the first tranche's price
"Co-investors: up to ₹1 crore from angels acceptable to the Lead"	The lead controls who else joins	Normal	A veto so broad that you cannot bring in a strategic angel

Clause 2 — Liquidation preference (the single most important economic term)

A liquidation preference determines who gets paid first and how much, in any "liquidity event" — which the documents will define to include a sale of the company, a sale of substantially all assets, a merger, and sometimes an IPO below a threshold price.

Variant	Mechanics	Founder impact	Market in India
1x non-participating	Investor takes the **greater of** their money back or their as-converted share	Fairest. At a good exit, the investor converts and everyone shares pro-rata	**Standard** — insist on this
1x participating ("double dip")	Investor takes their money back **and then** shares pro-rata in the remainder	Materially worse for founders at mid-range exits	**Seen**, especially in down markets and at growth stage. Negotiate a cap (e.g. participation ceases at 3x)
2x or 3x non-participating	Investor takes 2x or 3x their money before anyone else	Severe at low exits	**Seen** in structured and distressed rounds
2x participating	Both of the above	Punitive	**Avoid**
Seniority: stacked	Series B paid before Series A, before Seed	Later investors are protected first	Common at Series B+
Seniority: pari passu	All preference shareholders share the preference pool pro-rata	Better for early investors; neutral for founders	Common up to Series A; negotiate for it

EXIT WATERFALL — THE SAME CAP TABLE AT THREE EXIT VALUES

TEXT

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SETUP (using the post-Series-A cap table from Section 5)

Holder          Security      Shares(ac)    %FD     Invested
──────────────────────────────────────────────────────────────
Founders        Equity           100,000  47.38%          -
Options         Options           25,325  12.00%          -
Seed Fund       CCPS-Seed         29,575  14.01%   Rs  6.00 Cr
Bridge          CCPS-Seed2         5,340   2.53%   Rs  2.00 Cr
Series A Fund   CCPS-A            50,249  23.81%   Rs 30.00 Cr
──────────────────────────────────────────────────────────────
TOTAL                            211,045 100.00%   Rs 38.00 Cr

Assume all options are granted and exercised (worst case for founders).
Preference stack: pari passu, 1x.

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SCENARIO A: SALE AT Rs 30 CRORE  (below total invested)
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  1x NON-PARTICIPATING, PARI PASSU
     Total preference claimed    Rs 38.00 Cr > Rs 30 Cr available
     Pro-rata among preference holders:
        Seed   : 6/38  x 30 = Rs  4.74 Cr   (on Rs 6.00 Cr in)
        Bridge : 2/38  x 30 = Rs  1.58 Cr   (on Rs 2.00 Cr in)
        Ser A  : 30/38 x 30 = Rs 23.68 Cr   (on Rs 30.00 Cr in)
     FOUNDERS + OPTIONS              Rs  0.00
     Investors lose money; founders get NOTHING.

  1x NON-PARTICIPATING, STACKED (A senior)
        Series A : Rs 30.00 Cr  (full)
        Seed     : Rs  0.00
        Bridge   : Rs  0.00
        Founders : Rs  0.00
     Note how seniority destroys the SEED investor, not the founder.
     Founders get zero either way below the preference stack.

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SCENARIO B: SALE AT Rs 120 CRORE
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  1x NON-PARTICIPATING
     Each preference holder chooses the better of
     (i) money back, or (ii) as-converted share of Rs 120 Cr.

     Seed:   money back Rs 6.00 Cr  vs  14.01% x 120 = Rs 16.81 Cr
             → CONVERTS
     Bridge: Rs 2.00 Cr  vs  2.53% x 120 = Rs 3.04 Cr → CONVERTS
     Ser A:  Rs 30.00 Cr vs 23.81% x 120 = Rs 28.57 Cr
```

```
            → TAKES PREFERENCE (Rs 30.00 Cr)

     Series A takes Rs 30 Cr off the top.
     Remaining Rs 90 Cr shared by the rest, pro-rata of their
     combined 76.19%  ...  which must be re-based:
       Founders 47.38 / 76.19 = 62.19%  → Rs 55.97 Cr
       Options  12.00 / 76.19 = 15.75%  → Rs 14.17 Cr
       Seed     14.01 / 76.19 = 18.39%  → Rs 16.55 Cr
       Bridge    2.53 / 76.19 =  3.32%  → Rs  2.99 Cr
                                          ________
                                          Rs 89.68 Cr (+rounding)

     FOUNDERS RECEIVE Rs 55.97 Cr   (46.6% of the Rs 120 Cr)

  1x PARTICIPATING (same Rs 120 Cr exit)
     ALL preference holders take money back first: Rs 38.00 Cr
        Seed Rs 6 Cr, Bridge Rs 2 Cr, Series A Rs 30 Cr
     Remaining Rs 82.00 Cr shared pro-rata on FULL 100% FD:
        Founders 47.38%  → Rs 38.85 Cr
        Options  12.00%  → Rs  9.84 Cr
        Seed     14.01%  → Rs 11.49 Cr  (total Rs 17.49 Cr)
        Bridge    2.53%  → Rs  2.07 Cr  (total Rs  4.07 Cr)
        Ser A    23.81%  → Rs 19.52 Cr  (total Rs 49.52 Cr)

     FOUNDERS RECEIVE Rs 38.85 Cr

     *** PARTICIPATION COST THE FOUNDERS Rs 17.12 CRORE ***
     on the SAME exit, with the SAME valuation.

  2x PARTICIPATING (same Rs 120 Cr exit)
     Preference = 2 x 38 = Rs 76.00 Cr off the top
     Remaining Rs 44.00 Cr pro-rata:
        Founders 47.38% → Rs 20.85 Cr
     FOUNDERS RECEIVE Rs 20.85 Cr  (17% of a Rs 120 Cr exit)

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SCENARIO C: SALE AT Rs 600 CRORE
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  1x NON-PARTICIPATING
     Every preference holder converts (as-converted > money back)
        Founders 47.38% → Rs 284.28 Cr
        Options  12.00% → Rs  72.00 Cr
        Seed     14.01% → Rs  84.06 Cr
        Bridge    2.53% → Rs  15.18 Cr
        Ser A    23.81% → Rs 142.86 Cr
     Clean pro-rata. This is why 1x non-participating is "founder
     friendly": at a GOOD exit it disappears entirely.
```

```
  1x PARTICIPATING
        Preference off top Rs 38 Cr; remaining Rs 562 Cr pro-rata
        Founders 47.38% x 562 = Rs 266.28 Cr
     Participation cost at a great exit: Rs 18.00 Cr (3%).
     At a mediocre exit it cost 31%. THAT is the asymmetry.

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THE SUMMARY TABLE TO SHOW YOUR CO-FOUNDER
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Exit value      Founders' share
                1x non-part   1x part    2x part
Rs   30 Cr       Rs   0.00    Rs  0.00   Rs  0.00
Rs  120 Cr       Rs  55.97    Rs 38.85   Rs 20.85
Rs  300 Cr       Rs 142.14    Rs 124.1   Rs 106.1
Rs  600 Cr       Rs 284.28    Rs 266.3   Rs 248.3
```

How to negotiate preference without sounding naive

Do not say "I want 1x non-participating". Say: "We are modelling the waterfall at ₹100 crore, ₹300 crore and ₹600 crore exits. At ₹120 crore, participation transfers ₹17 crore from the team to the fund — and at that exit the fund still makes 2.6x on a non-participating basis. We would rather give you an extra 1.5% of the company than participation, because the team's upside at the realistic exit range is what keeps them here." Quantify it. Funds respond to the waterfall, not to adjectives.

Clause 3 — Anti-dilution protection

If you later issue shares below the price the investor paid, anti-dilution adjusts their conversion ratio so they end up with more equity shares, compensating them for the down round. The adjustment is paid for by the founders and the option pool.

Variant	Formula	Severity	Market in India
Broad-based weighted average	NCP = OCP × (CSO + CSP) ÷ (CSO + CSAP), where the "outstanding" base includes all equity, options and convertibles	Moderate — shares the pain	**Standard — ask for this**
Narrow-based weighted average	Same formula, but "outstanding" counts only issued equity (excludes the option pool)	Harsher — smaller denominator means a bigger adjustment	**Negotiable**
Full ratchet	Conversion price resets to the new, lower price, regardless of how few shares were issued	Brutal — a tiny down-priced issue can massively re-cut the cap table	**Push back hard**; sometimes accepted with a sunset (applies only for 12–18 months) or a cap
Pay-to-play	Anti-dilution applies only if the investor participates pro-rata in the down round; otherwise their preferred converts to ordinary	Founder-friendly addition	**Ask for it** — it aligns everyone

TEXT

```
ANTI-DILUTION - WORKED

SETUP: Seed fund holds 29,575 CCPS bought at Rs 2,028.73 each
       (Rs 6 crore). Conversion ratio currently 1:1.
       Pre-down-round FD = 211,045 shares.

DOWN ROUND: company raises Rs 10 crore at Rs 40 crore pre-money
       New price per share = 40,00,00,000 / 211,045 = Rs 1,895.32
       New shares issued   = 10,00,00,000 / 1,895.32 = 52,762

       This is BELOW the seed price of Rs 2,028.73 → anti-dilution
       triggers for the Seed Fund. (Series A bought at Rs 5,970.30,
       so they are massively triggered too - shown after.)

--- BROAD-BASED WEIGHTED AVERAGE ---
  NCP = OCP x  (CSO + CSP) / (CSO + CSAP)

  OCP  = Old conversion price                = Rs 2,028.73
  CSO  = Common shares outstanding (broad,
         incl. options + as-converted)       = 211,045
  CSP  = Shares that WOULD have been issued
         at the old price = 10,00,00,000 / 2,028.73 = 49,292
  CSAP = Shares ACTUALLY issued              = 52,762

  NCP = 2,028.73 x (211,045 + 49,292) / (211,045 + 52,762)
      = 2,028.73 x 260,337 / 263,807
      = 2,028.73 x 0.98685
      = Rs 2,002.06

  New conversion ratio for Seed Fund:
     Shares on conversion = (29,575 x 2,028.73) / 2,002.06
                          = 6,00,00,089 / 2,002.06
                          = 29,969 equity shares  (was 29,575)
     GAIN: 394 extra shares.  Modest.

--- FULL RATCHET (same facts) ---
  NCP = new price = Rs 1,895.32
     Shares on conversion = 6,00,00,089 / 1,895.32
                          = 31,657 equity shares
     GAIN: 2,082 extra shares.  5x the broad-based adjustment.

--- NOW DO IT FOR SERIES A (Rs 30 Cr at Rs 5,970.30) ---
  FULL RATCHET:
     Shares = 30,00,02,100 / 1,895.32 = 158,286 shares
              (was 50,249)
     The Series A fund's stake explodes from 23.81% to roughly
     158,286 / (211,045 - 50,249 + 158,286 + 52,762 + 394)
            = 158,286 / 372,238 = 42.5%
```

```
     FOUNDERS: 47.38% → 100,000 / 372,238 = 26.9%
     A single down round with a full ratchet nearly HALVED the
     founders. With broad-based weighted average, the same down
     round would have cost them roughly 5 percentage points.

*** THIS IS WHY YOU FIGHT FULL RATCHET AT THE TERM SHEET. ***
```

⚠ **Carve-outs you must insist on**

Anti-dilution must **not** trigger on: shares issued under an approved ESOP scheme; shares issued on conversion of existing convertibles; shares issued in a bona fide strategic partnership, acquisition or joint venture approved by the board; shares issued to banks, lessors or venture debt providers as warrants; bonus issues, splits and reclassifications; and any issue approved in writing by the holders of a majority of that class. Without carve-outs, granting a normal ESOP can technically trigger anti-dilution.

Clause 4 — The ESOP pool and the pool shuffle

Term sheet language	Effect	Your response
"An ESOP pool of 15% of the post-Closing fully diluted capital shall be created **prior to Closing**"	Pool comes entirely out of founders' pre-money	Ask for the hiring plan that justifies 15%. Most seed companies need 8–12%. Offer a smaller pool now with a committed top-up at Series A
"...shall be created **after Closing**"	Pool dilutes everyone including the new investor	This is the founder-friendly version. Ask for it.
"The existing unallocated pool shall be counted towards the new pool"	Reduces the top-up needed	Good — make sure it is explicit
Silence on whether the pool is pre- or post-money	It will become pre-money in the SSA	Never leave it silent

TEXT

```
THE POOL SHUFFLE QUANTIFIED

Round: Rs 6 Cr at Rs 24 Cr pre / Rs 30 Cr post. Existing FD 111,112
(includes a 10,556 unallocated pool). Investor wants a 12% post pool.

CASE 1 - POOL CREATED PRE-MONEY (investor's ask)
   Founders+advisor fixed at 100,556 = 68% of post FD
   T = 147,876 ; investor 29,575 (20%) ; pool 17,745 (12%)
   FOUNDERS: 100,000 / 147,876 = 67.62%
   Effective pre-money for founders:
      founders own 67.62% of Rs 30 Cr = Rs 20.29 Cr
      not the Rs 24 Cr the term sheet advertised.
      EFFECTIVE PRE-MONEY = Rs 24 Cr x (100,000/111,112)
                          ... measured properly:
      Founders had 90% of pre-money Rs 24 Cr = Rs 21.6 Cr
      Now hold 67.62% of Rs 30 Cr           = Rs 20.29 Cr
      LOSS OF Rs 1.31 CRORE of paper value at the round itself.

CASE 2 - POOL CREATED POST-MONEY
   Step 1: investor buys 20% of the pre-pool company
      Pre FD 111,112 ; investor shares = 111,112 x (20/80) = 27,778
      Post-investment FD = 138,890
   Step 2: create a 12%-of-final pool
      Let F = final FD.  138,890 = 0.88 F  -->  F = 157,830
      Pool = 18,940
   FOUNDERS: 100,000 / 157,830 = 63.36%  ... that's WORSE?
   No - re-check. In Case 2 the INVESTOR is also diluted:
      Investor: 27,778 / 157,830 = 17.60%  (not 20%)
      Founders: 100,000 / 157,830 = 63.36%
      Advisor:     556 / 157,830 =  0.35%
   Investor paid Rs 6 Cr for 17.60%, implying a post-money of
   Rs 34.1 Cr, i.e. a pre-money of Rs 28.1 Cr.

   So "pool post-money" is economically identical to asking for a
   HIGHER PRE-MONEY. The honest negotiation is therefore:
      "If you want a 12% pool pre-money, the pre-money must be
       Rs 28.1 crore, not Rs 24 crore, for the same economics."

   State it that way. It converts an opaque structural term into
   a simple number both sides can argue about.
```

Clause 5 — Board composition

Stage	Typical board	Control	Watch for
Pre-seed / angel	2 founders. Investor gets an **observer** seat	Founders	Observers have no vote but attend everything — confirm confidentiality obligations
Seed	2 founders + 1 investor director	Founders (2-1)	Quorum requirements that make the investor director's presence mandatory give them a de facto veto on meetings
Series A	2 founders + 1 seed + 1 Series A + 1 independent	Balanced; the independent is the swing	Who nominates the independent. Market: mutually agreed. Avoid "nominated by the Investor"
Series B+	2 founders + 2–3 investors + 1–2 independents	Founders are a minority	From here, reserved matters matter more than seats

> **Indian company law constraints on the board**
> A private limited company must have a minimum of **2 directors** and at least **one director resident in India** (present in India for at least 182 days in the financial year) — Sections 149(1) and 149(3), Companies Act 2013. Every director needs a **DIN** and must file **DIR-3 KYC** annually. An investor nominee director is appointed via a board resolution and **Form DIR-12** within 30 days. Nominee directors owe fiduciary duties to the company under Section 166, not to the fund that nominated them — a point worth raising when a nominee behaves otherwise. Verify at **mca.gov.in**.

Clause 6 — Protective provisions / reserved matters

A list of actions the company cannot take without the consent of the investor (or the investor director). This is where real control sits. A typical Indian Series A list runs 20–35 items.

Reserved matter	Reasonable?	Negotiation note
Amendment of MOA/AOA	Yes	Universal
Issue of any new securities	Yes	Carve out ESOP grants within the approved pool
Change in share capital, buyback, split, bonus	Yes	Universal
Any merger, acquisition, sale of the company or of material assets	Yes	Universal — but note this is the clause that can block your exit
Liquidation, winding up, insolvency filing	Yes	Universal
Declaration of dividends	Yes	Universal
Change in the nature of the business	Yes	Define "material change"; a pivot should not need unanimous consent
Incurring debt above a threshold	Yes	Set a real threshold (e.g. ₹2 crore), not ₹0
Approval of the annual business plan and budget	Qualified	Accept board approval; resist a *shareholder* veto. Add a deemed-approval fallback: if not approved within 30 days, last year's budget plus 15% applies
Appointment/removal of CEO, CFO, CTO	Qualified	Reasonable for CFO. Resist for roles the founder must be able to fill
Any employee compensation above ₹X	Qualified	Set ₹ threshold high enough to hire a VP without a shareholder meeting
Related-party transactions	Yes	Already regulated by Section 188, Companies Act — fine
Change of statutory auditor	Yes	Normal
Change of registered office or jurisdiction	Yes	Normal

Creating a subsidiary or JV	Yes	Normal
Licensing or transferring core IP	Yes	Normal
Any capex above ₹X	Qualified	Threshold must be operationally sane for a software company
Changing the ESOP scheme or pool size	Yes	Normal
Entering any contract above ₹X	Resist	This paralyses operations. If accepted, the threshold must be very high
Hiring or firing *any* employee	Reject	Not a shareholder matter
Changing the pricing of products	Reject	Operating decision

✦ **The two structural asks that matter more than the list**
(1) **Consent of a majority of preference shareholders voting as a single class** rather than each investor individually — otherwise a 2% angel can block a merger. (2) A **deemed consent** mechanism: if an investor does not respond within 10 business days of a written request with full information, consent is deemed given. Without it, an unresponsive investor stalls the company. Both are commonly accepted and both will save you months.

Clause 7 — Information and inspection rights

TEXT

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TYPICAL INFORMATION RIGHTS PACKAGE (Series A, India)

MONTHLY, within 15 days of month-end:
  - Management P&L vs budget
  - Cash position and runway
  - Key operating metrics (ARR/MRR, churn, pipeline, headcount)
  - Bank statements (sometimes)

QUARTERLY, within 30 days of quarter-end:
  - Unaudited balance sheet, P&L, cash flow
  - Updated cap table
  - Board pack
  - Statutory compliance certificate (GST, TDS, PF, ESIC paid)

ANNUALLY, within 90-120 days of year-end:
  - Audited financial statements
  - Annual budget and business plan for the coming year
  - Tax filings confirmation
  - Updated FEMA filing status

ON DEMAND:
  - Inspection of books and records on reasonable notice
  - Access to the auditor
  - Right to appoint an auditor at investor cost

NEGOTIATE:
  - Monthly reporting is a real burden pre-Series A; ask for
    quarterly with a monthly one-page flash.
  - Information rights should fall away for investors below a
    threshold (e.g. holding under 2%) to keep the list manageable.
  - Add a confidentiality obligation and a restriction on sharing
    with portfolio competitors.
```

Clause 8 — Pro-rata, ROFR, ROFO, tag-along, drag-along

Right	What it does	Who benefits	Negotiation
Pro-rata / participation right	Investor may maintain their percentage in future rounds	Investor	Standard. Add a "use it or lose it" and a super pro-rata cap. Resist a right to take more than pro-rata, which squeezes out new leads
ROFR (right of first refusal)	If you want to sell shares to a third party, the investor can buy them on the same terms first	Investor	Standard on founder shares. Carve out transfers to family trusts and estate planning
ROFO (right of first offer)	You must offer to the investor at a price *before* going to market	Investor	Less restrictive than ROFR for the seller in practice. Prefer ROFO if offered a choice
Tag-along (co-sale)	If founders sell, investors can sell the same proportion on the same terms	Investor	Standard and fair. Make it proportionate, not full tag on 100%
Drag-along	If holders of X% approve a sale, all other shareholders must sell	Majority	**Negotiate the trigger.** Market: approval of a majority of preference shares **plus** at least one founder, or a minimum price (e.g. at least 2x the latest round price). Resist a drag that lets investors alone force a sale at any price
Lock-in on founders	Founders cannot sell any shares for a period	Investor	Market: until exit or 3–5 years. Negotiate a **secondary carve-out**: permission to sell 5–10% of your holding at Series B+ to de-risk personally

⚠ **The drag-along clause deserves ten minutes of your full attention**

A drag triggered by "holders of a majority of the Preference Shares" means that once investors collectively hold more preference than you hold equity — which happens by Series B — **they can force you to sell your company at a price they choose**, and you must sign the sale documents, give warranties and be bound by the indemnity. The founder protections to insist on: (a) a founder must be in the approving group, or (b) a minimum price floor expressed as a multiple of the last round, or (c) the drag only applies after year 5, or (d) all of these.

Clause 9 — The India-specific exit obligation

TEXT

TYPICAL INDIAN EXIT CLAUSE (paraphrased)

"The Company and the Founders shall use best efforts to provide an exit to the Investor within 60 (sixty) months of the Closing Date, by way of (i) an initial public offering, (ii) a strategic sale or merger, (iii) a buy-back of the Investor's shares by the Company, or (iv) a sale to a third party. If no exit has been provided within the said period, the Investor shall be entitled to require the Company and/or the Founders to purchase the Investor's shares at Fair Market Value."

WHY IT EXISTS: a SEBI-registered AIF has a finite fund life and its LPs expect distributions. The fund cannot hold your shares forever.

WHY IT IS DANGEROUS:
- A PUT OPTION at an assured price against a NON-RESIDENT investor is NOT PERMITTED under FEMA. The NDI Rules permit optionality clauses only with a minimum one-year lock-in and an EXIT AT MARKET PRICE / FAIR VALUE - no assured return. Verify at rbi.org.in (Master Direction - Foreign Investment in India).
- A BUYBACK by the company requires Sec. 68 compliance and free reserves which a loss-making startup does not have.
- A personal obligation on FOUNDERS to buy the shares is an unlimited personal liability. RESIST THIS ABSOLUTELY.

WHAT TO NEGOTIATE:
1. "best efforts" not "shall ensure"
2. Obligation on the COMPANY, never personally on founders
3. Exit at FAIR MARKET VALUE determined by an independent valuer, never at an assured IRR
4. 7 years, not 5
5. Explicit carve-out: "subject to applicable law, including the Companies Act 2013 and FEMA"
6. Drag-along as the agreed fallback mechanism rather than a put

Clause 10 — The remaining operative terms

Clause	Typical	Note
Founder lock-in / commitment	Founders commit full-time for 3–4 years; cannot resign without consent	Make sure "cause" for termination is tightly defined and that acceleration applies on termination without cause
Non-compete / non-solicit on founders	During term + 12–24 months after	Post-term non-compete is largely unenforceable in India (Section 27, Contract Act). Non-solicit is more defensible
Exclusivity / no-shop	45–90 days from term sheet signature	**Binding.** Negotiate 45 days, with automatic lapse if definitive docs are not circulated within 15 days. Add a carve-out allowing you to respond to unsolicited inbound
Confidentiality	Mutual, 2–3 years	Binding. Make it mutual — many drafts bind only you
Costs	Company bears investor legal costs, capped	**Binding.** Insist on a cap: ₹3–8 lakh at seed, ₹10–20 lakh at Series A. Insist it is payable only on completion
Conditions precedent (CPs)	Satisfactory DD, board/shareholder approvals, valuation report, increase in authorised capital, amended AOA, statutory clearances, no material adverse change	Ask for a **defined, closed list**. "Due diligence satisfactory to the Investor in its sole discretion" is an unlimited walk-away right
Representations and warranties	Given by the company; often also by founders	Negotiate: founders' warranties limited to title to shares and no conflicting obligations; business warranties given by the company only

Indemnity	Company indemnifies for breach of warranty	**Cap it.** Market: capped at the investment amount, with a de minimis (₹1–5 lakh per claim), a basket (claims aggregate above ₹10–25 lakh before any claim), and a survival period of 24–36 months. Resist uncapped founder indemnity and resist indemnity being payable from founders' personal assets
Governing law and dispute resolution	Indian law; arbitration under the Arbitration and Conciliation Act 1996; seat at Mumbai/Bengaluru/Delhi; SIAC if a foreign investor insists	SIAC (Singapore) arbitration is common with foreign funds and is enforceable in India under the New York Convention. It is also expensive — a ₹1 crore dispute is not worth a SIAC arbitration
Most favoured nation (MFN)	Occasionally requested by early angels	If an earlier investor has MFN, every better term you give later flows back to them. Know who has it

A term sheet red-flag checklist

- ☐ Liquidation preference above 1x, or participating without a cap.
- ☐ Full ratchet anti-dilution with no sunset and no carve-outs.
- ☐ Option pool of 15%+ created entirely pre-money with no hiring plan.
- ☐ Reserved matters requiring *each* investor's consent rather than a class majority.
- ☐ Drag-along exercisable by investors alone with no price floor.
- ☐ Personal founder obligation to buy back investor shares.
- ☐ Founder vesting restarting fully at 0% with no credit for time served.
- ☐ Uncapped founder indemnity, or indemnity with no basket and no survival limit.
- ☐ Exclusivity longer than 90 days, or with no lapse mechanism.
- ☐ Uncapped investor legal costs payable regardless of whether the deal closes.
- ☐ "Due diligence satisfactory to the Investor in its sole and absolute discretion" as the only CP.

- [ ] No pay-to-play, combined with aggressive anti-dilution.
- [ ] Board quorum that cannot be met without the investor director, with no adjournment fallback.
- [ ] An assured-return put option against a non-resident investor (a FEMA problem for *you*).

Due Diligence: Surviving the Microscope

Diligence is where badly run companies get re-priced or dropped. The good news is that almost every finding is preventable with six weeks of housekeeping done *before* you start fundraising. The bad news is that founders almost never do it, because the problems are invisible until a lawyer with a checklist arrives.

The data room structure

TEXT

```
DATA ROOM - FOLDER STRUCTURE (use Google Drive, Dropbox, or a
dedicated VDR. Set view-only, watermark, and audit logging.)

00_INDEX
   00_Data_Room_Index.xlsx              (every doc, status, owner)

01_CORPORATE
   01.1 Certificate of Incorporation, PAN, TAN
   01.2 MOA and AOA (current, certified)
   01.3 Share certificates (all, scanned)
   01.4 Register of Members (MGT-1), Register of Directors
   01.5 Board minutes - ALL, chronological
   01.6 Shareholder meeting minutes + notices - ALL
   01.7 MCA filings: PAS-3, MGT-14, SH-7, DIR-12, AOC-4, MGT-7
   01.8 Cap table (current + history, reconciled to PAS-3)
   01.9 Shareholders' agreements, all prior SSAs/SHAs
   01.10 DPIIT recognition certificate, Udyam certificate

02_FINANCIAL
   02.1 Audited financials (all years)
   02.2 Management accounts (monthly, last 24 months)
   02.3 Trial balance and general ledger (Excel export)
   02.4 Bank statements (all accounts, 24 months)
   02.5 Revenue schedule by customer by month
   02.6 Accounts receivable ageing
   02.7 Accounts payable and accrued liabilities
   02.8 Financial model / projections
   02.9 Debt schedule, loan agreements, charge filings (CHG-1)

03_TAX
   03.1 Income tax returns (ITR-6) + computation, all years
   03.2 Tax audit reports (3CA/3CD) if applicable
   03.3 GST registration, GSTR-1/3B/9 for all periods
   03.4 GST reconciliation (2A/2B vs ITC claimed)
   03.5 TDS returns 24Q/26Q, challans, Form 16/16A
   03.6 Any notices, assessments, appeals, demands
   03.7 Advance tax challans
   03.8 Form 3CEB / transfer pricing if related-party cross-border

04_LEGAL_CONTRACTS
   04.1 Customer contracts (top 20 by revenue + standard T&C)
   04.2 Vendor and supplier agreements
   04.3 Lease / coworking agreements
   04.4 NDAs with material counterparties
   04.5 Partnership / reseller / channel agreements
   04.6 Litigation: pending, threatened, past 5 years + counsel letter
   04.7 Insurance policies
```

```
05_IP
   05.1 Trademark registrations and applications (TM-A, status)
   05.2 Patents, copyrights, domain names
   05.3 IP assignment agreements - FOUNDERS
   05.4 IP assignment - EMPLOYEES (every single one)
   05.5 IP assignment - CONTRACTORS AND FREELANCERS  <-- the killer
   05.6 Open-source licence inventory and compliance report
   05.7 Third-party software licences in the product

06_HR
   06.1 Employee list: name, role, DOJ, CTC, location, status
   06.2 Offer and appointment letters (templates + signed samples)
   06.3 Employment agreements with confidentiality + IP + non-solicit
   06.4 Consultant/contractor agreements
   06.5 ESOP scheme document, board + shareholder resolutions
   06.6 ESOP grant letters, grant register, vesting schedule
   06.7 PF registration + ECR challans (24 months)
   06.8 ESIC registration + contributions
   06.9 Professional tax, Shops & Establishments registration
   06.10 Gratuity provision / actuarial valuation
   06.11 POSH policy, Internal Committee constitution, annual returns

07_REGULATORY_FEMA
   07.1 Entity Master Form (FIRMS portal) - registered? screenshot
   07.2 FC-GPR for EVERY foreign allotment + RBI acknowledgement/UIN
   07.3 FC-TRS for every resident<->non-resident transfer
   07.4 Annual Return on Foreign Liabilities and Assets (FLA)
   07.5 Form DI for any downstream investment
   07.6 Any compounding applications, orders, penalties

08_TECHNICAL
   08.1 Architecture diagram and tech stack
   08.2 Repository access (read-only) or a code walkthrough session
   08.3 Infrastructure: cloud accounts, costs, scaling plan
   08.4 Security: pen test reports, SOC 2 / ISO 27001 status
   08.5 Uptime history, incident log
   08.6 Data protection: DPDP readiness, DPA templates, sub-processors
   08.7 Product roadmap

09_COMMERCIAL
   09.1 Cohort retention analysis
   09.2 Unit economics: CAC, LTV, payback, by channel
   09.3 Pipeline and sales funnel data
   09.4 Customer references (names, with permission)
   09.5 Churn log with reasons
   09.6 Competitive analysis
```

What actually kills or re-prices Indian deals

Finding	Why it is fatal	Fix before you start raising	Time to fix
Missing FC-GPR filings	FEMA contravention. The investor's own compliance team will not permit the investment until it is regularised. Late Submission Fee or compounding required	Audit every foreign allotment since incorporation; file late with LSF or apply for compounding through your AD bank	4–16 weeks
ESOP pool created without a special resolution / MGT-14	Grants may be void. Employees' expectations are unfunded. Cap table is wrong	Pass a ratifying special resolution, file MGT-14, re-issue grant letters	3–6 weeks
Contractor IP not assigned	Under the Copyright Act, 1957, in the absence of a written assignment, an independent contractor generally retains copyright in what they create. Your core product may not be yours	Get signed assignment deeds from every freelancer who touched the codebase, including past ones. Pay nominal consideration	2–8 weeks, longer if people are unreachable
Cap table does not reconcile to PAS-3 / Register of Members	Nobody can confirm who owns the company	Reconcile share by share; file any missed PAS-3 with additional fees; rectify the register	2–6 weeks
Unpaid statutory dues (TDS, GST, PF, ESIC)	Becomes an indemnity claim and a cash hole. TDS defaults also disallow the expense under Section 40(a)(ia)	Reconcile and pay with interest; obtain challans	1–4 weeks + cash
GSTR-2B vs ITC mismatch	Input tax credit claimed that the vendor never deposited is recoverable from you with interest	Reconcile 24 months; chase vendors; reverse what cannot be substantiated	3–6 weeks
Employees misclassified as	Retrospective PF, ESIC, gratuity and TDS liability,	Reclassify going forward; quantify the historical	Ongoing

consultants	plus a labour-law exposure	exposure with a CA; disclose it	
Related-party transactions not approved under Section 188	Voidable; director liability	Board/shareholder ratification, disclosure in financials, Form AOC-2	2–4 weeks
Revenue concentration (one customer > 30%)	Not a legal defect but a valuation haircut of 15–30%	Cannot be fixed quickly. Disclose early and frame the mitigation	—
Revenue recognition that is really services	ARR that is actually one-off implementation revenue destroys the multiple	Separate the two in your own reporting *before* the investor's accountant does it for you	1–2 weeks
Founders' pre-incorporation IP not assigned to the company	The company may not own what it was built on	Execute a founder IP assignment deed, back-dated in effect through a recital of prior intent, signed now	1 week
Open-source licence contamination (GPL/AGPL in a proprietary product)	Could require you to open-source your product	Run an SCA scan (Snyk, FOSSA, Black Duck); replace or isolate offending components	2–12 weeks
No POSH Internal Committee	Statutory non-compliance; penalty; a governance red flag for institutional investors	Constitute the IC, adopt a policy, conduct training, file the annual report	2–3 weeks
Director disqualification or struck-off related entity	Section 164 disqualification blocks you from being a director anywhere	Check MCA master data for every director and every entity they are in	Varies

✦ **Run a pre-emptive internal clean-up — the single highest-ROI six weeks of a founder's year**

Hire your CS and a corporate lawyer for a "mock diligence" at a fixed fee (typically ₹75,000–₹2,50,000 depending on company age and complexity). Give them the checklist above and ask for a findings memo with a remediation plan. Then fix everything before you send a single deck. Companies that do this close rounds 3–6 weeks faster and avoid the "we've found some issues, can we revisit the valuation" conversation entirely.

The diligence timeline and who does what

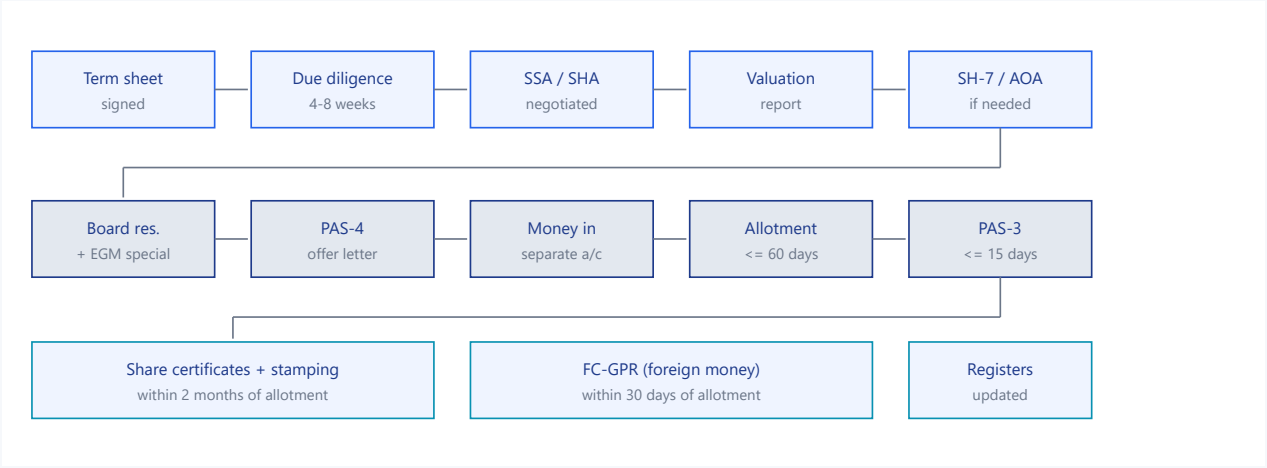
Workstream	Who runs it	Duration	Your effort	Typical cost (borne by)
Commercial / customer references	The fund's investment team	1–3 weeks	Introductions to 5–10 customers	Fund
Legal DD	Investor's law firm (Trilegal, Khaitan, CAM, Indus Law, Samvad etc.)	3–6 weeks	High — hundreds of documents, a Q&A log	Company (capped per term sheet)
Financial DD / Quality of Earnings	Accounting firm (often a mid-tier or Big 4)	2–5 weeks	High — GL access, revenue cuts, management calls	Company (capped)
Tax DD	Same firm or a tax specialist	2–4 weeks	Medium	Company (capped)
Technical DD	An independent CTO-for-hire or the fund's technical partner	1–2 weeks	Medium — code walkthrough, architecture session	Fund (usually)
HR / labour	Legal DD team	Within legal DD	Medium	Company
Background checks on founders	An agency	1–2 weeks	Low — consent and documents	Fund

Managing the Q&A log

Diligence generates a running list of questions, often 150–400 items. Run it in a single shared spreadsheet with columns: `#, Workstream, Question, Owner, Status, Answer, Document reference, Date`. One founder owns it. Answer within 48 hours or say when you will. The speed and quality of your Q&A responses is itself a diligence signal — funds explicitly note "the founders were organised" or "it took three weeks to get a cap table" in their investment memos.

Executing the Round: Term Sheet to Money in the Bank

Closing a round in India is a sequence of statutory steps under Section 42 and Section 62 of the Companies Act, 2013, each with its own deadline. Missing one does not merely cause paperwork — Section 42(6) requires refund with 12% interest if you do not allot within 60 days, and the private placement provisions carry penalties that can reach the amount raised. This section is the runbook.



Closing runbook for a priced round in an Indian private limited company. Deadlines are statutory.

The definitive agreements

Document	Full name	What it does	Typical length
SSA	Share Subscription Agreement	The purchase: how many shares, at what price, when, conditions precedent, representations and warranties, indemnity, closing mechanics	40–80 pages
SHA	Shareholders' Agreement	The relationship: board, reserved matters, transfer restrictions, ROFR, tag, drag, liquidation preference, anti-dilution, information rights, exit, non-compete	50–100 pages
SSHA	Combined Share Subscription and Shareholders' Agreement	Both of the above in one document. Common in Indian seed rounds — cheaper and faster	60–110 pages
SPA	Share Purchase Agreement	A **secondary** — one shareholder selling existing shares to another. No new money enters the company	30–60 pages
Amended AOA	Articles of Association	The SHA terms must be reflected in the Articles to bind the company and third parties (Section 6 and the *V.B. Rangaraj* line of cases)	Rewritten in full
Disclosure Letter	—	Qualifies the warranties. Everything you disclose here, you cannot be sued for	10–40 pages
Deed of Adherence	—	Binds a new shareholder to the existing SHA	2–4 pages
Founders' Agreement amendment	—	Aligns founder vesting with the SHA	5–15 pages

The Articles must mirror the SHA

Indian courts have consistently held that a shareholders' agreement does not bind the company unless its terms are incorporated into the Articles of Association. A transfer restriction, pre-emption right or buyback mechanic that exists only in the SHA may be unenforceable against the company or a transferee. **Every round must amend the AOA by special resolution and file MGT-14.** Verify with counsel; this is settled but fact-specific.

The Section 42 private placement route, step by step

1 **Check authorised capital**

Compute the post-round face value of all shares. If it exceeds authorised capital, pass an ordinary resolution to increase it, amend Clause V of the MOA, and file **Form SH-7** within 30 days with the fee on the increase. Do this first — it is the most common delay.

2 **Obtain the valuation report**

From a **Registered Valuer** (IBBI-registered) under Section 62(1)(c) and Rule 13. If any subscriber is a non-resident, additionally obtain a merchant banker or CA certificate of fair value under the NDI Rules. The report must be dated before the offer and is typically valid for a limited period — confirm with the valuer.

3 **Board meeting**

Approve: the private placement offer, the list of identified persons (Section 42 permits an offer to a maximum of **200 persons in a financial year**, excluding QIBs and employees under ESOP), the PAS-4 offer letter, the SSA/SHA, the opening of a separate bank account, and the calling of an EGM. Issue notice under Section 173(3).

4 **EGM — special resolution**

Members approve the private placement under Section 42 and the further issue under Section 62(1)(c), and approve the amended Articles. File **Form MGT-14** within **30 days** of the resolution.

5 **Issue PAS-4**

The private placement offer letter in **Form PAS-4**

, serially numbered and addressed specifically to each identified person, delivered within 30 days of recording their names. Maintain the record of offers in **Form PAS-5** (check current Rule requirements — the PAS-5 requirement has been amended over time; confirm at mca.gov.in).

6 **Open a separate bank account**

Section 42(6) requires application money to be received in a **separate bank account** of the company, and it **cannot be utilised** until allotment is made and the return of allotment is filed. Tell your bank this explicitly; many founders use their operating account and create a contravention.

7 **Receive subscription money**

Only by cheque, demand draft or other banking channel — **not in cash** (Section 42(4)). From the subscriber's own bank account. For a foreign investor, through normal banking channels into a designated account, with the AD bank issuing an **FIRC / Advance Remittance Certificate** and a **KYC report** on the remitter.

8 **Board meeting — allotment**

Within **60 days** of receipt of application money (Section 42(6)). Pass the allotment resolution, approve share certificates, and update the Register of Members. Miss the 60 days and you must **refund within 15 days**; after that, interest at **12% p.a.** accrues from the 60th day.

9 **File PAS-3**

Return of allotment in **Form PAS-3** with the list of allottees, within **15 days** of allotment (verify the current timeline — it has been 15 days under the current Rules; earlier it was 30). Attach the board resolution, list of allottees, and the valuation report.

10 **Issue share certificates**

Within **2 months** of allotment (Section 56(4)). Signed by two directors (or a director and the CS), with the common seal if the Articles require one, and **stamped under the applicable State Stamp Act**. Stamp duty on share certificates is a state subject — commonly in the range of 0.005%–0.1% of consideration; verify your state's rate.

11 **Update statutory registers**

Register of Members (MGT-1), Register of Transfers, and the Register of Charges if any security was created.

12 **FEMA reporting**

If any allottee is a non-resident: **FC-GPR within 30 days of allotment** on the RBI FIRMS portal. See the next section.

13 **Post-closing corporate actions**

Appoint the investor nominee director (board resolution + **Form DIR-12** within 30 days), adopt the amended Articles, update the MCA master data, and circulate a fresh cap table to all shareholders.

TEXT

SPECIMEN BOARD RESOLUTION – ALLOTMENT OF CCPS
(adapt with your Company Secretary; this is illustrative only)

CERTIFIED TRUE COPY OF THE RESOLUTION PASSED AT THE MEETING OF THE BOARD OF DIRECTORS OF [COMPANY] PRIVATE LIMITED (CIN: [____]) HELD ON [DATE] AT [TIME] AT THE REGISTERED OFFICE OF THE COMPANY

"RESOLVED THAT pursuant to the provisions of Sections 42 and 62(1)(c) and other applicable provisions of the Companies Act, 2013 read with the Companies (Prospectus and Allotment of Securities) Rules, 2014 and the Companies (Share Capital and Debentures) Rules, 2014, and in accordance with the Memorandum and Articles of Association of the Company, the special resolution passed by the members at the Extra-Ordinary General Meeting held on [DATE], and the Share Subscription and Shareholders' Agreement dated [DATE] executed among the Company, the Promoters and [INVESTOR NAME], the consent of the Board be and is hereby accorded to the allotment of 29,575 (Twenty Nine Thousand Five Hundred and Seventy Five) Compulsorily Convertible Preference Shares of face value Rs 1/- (Rupee One only) each at a price of Rs 2,028.73 (Rupees Two Thousand Twenty Eight and Paise Seventy Three only) per share, including a securities premium of Rs 2,027.73 per share, aggregating to Rs 6,00,00,089/- (Rupees Six Crore Eighty Nine only), to [INVESTOR NAME] (PAN: [____]), the subscription monies in respect whereof have been received in full in the Company's designated bank account no. [____] with [BANK] on [DATE].

RESOLVED FURTHER THAT the said Compulsorily Convertible Preference Shares shall rank pari passu with the existing Series Seed CCPS and shall carry the rights, privileges and restrictions set out in the Articles of Association of the Company as amended.

RESOLVED FURTHER THAT the Register of Members of the Company be updated and share certificates be issued to the allottee under the signatures of any two Directors within two months from the date of allotment in accordance with Section 56(4) of the Companies Act, 2013.

RESOLVED FURTHER THAT Mr./Ms. [NAME], Director, be and is hereby authorised to file Form PAS-3 with the Registrar of Companies within fifteen days of this allotment, to file Form FC-GPR on the Reserve Bank of India FIRMS portal within thirty days of this allotment, and to do all such acts, deeds and things as may be necessary to give effect to this resolution."

For [COMPANY] PRIVATE LIMITED

_____
[NAME], Director
DIN: [_____]

Realistic timeline

Week	Activity	Owner	Risk of slippage
0	Term sheet signed; exclusivity begins	Founders	—
1	Data room populated; DD kick-off call; Q&A log opened	Founders + CA + CS	**High** if the data room was not pre-built
1–5	Legal, financial, tax, technical DD in parallel	Investor's advisors	**High** — findings create new workstreams
2–6	SSA/SHA first draft, markup, 2–4 rounds of negotiation	Both law firms	**High** — this is where deals stall
4	Registered Valuer engaged; valuation report	Company	**Low** if started early
4–5	SH-7 to increase authorised capital (if needed)	CS	**Medium** — MCA processing time
6	Board meeting; EGM notice (21 clear days, or shorter with consent)	CS	**Medium** — notice period is a hard constraint unless shorter notice is consented to
7	EGM; special resolutions; MGT-14 filed	CS	—
7	PAS-4 issued; separate bank account opened	CS + founders	**Medium** — banks take 3–7 days to open an account
8	Signing of SSA/SHA; CPs satisfied	All	—
8–9	Funds remitted (domestic: 1–2 days; foreign wire: 2–5 days + KYC)	Investor	**Medium** — foreign remittances get stuck in correspondent bank compliance

9	Board allotment resolution; Register of Members updated	CS	—
9–10	PAS-3 filed (15 days); share certificates issued and stamped (2 months)	CS	Low
10–11	FC-GPR filed on FIRMS (30 days from allotment)	CS + AD bank	Medium — AD bank queries are routine
11	DIR-12 for nominee director; first post-round board meeting	CS	—

✦ **Compress the timeline with three moves**

(1) Build the data room **before** you pitch, not after the term sheet. (2) Engage the Registered Valuer in week 1, not week 4 — the report takes 7–15 days and is on every critical path. (3) Increase authorised capital to 3–5x your current need *at incorporation*; the incremental MCA fee is small and it removes an SH-7 from every future round.

The ten closing-day documents your CS will ask for at the last minute

Costs of a round

Item	Seed (₹5–10 Cr)	Series A (₹25–50 Cr)	Note
Your law firm	₹3–8 lakh	₹12–30 lakh	Fixed fee is negotiable; ask for it
Investor's law firm (you pay, capped)	₹3–7 lakh	₹10–25 lakh	**Cap it in the term sheet**
Financial DD / QoE	₹2–5 lakh	₹8–20 lakh	Sometimes shared
Registered Valuer report	₹40,000–₹1,50,000	₹1–4 lakh	IBBI-registered valuer
Merchant banker FMV (if non-resident)	₹75,000–₹2 lakh	₹2–5 lakh	Category I merchant banker
CS fees (resolutions, MGT-14, PAS-3, SH-7, DIR-12, FC-GPR)	₹50,000–₹1,50,000	₹1.5–4 lakh	—
MCA fees and stamp duty on SH-7	₹5,000–₹50,000	₹25,000–₹2 lakh	Scales with authorised capital increase
Stamp duty on share certificates	State-dependent	State-dependent	Often 0.005%–0.1% of consideration — verify your State Stamp Act
Stamp duty on the SSA/SHA	State-dependent	State-dependent	Can be significant in Maharashtra/Karnataka; sometimes capped
Total, realistic	**₹12–25 lakh**	**₹40–90 lakh**	2–3% of a seed, 1.5–2% of a Series A

⚠ **Fees, stamp duty and timelines as at FY 2025-26 — verify**
MCA filing fees are prescribed in the Companies (Registration Offices and Fees) Rules, 2014 and change. Stamp duty on share certificates and on agreements is a **state subject** and varies widely (Maharashtra, Karnataka, Delhi and Tamil Nadu all differ). Professional fees quoted are market observations in early 2026, not quotations. Verify fees at **mca.gov.in** and stamp duty with your state's stamp authority or your CS.

FEMA and Foreign Investment: The Filings That Fail Diligence

If a single rupee of your funding comes from outside India, you are in the Foreign Exchange Management Act, 1999 regime. The rules are administered by the RBI through the Foreign Exchange Management (Non-debt Instruments) Rules, 2019 and the Master Direction on Foreign Investment in India, and the filings are made on the RBI's **FIRMS** portal. Founders routinely skip these, and they are found in every subsequent diligence.

> ✕ **Verify everything in this section at rbi.org.in**
> FEMA rules, reporting forms, timelines and the Late Submission Fee formula are amended frequently through A.P. (DIR Series) Circulars and Master Direction updates. Everything below is stated as at **FY 2025-26 / early 2026**. Before you file anything, read the current **Master Direction — Foreign Investment in India** and the current **FIRMS user manual** on **rbi.org.in**, and confirm with your AD Category-I bank. Your AD bank is the gatekeeper for every filing and its interpretation is what practically matters.

Automatic route vs government approval route

Route	Meaning	Applies to
Automatic	No prior government approval. You simply receive the money and report it	Most sectors, including **IT, software, SaaS, e-commerce marketplace (not inventory), most B2B services** — generally 100% FDI permitted
Government	Prior approval from the administrative ministry via the **Foreign Investment Facilitation Portal**	Sectors with caps or conditions: multi-brand retail, print media, broadcasting content, defence above a threshold, insurance above a threshold, and **any investment from a land-border country**
Prohibited	No FDI at all	Lottery, gambling and betting, chit funds, Nidhi companies, real estate business (other than construction development / REITs), manufacture of tobacco products, atomic energy, railway operations (with exceptions)

⚠ **Press Note 3 (2020) — the land-border rule that catches founders out**

An entity of a country which shares a land border with India (China, Bangladesh, Pakistan, Nepal, Myanmar, Bhutan, Afghanistan), or where the **beneficial owner** of an investment is situated in or is a citizen of such a country, can invest only under the **government approval route** — regardless of sector. This applies to transfers of existing holdings too. In practice: a US fund with a Chinese LP, a Singapore SPV with a Chinese ultimate beneficial owner, or an angel resident in Hong Kong can all trip this. **Ask every foreign investor for a beneficial-ownership declaration before you sign.** Approval, where needed, takes months. Verify the current text of Press Note 3 (2020) at **dpiit.gov.in**.

Pricing guidelines

TEXT

```
FEMA PRICING GUIDELINES (Rule 21, NDI Rules 2019) - verify at
rbi.org.in

UNLISTED COMPANY:
  Issue of shares to a person resident outside India:
     Price must be ≥ the FAIR VALUE, worked out as per any
     INTERNATIONALLY ACCEPTED PRICING METHODOLOGY for valuation
     on an ARM'S LENGTH basis, duly certified by:
        - a Chartered Accountant, OR
        - a SEBI-registered Merchant Banker, OR
        - a practising Cost Accountant

  Transfer from RESIDENT to NON-RESIDENT:
     Price ≥ fair value   (resident must not undersell to a
                           non-resident - protects forex outflow)

  Transfer from NON-RESIDENT to RESIDENT:
     Price ≤ fair value   (resident must not overpay)

  Transfer NON-RESIDENT to NON-RESIDENT:   no pricing restriction
  Transfer RESIDENT to RESIDENT:           outside FEMA pricing

CONVERTIBLE INSTRUMENTS:
  The PRICE / CONVERSION FORMULA must be determined UPFRONT, at
  the time of issue. The price at ACTUAL conversion must not be
  less than the fair value at the time of ISSUE of the instrument.
  → This is why Indian convertible notes state a formula, not
     "to be agreed later".

NO ASSURED RETURN:
  An equity instrument cannot carry an assured return or an
  optionality with an assured exit price. Options/puts are
  permitted only with:
     - a minimum lock-in of ONE YEAR (or the sectoral lock-in),
       and
     - exit at MARKET PRICE / FAIR VALUE at the time of exit
  An IRR-guaranteed put to a non-resident is a FEMA contravention.
```

The FIRMS portal and the four filings you will actually make

Form	Trigger	Deadline	Filed by	Key attachments
Entity Master Form (EMF)	One-time registration of the company on FIRMS	Before any other filing	Company (Business User registration via AD bank)	Company details, existing foreign investment position
FC-GPR	Issue of equity instruments to a person resident outside India	**Within 30 days of allotment**	Company, through its AD bank	CS certificate, valuation certificate (CA/merchant banker), FIRC, KYC report on the remitter, board resolution, list of allottees, Declaration under FEMA
FC-TRS	Transfer of equity instruments between a resident and a non-resident (either direction), or between two non-residents where one is on the approval route	**Within 60 days** of transfer or receipt of consideration, whichever is earlier	The resident party, or the non-resident if the transfer is between two non-residents	Share transfer deed (SH-4), valuation certificate, consent letters, FIRC/outward remittance proof, KYC
Form DI	Downstream investment by an Indian entity that has received foreign investment, into another Indian entity	**Within 30 days** of allotment	Investing Indian entity	Board resolution, valuation, declaration of indirect foreign investment
FLA return	Annual Return on Foreign Liabilities	**By 15 July** every year, on the RBI	Company	Audited (or provisional,

	and Assets — if the company has **any** outstanding FDI or ODI at any time during the financial year	FLAIR portal		revised later) financials as at 31 March
Form CN	Issue of convertible notes to a non-resident by a recognised startup (and conversion)	Per the current Rules — verify	Company	Note agreement, DPIIT certificate
ESOP reporting	Issue of shares to a non-resident employee under an ESOP	Per current Rules — historically Form ESOP within 30 days; verify current requirement	Company	Scheme document, grant and exercise details

TEXT

FC-GPR FILING - WHAT ACTUALLY HAPPENS

PRE-REQUISITES (get these BEFORE the money arrives)

1. Company registered on FIRMS with an Entity Master Form
2. A Business User (BU) registered - usually a director or CS, authorised by the AD bank
3. Your AD Category-I bank branch identified and briefed

ON RECEIPT OF FUNDS

4. AD bank issues:
   - FIRC (Foreign Inward Remittance Certificate) or an Advance Remittance Certificate / e-FIRC
   - KYC report on the remitter (from the remitter's bank, routed through the AD bank)

   *** CHASE THESE IMMEDIATELY. They routinely take 7-15 days and your FC-GPR clock is only 30 days from ALLOTMENT. ***

ON ALLOTMENT

6. Log into firms.rbi.org.in → Single Master Form → FC-GPR
7. Fill: CIN, allottee details, instrument, number, price, amount in foreign currency and INR, date of allotment, NIC code of the activity, whether automatic route
8. Upload:
   - Certificate from the Company Secretary (prescribed format)
   - Valuation certificate from CA/merchant banker
   - FIRC and KYC report
   - Board resolution for allotment
   - Declaration by the authorised representative
   - A copy of PAS-3 challan (commonly asked for)
9. Submit → goes to your AD bank → AD bank reviews → may "return for resubmission" with queries (expect at least one round) → AD bank forwards to RBI → RBI issues acknowledgement with a UNIQUE IDENTIFICATION NUMBER (UIN)

10. SAVE THE ACKNOWLEDGEMENT. Every future diligence asks for it.

COMMON REASONS FOR REJECTION / RESUBMISSION

- Amount in INR does not reconcile to the FIRC (FX rate used)
- Valuation certificate older than permitted, or price below FMV
- NIC code does not match the actual business activity
- CS certificate not in the prescribed format
- Entity Master not updated with the previous round
- Allotment date later than 60 days from receipt (Sec. 42 breach visible on the face of the form)

Late filing: Late Submission Fee and compounding

Situation	Remedy	Cost
FC-GPR / FC-TRS filed after the deadline but the transaction itself is compliant	**Late Submission Fee (LSF)** paid through the AD bank; the form is then processed	Computed by a formula based on the amount involved and the delay. As at early 2026 the LSF framework uses a base amount plus a percentage per year of delay, subject to a floor and a cap. **Verify the current LSF formula in the RBI's A.P. (DIR Series) circular on LSF.**
A substantive contravention — money received against a non-equity instrument, price below fair value, investment in a prohibited sector, Press Note 3 breach	**Compounding** under Section 15 of FEMA, 1999 read with the Foreign Exchange (Compounding Proceedings) Rules — application to the RBI	Compounding amount determined by RBI guidance; the published compounding matrix scales with the amount and the nature of the contravention. Legal and CA fees on top. Timeline: 3–6 months
Not reported at all, discovered in diligence	Both of the above, under time pressure, while an investor waits	The real cost is the deal delay and the loss of negotiating position

✦ **The FEMA hygiene routine — 30 minutes a quarter**

Keep one spreadsheet: `Date | Investor | Resident status | Instrument | Shares | Amount (FCY) | Amount (INR) | Allotment date | FIRC ref | FC-GPR date | UIN | Status` . Review it every quarter. Diarise 15 July for the FLA return. Diarise FC-GPR at allotment+25 days, not allotment+30. If a transfer happens, diarise FC-TRS at +50 days. This one spreadsheet prevents the most common deal-delaying finding in Indian startup diligence.

Other FEMA touchpoints a funded startup will hit

Event	Regime	Note
Setting up a foreign subsidiary (e.g. a US Inc for sales)	**Overseas Direct Investment** — FEM (Overseas Investment) Rules and Regulations, 2022	Form FC (ODI) through the AD bank; annual **APR** (Annual Performance Report) by 31 December; a Unique Identification Number is issued. Financial commitment limits apply
Receiving export proceeds for services	FEMA current account	Realise and repatriate within the prescribed period (commonly 9 months for exports — verify); **e-BRC** on DGFT; softex filing for software exports where applicable (verify applicability for your business)
Paying a foreign vendor (AWS, GitHub, a contractor)	Current account transaction	Form 15CA/15CB under the Income-tax Act where TDS applies; equalisation levy considerations — verify current position
Foreign director or employee holding ESOPs	NDI Rules	Reporting on exercise; check the current form
Buyback or capital reduction with a non-resident shareholder	NDI Rules + Companies Act	Pricing guidelines apply in reverse; reporting required
Converting a convertible note issued to a non-resident	NDI Rules	Report the conversion; conversion price must respect the upfront formula and the fair value at issue

Government Schemes and Non-Dilutive Money

India runs a genuinely large set of startup support schemes. Most founders know only the headline names and apply to none of them, because the application process looks bureaucratic and the amounts look small relative to a VC round. For a bootstrapped or early company, ₹20–50 lakh of non-dilutive money is the equivalent of a seed round with zero dilution, and the DPIIT recognition that unlocks it takes an afternoon.

⚠ **Scheme limits, eligibility and status as at FY 2025-26 — verify before applying**

Government schemes are notified, extended, modified and closed by circular. Amounts, eligibility windows and even the existence of a scheme change. Every scheme below **must** be checked on its official portal before you spend time on an application: **startupindia.gov.in**, **sidbi.in**, **meity.gov.in**, **birac.nic.in**, **dpiit.gov.in**, and your state's startup portal.

DPIIT recognition — the key that unlocks everything

Benefit	Detail	Conditions
Section 80-IAC tax holiday	100% deduction of profits for 3 consecutive years out of the first 10	Requires a **separate** application to the Inter-Ministerial Board (IMB). Company must be a Pvt Ltd or LLP incorporated within the eligibility window — **verify the current window at incometax.gov.in / startupindia.gov.in**
Convertible notes	Permitted and exempt from deposit rules, minimum ₹25 lakh per tranche	DPIIT recognition is mandatory
Self-certification under labour and environment laws	Self-certify compliance with specified Acts for a period; reduced inspections	Per the DPIIT notification; verify the current list and period
Public procurement relaxations	Exemption from prior turnover and prior experience requirements in government tenders; access to GeM Startup Runway	Subject to quality and technical criteria
IPR support — SIPP	Facilitators for patent/trademark filing at government cost; rebate on patent filing fees (historically 80% for startups)	Verify the current rebate at **ipindia.gov.in**
Faster exit	Fast-track winding up under the Insolvency and Bankruptcy Code for startups	Verify current procedure at **ibbi.gov.in**
Access to SISFS, FFS, CGSS	DPIIT recognition is a gate for these	—
Section 79 relaxation	Carry-forward of losses despite a change in shareholding, subject to conditions	See Section 15

TEXT

```
DPIIT RECOGNITION - APPLICATION WALKTHROUGH
Portal: startupindia.gov.in       Cost: Rs 0       Time: days to weeks

ELIGIBILITY (verify current criteria on the portal)
  - Entity type: Private Limited Company, Registered Partnership,
    or LLP
  - Age: not more than 10 years from the date of incorporation
  - Turnover: has not exceeded Rs 100 crore in any financial year
    since incorporation
  - Not formed by splitting up or reconstruction of an existing
    business
  - Working towards innovation, development or improvement of
    products / processes / services, OR a scalable business model
    with a high potential of employment generation or wealth
    creation

APPLICATION STEPS
  1. Register on startupindia.gov.in as a user
  2. Go to "Recognition" → "Apply for DPIIT Recognition"
  3. Fill the Startup Recognition Form:
       - Entity details, CIN/LLPIN, PAN, incorporation date
       - Registered and operational address
       - Authorised representative details
       - Directors / partners with DIN and contact details
       - Industry, sector, sub-sector, NIC code
  4. Upload:
       - Certificate of Incorporation / Registration
       - PAN of the entity
       - A write-up / pitch deck / website / video describing
         (a) the problem, (b) your solution, (c) what is
         innovative or scalable about it, (d) revenue model,
         (e) uniqueness
       - Patents/trademarks if any, awards if any, funding proof
         if any
  5. Self-certify the declarations
  6. Submit → application number issued

WHAT GETS REJECTED
  - A write-up that describes a generic services business with no
    innovation and no scalability argument
  - "We build websites for clients" with nothing else
  - Mismatched NIC code and described activity
  - Entity older than the permitted age
  Rejection is not fatal - you may reapply with a better write-up.

HOW TO WRITE THE INNOVATION PARAGRAPH (the only part that matters)
  Structure it as:
   "Existing solutions in [X] require [specific painful thing],
```

```
    which costs [Y] and takes [Z]. Our product uses [specific
    technical approach] to reduce this to [better Y/Z]. This is
    novel because [specific technical or process differentiator].
    The model is scalable because [unit economics / no linear
    headcount dependency]. We expect to employ [N] people by
    [year]."
  Be specific. Avoid "AI-powered platform leveraging synergies".
```

Startup India Seed Fund Scheme (SISFS)

Aspect	Detail (verify at startupindia.gov.in)
What it is	Government seed capital disbursed through selected **incubators**, not directly
Quantum	Up to ₹20 lakh (₹2,000,000) as a **grant** for proof of concept, prototype development, product trials and market entry; up to ₹50 lakh (₹5,000,000) as **convertible debentures, debt or a debt-linked instrument** for scaling
Eligibility	DPIIT-recognised; typically incorporated not more than 2 years before application; a business idea to develop a product or service with a market fit, commercialisation and scope of scaling; using technology in the core product/service/business model/distribution; must not have received more than ₹10 lakh of monetary support under any other central or state scheme (verify this condition); Indian promoters holding at least 51% at application
How to apply	On the Startup India portal, select up to **three incubators** in preference order. The incubator's selection committee evaluates and recommends
Disbursal	In milestone-linked tranches against a deed; utilisation certificates required
Realistic view	Highly competitive; the incubator relationship matters more than the form. Visit the incubator, meet the manager, and apply where you have a genuine connection. Timeline from application to first tranche is commonly 3–8 months

Fund of Funds for Startups (FFS) — via SIDBI

> **FFS does not fund you directly**
> The Fund of Funds for Startups is operated by **SIDBI** and invests in **SEBI-registered Alternative Investment Funds**, which in turn invest in startups. You cannot apply to FFS. What it means for you is that a large share of Indian VC capital is partly government-backed and therefore carries conditions on the AIF — notably that the AIF must invest a multiple of the FFS contribution into startups, and that investment must be into Indian-domiciled companies. This is one quiet reason Indian funds prefer an Indian holding company. Verify the current structure at **sidbivcf.in** and **startupindia.gov.in**.

Credit Guarantee Scheme for Startups (CGSS)

Aspect	Detail (verify at startupindia.gov.in and with the lender)
What it is	A government guarantee to lenders against default on loans to DPIIT-recognised startups, enabling collateral-free debt
Who it helps	You — indirectly. It makes banks, NBFCs and venture debt funds willing to lend without collateral or a personal guarantee
Instruments covered	Venture debt, working capital, term loans, and debentures, from Member Institutions (scheduled banks, NBFCs, SEBI-registered AIFs)
Guarantee cover	Transaction-based and umbrella-based covers with a ceiling per borrower; the guarantee percentage steps down with the loan size. **Verify the current ceiling and cover percentages** — they have been revised
Eligibility conditions	DPIIT-recognised; typically must have reached a stable revenue stage as assessed from audited financials; not in default to any lender; not classified as an NPA
How to use it	Approach a Member Institution and ask explicitly for a CGSS-covered facility. Most relationship managers will not volunteer it

CGTMSE and the MSME route

TEXT

```
CGTMSE - Credit Guarantee Fund Trust for Micro and Small Enterprises
(verify current limits at cgtmse.in and msme.gov.in)

WHAT: guarantee cover for collateral-free credit to micro and small
      enterprises, enabling term loans and working capital without
      security or third-party guarantee.

GATE: you must be an MSME with a UDYAM registration.

*** REVISED MSME CLASSIFICATION, effective 1 April 2025 ***
    (investment in plant & machinery/equipment AND turnover,
     both conditions)

    Micro   : Investment up to Rs 2.5 crore  AND turnover up to
              Rs 10 crore
    Small   : Investment up to Rs 25 crore   AND turnover up to
              Rs 100 crore
    Medium  : Investment up to Rs 125 crore  AND turnover up to
              Rs 500 crore

    VERIFY these at udyamregistration.gov.in / msme.gov.in - the
    limits were revised and further revisions are possible.

WHY A SOFTWARE COMPANY QUALIFIES EASILY:
    "Investment in plant and machinery or equipment" for a services
    enterprise includes computers and equipment. A 20-person dev
    shop with Rs 60 lakh of laptops and servers and Rs 8 crore of
    turnover is comfortably a MICRO enterprise. This matters
    because guarantee fees and cover percentages are better for
    micro enterprises.

GUARANTEE COVER: a percentage of the defaulted amount, varying by
    borrower category (higher for micro enterprises, women-owned
    units, and units in specified regions) and by loan size, up to
    a ceiling per borrower. The borrower pays an annual guarantee
    fee as a percentage of the outstanding. VERIFY current numbers.

PRACTICAL ROUTE:
    1. Get Udyam registration (free, udyamregistration.gov.in,
       PAN + Aadhaar, 15 minutes)
    2. Approach your current bank's MSME desk
    3. Ask specifically: "I want a CGTMSE-covered collateral-free
       term loan / cash credit facility"
    4. Expect: 2 years of audited financials, GST returns, bank
       statements, a project report, and a 4-10 week process
```

Grant programmes worth real money

Programme	Agency	Quantum (verify)	Fit
BIRAC BIG (Biotechnology Ignition Grant)	BIRAC, Dept. of Biotechnology	Up to ₹50 lakh, 18 months	Biotech, medtech, agritech, bioinformatics, health AI
BIRAC SEED / SBIRI / BIPP	BIRAC	Larger, milestone-linked	Later-stage biotech
MeitY TIDE 2.0	MeitY via institutional incubators	Grants in tranches through host institutes	ICT startups in IoT, AI, blockchain, robotics, AR/VR
MeitY GENESIS	MeitY	Support for Tier-2/3 city startups	Deep-tech outside metros
NIDHI-PRAYAS	DST via incubators	Prototype grant per innovator	Hardware and deep-tech prototypes
NIDHI-SSS (Seed Support System)	DST via incubators	Seed support through the incubator	Post-prototype
iDEX (Innovations for Defence Excellence)	Ministry of Defence	Challenge-based, substantial	Defence and dual-use technology; also a route to a government customer
State innovation funds	Karnataka (Elevate), Kerala (KSUM), Telangana (T-Hub/TSIC), Gujarat, Maharashtra, Tamil Nadu (StartupTN), Odisha, UP	₹5–50 lakh typical	**Check your own state first** — competition is lower and the money is real

How to actually win a grant

(1) Apply to your **state** scheme first — the applicant pool is a fraction of the national schemes. (2) Build a relationship with a host incubator before applying; most central schemes route through them and the incubator's recommendation is decisive. (3) Write the application against the scheme's own stated objectives, using their vocabulary. (4) Budget for the **cash-flow drag**: grants are reimbursement- or milestone-based, you spend first and claim later, and utilisation certificates require clean documentation. (5) Appoint one person to own grant compliance — a grant with messy utilisation records becomes a recovery notice.

Revenue-based financing

TEXT

REVENUE-BASED FINANCING - WORKED COST

Provider advances capital against future revenue. You repay a
fixed MULTIPLE (not an interest rate) out of a percentage of
monthly revenue, until the multiple is paid.

DEAL: Rs 50,00,000 advanced
      Repayment multiple   1.18x → repay Rs 59,00,000
      Revenue share   8% of monthly revenue
      Current monthly revenue   Rs 45,00,000
      Fee (one-time, deducted)   2% → you receive Rs 49,00,000

REPAYMENT PATH (assuming 4% monthly revenue growth)

Month	Revenue	8% share	Cumulative	Remaining
1	45,00,000	3,60,000	3,60,000	55,40,000
3	48,67,200	3,89,376	11,33,338	47,66,662
6	54,75,000	4,38,000	24,55,000	34,45,000
9	61,58,000	4,92,640	39,45,000	19,55,000
12	69,27,000	5,54,160	56,00,000	3,00,000
13	72,04,000	3,00,000	59,00,000	0

  EFFECTIVE COST:
     Received Rs 49,00,000, repaid Rs 59,00,000 over 13 months
     Total cost Rs 10,00,000 on Rs 49,00,000 over ~13 months
     Simple: 20.4% over 13 months = 18.8% annualised
     IRR (because repayment starts immediately and amortises):
                 roughly 33-38% annualised

  *** THE IRR IS ALWAYS MUCH HIGHER THAN THE HEADLINE MULTIPLE
      SUGGESTS, because you start repaying in month one. ***
      Always compute the IRR, not the multiple.

WHEN IT IS WORTH IT:
   You are spending the money on something with a measurable
   payback faster than the effective cost. E.g. Rs 50 lakh of
   performance marketing with a 4-month CAC payback and 70%
   gross margin comfortably beats 35% annualised money.

WHEN IT IS NOT:
   Funding salaries, runway, or anything without a measurable
   return. RBF on fixed costs is how companies die slowly.

INDIAN PROVIDERS: GetVantage, Velocity, Klub, Recur Club.
   Each has different multiples, fee structures and revenue-share
   percentages. Get three quotes and compare on IRR.

Venture debt

Term	Typical Indian market (early 2026, indicative)	Negotiate
Ticket size	₹2–50 crore; commonly 20–35% of the last equity round	—
Interest rate	14–18% p.a.	Yes, with competition
Tenor	24–36 months	Longer is better for cash flow
Moratorium	3–9 months interest-only	Ask for 6–12
Processing fee	1–2% upfront	Yes
Warrants	0.5–2% of fully diluted, at the last round price, 7–10 year tenor	Push for the lower end and a longer exercise window
Security	First or second charge on all assets including IP; filed as **Form CHG-1** with MCA within 30 days	Resist a charge on IP if possible; it complicates a future acquisition
Covenants	Minimum cash balance, revenue milestones, no additional debt, no change of control, reporting	Make covenants achievable in your worst case, not your plan case
Personal guarantee	Usually not required from institutional venture debt funds; sometimes requested by banks	**Refuse personal guarantees.** This is the point of a limited liability company

TEXT

```
VENTURE DEBT - TRUE COST WORKED

Facility               Rs 5,00,00,000
Interest rate                  16.0% p.a., monthly reducing
Tenor                       30 months (6 month moratorium)
Processing fee                  1.5%  → Rs 7,50,000
Warrants              1.0% of FD at last round price

Net received: Rs 5,00,00,000 - Rs 7,50,000 = Rs 4,92,50,000

Months 1-6   : interest only  = 5,00,00,000 x 16% / 12
                              = Rs 6,66,667 / month
               Total interest paid in moratorium = Rs 40,00,000
Months 7-30  : EMI on Rs 5 crore over 24 months at 16%
               EMI = Rs 24,47,000 (approx)
               Total paid = Rs 5,87,28,000
               of which interest ~ Rs 87,28,000

TOTAL CASH OUT = 40,00,000 + 5,87,28,000 = Rs 6,27,28,000
TOTAL CASH IN  =                           Rs 4,92,50,000
CASH COST                                  Rs 1,34,78,000
                                           = 27.4% of net received
                                           over 30 months
                                           ~ 11% simple annualised?
   No - because the principal amortises. The correct measure is
   the IRR on the actual cash flows, which is approximately
   19-20% per annum.

PLUS THE WARRANT:
   1% of fully diluted at the Series A price of Rs 5,970.30
   = 2,110 shares, exercise cost Rs 1,25,97,333
   If the company is later worth 5x, that warrant is worth
   roughly Rs 5 crore of value for Rs 1.26 crore of exercise cost
   → Rs 3.74 crore of value transferred.

   ON A Rs 5 CRORE LOAN, THE WARRANT CAN COST MORE THAN THE
   INTEREST. Model it. Negotiate it down. It is negotiable.

WHEN VENTURE DEBT IS CORRECT:
   - You have a priced equity round closed within the last 6-9
     months and a clear 18-24 month path to the next round
   - The debt buys 4-8 months of extra runway that materially
     raises the next round's valuation
   - Compare: raising Rs 5 crore of equity at Rs 126 crore post
     costs 3.97% of the company. The venture debt costs ~1%
     in warrants + ~Rs 1.35 crore of cash. If you believe the
     company will be worth Rs 500 crore at the next round, the
     equity would have cost Rs 19.8 crore of future value.
```

```
     DEBT IS CHEAPER — IF YOU SURVIVE TO REPAY IT.

WHEN IT IS WRONG:
   - You have no visibility on the next round
   - Your revenue is lumpy and the covenants are tight
   - You are using it to delay a down round you will have anyway
```

Tax Matters for Startups and Investors

Four tax provisions decide whether a funded Indian startup keeps its money: the Section 80-IAC holiday, the (now abolished) angel tax, the loss carry-forward rules in Section 79, and the capital gains regime that governs every investor and every secondary sale. All four are in flux because the Income-tax Act, 2025 replaces the 1961 Act from 1 April 2026.

> ✕ **Verify every provision in this section at incometax.gov.in**
>
> Section references follow the **Income-tax Act, 1961**. The **Income-tax Act, 2025** takes effect from **1 April 2026** and introduces a unified "tax year" in place of "previous year"/"assessment year"; section numbering changes. Rates, surcharge, cess, holding periods and indexation rules change with each Finance Act. Nothing here is advice; confirm with your CA before filing or structuring.

Section 80-IAC — the three-year tax holiday

Element	Position (verify)
Benefit	100% deduction of profits and gains from an eligible business for **3 consecutive assessment years out of the first 10** years from incorporation. You choose which three
Eligible entity	A **company** or an **LLP** (not a proprietorship or partnership firm), DPIIT-recognised, incorporated within the eligibility window notified from time to time (the window has been extended repeatedly by successive Finance Acts — **verify the current cut-off date**)
Turnover condition	Total turnover not exceeding ₹100 crore (₹1,000,000,000) in the relevant financial year
Other conditions	Not formed by splitting up or reconstruction of an existing business; not formed by transfer of previously used plant and machinery beyond the permitted proportion; holds a certificate of eligible business from the **Inter-Ministerial Board (IMB)**
Application	Separate from DPIIT recognition. Apply on **startupindia.gov.in** after recognition. Requires financials, a detailed innovation write-up, and the IMB's evaluation
Realistic approval rate	**Low.** Of the many thousands of DPIIT-recognised startups, only a small fraction have received IMB certification. The Board applies the "innovation" test strictly. Do not build your financial model on it
Catch	**MAT / AMT.** Even with the 80-IAC deduction, Minimum Alternate Tax under Section 115JB (or AMT under 115JC for LLPs) can apply, so the holiday is often partial. If you have opted for the concessional regime under Section 115BAA, MAT does not apply but neither do most deductions including 80-IAC — **the two are mutually exclusive, and the arithmetic must be run both ways**

TEXT

```
80-IAC vs SECTION 115BAA - WHICH IS BETTER?  (worked, FY 2025-26)

Company profit before tax                          Rs 4,00,00,000
Assume no other deductions.

OPTION 1: Normal regime + 80-IAC deduction
   Taxable business income                         Rs 4,00,00,000
   Less: 80-IAC deduction (100%)                   Rs 4,00,00,000
   Taxable income                                  Rs           0
   Normal tax                                      Rs           0
   BUT MAT u/s 115JB on book profit
      Book profit                                  Rs 4,00,00,000
      MAT @ 15% + surcharge + cess (~17.47%)       Rs   69,88,000
   TAX PAYABLE                                     Rs   69,88,000
   (MAT credit carried forward for set-off in later years u/s 115JAA)

OPTION 2: Section 115BAA concessional regime (22% + 10% sc + 4% cess
          = 25.168% effective), NO 80-IAC, NO MAT
   Tax                                             Rs 1,00,67,200
   TAX PAYABLE                                     Rs 1,00,67,200

OPTION 1 WINS by Rs 30,79,200 in this year, PLUS it generates a MAT
credit of Rs 69,88,000 usable against future normal tax.

BUT: Option 1 is only available if you HAVE the IMB certificate.
And 115BAA, once opted, CANNOT be withdrawn.
*** Do not opt into 115BAA before resolving your 80-IAC application. ***
Verify current rates, surcharge slabs and MAT provisions at
incometax.gov.in. Run this with your CA on your actual numbers.
```

Angel tax — abolished, but read this

⚠ **Section 56(2)(viib) — abolished from AY 2025-26; verify at incometax.gov.in**
The provision taxed, in the **company's** hands, the excess of share issue consideration over fair market value when an unlisted company issued shares at a premium. The Finance Act 2023 extended it to non-resident investors, which caused significant disruption to Indian fundraising; the **Finance (No. 2) Act, 2024 abolished it entirely with effect from AY 2025-26**. What this does **not** change: (a) a Registered Valuer report is still required under Section 62(1)(c) of the Companies Act, 2013 for a preferential allotment; (b) a merchant banker or CA fair-value certificate is still required under the NDI Rules for any non-resident subscription; (c) **Section 56(2)(x)**, which taxes a *recipient* who receives property (including shares) for inadequate consideration, is unaffected and routinely applies to share **transfers** at below FMV — including founder-to-founder transfers and secondary sales; (d) assessments for earlier years remain open and old angel-tax notices are still being litigated.

Carry-forward of losses — Section 79 and the startup relaxation

TEXT

```
SECTION 79 - CHANGE IN SHAREHOLDING KILLS LOSSES (normally)

GENERAL RULE for a company in which the public are not substantially
interested: a brought-forward loss can be set off in a year only if
shares carrying NOT LESS THAN 51% OF THE VOTING POWER on the last day
of the year in which the loss was incurred were BENEFICIALLY HELD by
the same persons on the last day of the year of set-off.

WHY THIS BITES A STARTUP:
   Founders own 100% in year 1 and incur Rs 3 crore of losses.
   After Seed + Series A, founders own 47%.
   Common shareholding has fallen below 51% → the Rs 3 crore of
   brought-forward business loss would be LOST.

*** THE STARTUP RELAXATION ***
   For an ELIGIBLE START-UP as referred to in Sec. 80-IAC, the loss
   is allowed to be carried forward and set off if EITHER
     (a) the 51% continuity test is satisfied, OR
     (b) ALL the shareholders who held shares carrying voting power
         on the last day of the year in which the loss was incurred
         CONTINUE TO HOLD THOSE SHARES on the last day of the year
         of set-off,
   and the loss was incurred during the first N years from
   incorporation (the period has been amended - VERIFY the current
   period, historically 7 years, extended by later Finance Acts).

WHAT CONDITION (b) MEANS IN PRACTICE:
   Dilution is FINE. Founders going from 100% to 25% does not break
   it, as long as every original shareholder still holds the shares
   they held.
   What BREAKS it: a founder EXITING and selling their shares; a
   buyback of a departing founder's shares; an angel selling in a
   secondary.

   *** THIS IS A REASON TO STRUCTURE A FOUNDER DEPARTURE CAREFULLY.
       Extinguishing a departing founder's shares can destroy crores
       of carried-forward losses. Model the tax cost before you
       agree the departure mechanics. ***

ALSO NOTE:
   - UNABSORBED DEPRECIATION (Sec. 32(2)) is NOT subject to Sec. 79
     and carries forward indefinitely regardless of shareholding.
   - Business losses carry forward for 8 assessment years (verify
     under the Income-tax Act 2025).
   - Losses can only be set off if the return was filed within the
     Sec. 139(1) due date. FILE ON TIME.
```

Capital gains for investors and founders

Asset	Holding period for long-term	LTCG treatment	STCG treatment
Unlisted shares (your startup)	**More than 24 months**	Taxed at the rate applicable to LTCG on unlisted shares. The Finance (No. 2) Act, 2024 moved LTCG to a uniform **12.5% without indexation** for most assets — **verify the rate, indexation availability and any grandfathering at incometax.gov.in**	Added to total income, taxed at slab/corporate rates
Listed equity (post-IPO)	More than 12 months	LTCG above an annual exemption threshold, taxed at the prescribed rate with STT paid. **Verify the current rate and exemption limit**	Short-term rate as prescribed
Non-resident investor	Same	Subject to the **Double Taxation Avoidance Agreement** with their country; many treaties (and domestic law after the 2017 amendments) now give India taxing rights over Indian share gains. Mauritius/Singapore grandfathering applies only to pre-April-2017 acquisitions. Verify treaty position	Same
Buyback by the company	—	The buyback tax regime changed materially: from **1 October 2024** buyback proceeds are treated as a **deemed dividend in the shareholder's hands**, taxable at slab rates, with the cost of acquisition allowed as a capital loss. **Verify at incometax.gov.in — this is a significant change from the old Section 115QA company-level tax**	—

Section 54GB — the founder's reinvestment exemption

TEXT

```
SECTION 54GB (verify eligibility window and conditions at
incometax.gov.in - the sunset date has been extended repeatedly)

WHAT: An INDIVIDUAL or HUF who sells a LONG-TERM RESIDENTIAL
      PROPERTY (house or plot) can claim exemption from LTCG if the
      NET CONSIDERATION is invested in EQUITY SHARES of an ELIGIBLE
      START-UP, which then uses the money to purchase NEW ASSETS.

CONDITIONS (summarised - verify each)
  - The assessee must hold MORE THAN 50% of share capital or voting
    rights in the company after the subscription
  - The company must be an eligible start-up
  - The company must utilise the amount to purchase a "new asset"
    within one year (for eligible start-ups, computers and computer
    software qualify as new assets - this is the clause that makes
    it usable by a software company)
  - The shares must be held for 5 years; the new asset for 5 years
    (3 years for computers/software in some formulations - VERIFY)
  - Amounts not utilised before the return due date must be deposited
    in a Capital Gains Account Scheme account

WORKED:
  Founder sells an inherited flat                 Rs 2,40,00,000
  Indexed/allowed cost                            Rs   60,00,000
  Long-term capital gain                          Rs 1,80,00,000
  Tax without 54GB (say 12.5% + surcharge/cess)   Rs  ~23,40,000

  Instead: invests the FULL NET CONSIDERATION of Rs 2,40,00,000
  into equity shares of her own eligible start-up, in which she
  will hold > 50%. Company buys Rs 2.4 crore of computers,
  software and equipment within the year.

  LTCG exempt (proportionate to the amount invested)  Rs 1,80,00,000
  TAX SAVED                                           ~Rs 23,40,000
  AND the company is capitalised with Rs 2.4 crore of equity with
  ZERO dilution to anyone else.

  CAUTION: the >50% holding requirement makes this unusable after
  an institutional round. It is a FOUNDING-STAGE tool.
  Also: if conditions are breached, the exemption is withdrawn and
  the gain is taxed in the year of breach.
```

Secondary sales — the tax nobody models

Party	Tax event	Watch out for
Selling founder (resident)	Capital gains on (sale price − cost of acquisition). Cost for founder shares is usually face value, so almost the whole amount is gain	Advance tax instalments; surcharge on large gains; the sale must be at or above FMV if the buyer is a non-resident (NDI Rules)
Selling employee (post-ESOP exercise)	Capital gains on (sale price − FMV at exercise), because the FMV at exercise was already taxed as perquisite	Holding period runs from the **date of allotment on exercise**, not from grant or vesting
Buyer	**Section 56(2)(x)** — if shares are bought below FMV, the difference is taxable as income in the buyer's hands	This is why secondaries need a valuation even though "angel tax" is gone
Non-resident buyer or seller	**Section 195 TDS** on payments to a non-resident; Form 15CA/15CB; FC-TRS within 60 days	The **buyer** is liable to withhold. A resident buying from a non-resident who fails to withhold becomes the assessee-in-default
Company	None — no money enters the company in a secondary	But the company must record the transfer, stamp the SH-4, update the Register of Members, and file FC-TRS if applicable

ESOPs End to End

An ESOP is the only mechanism by which a cash-poor Indian startup can pay senior people what they are worth. It is also the single most frequently botched piece of startup governance in India: pools created without a special resolution, grants with no scheme document, strike prices set by guesswork, exercise windows that make options worthless on resignation, and a tax treatment that can leave an employee paying tax on money they have never received.

The legal framework

Provision	Requirement
Section 62(1)(b), Companies Act 2013	A company may issue further shares to employees under a scheme of employees' stock option, subject to a **special resolution** of shareholders and prescribed conditions
Rule 12, Companies (Share Capital and Debentures) Rules, 2014	Prescribes what the scheme must contain and who is an eligible "employee". **Private companies have relaxations** — notably, a private company may pass an **ordinary** resolution if its Articles so permit (verify the current exemption notification), and may grant to promoters and to directors holding more than 10%, which a public company cannot
Who is an "employee"	A permanent employee of the company working in or outside India; a director (whole-time or not, but excluding an independent director); an employee or director of a subsidiary, holding or associate company. **Not** an independent director; **not** (for public companies) a promoter or a director holding more than 10%
Minimum vesting period	**One year** between grant and vesting (Rule 12)
MCA filings	**MGT-14** within 30 days of the resolution; disclosure of ESOP details in the **Board's Report** each year; **PAS-3** on allotment when options are exercised; the Register of Employee Stock Options in **Form SH-6**
Free transferability	Options are **not transferable** and cannot be pledged, hypothecated, mortgaged or otherwise encumbered. Only the employee may exercise
Consultants and advisors	**Cannot** be granted ESOPs under Section 62(1)(b) because they are not employees. Use **sweat equity shares** under Section 54 (with its own conditions and valuation requirements), a **warrant**, or simply issue them shares in a priced allotment

✕ **An LLP cannot issue ESOPs**

The LLP Act, 2008 has no concept of share capital, options or stock. There is no statutory ESOP mechanism for an LLP. Workarounds used in practice: a **profit-sharing arrangement** written into the LLP Agreement (taxable as business income, not capital gains, and it gives no ownership upside); admitting the person as a **partner with a capital contribution** (which creates partner liability and tax complexity); or a **phantom equity / shadow unit plan** — a contractual cash bonus linked to a valuation event, taxed fully as salary. If equity incentives matter to your hiring plan, **do not choose an LLP**, or plan to convert to a private limited company under Section 366 of the Companies Act, 2013 before you need to grant.

Pool sizing by stage

Stage	Pool as % of fully diluted	What it funds	Typical individual grants
Pre-seed / founding team	5–10%	First 3–8 hires, 1–2 advisors	Employee #1–3: 0.5–2%. Advisor: 0.1–0.5%
Seed	10–12%	First 15–30 hires, a senior leader	Senior engineer: 0.15–0.5%. Head of function: 0.5–1.5%
Series A	10–15%	VP hires, scaling the team to 60–100	VP: 0.5–1.5%. Senior IC: 0.05–0.25%
Series B	12–15% (topped up each round)	CXO hires, 150–300 people	CXO: 1–3%. Director: 0.2–0.6%. IC: 0.02–0.1%
Series C+	13–16%	Refresh grants matter more than new grants	Mostly value-based grants (₹X of options at current FMV)

✦ **Grant in rupee value, not percentage, after Series A**
Telling a senior hire "you get 0.3%" invites them to compute 0.3% of a fantasy valuation. Telling them "₹60 lakh of options at the current fair market value of ₹X per share, which is N options, vesting over four years" is honest, comparable to a cash offer, and does not require renegotiation at every round. Internally, still track the pool as a percentage.

The scheme document — what it must contain

- ☐ Name of the scheme and effective date.
- ☐ Total number of options reserved under the pool.
- ☐ Definition of "Employee" and the eligibility criteria.
- ☐ Appraisal process for determining eligibility and quantum.
- ☐ Maximum options to be granted per employee and in aggregate.
- ☐ Requirements of vesting and the vesting period, with the statutory minimum of one year.
- ☐ Exercise price or the pricing formula, and whether it is at FMV, at a discount, or at face value.

- [ ] Exercise period and the process of exercise.
- [ ] The lock-in period, if any, on shares issued on exercise.
- [ ] Conditions under which options vest in the employee and may lapse.
- [ ] Treatment on resignation, termination for cause, termination without cause, retirement, permanent disability and death.
- [ ] The right of the employee to exercise all vested options at one time or in instalments.
- [ ] Treatment on a change of control, merger, or sale of the company (acceleration provisions).
- [ ] Whether the company will provide financial assistance for exercise (and the restrictions in Section 67 on a company funding the purchase of its own shares).
- [ ] Administration: the ESOP Committee or the Board, its powers, and the authority to amend the scheme.
- [ ] Statement that options confer no dividend, voting or shareholder rights until exercise.
- [ ] Governing law and dispute resolution.

A specimen grant letter

TEXT

[COMPANY] PRIVATE LIMITED
Registered Office: [address]   CIN: [______]

STOCK OPTION GRANT LETTER

Date: [date]
To: [Employee Name], [Designation], Employee ID [____]

Dear [Name],

We are pleased to grant you options under the [Company] Employee Stock Option Plan [Year] ("Plan"), approved by the shareholders of the Company by resolution dated [date].

1. GRANT DETAILS

Grant ID	ESOP/2026/[nnn]
Grant Date	[date]
Number of Options Granted	24,000
Exercise Price per Option	Rs 420.00 (being the fair market value per equity share as certified by [Merchant Banker/CA] on [date])
Underlying Security	1 (one) equity share of face value Rs 1 each per Option

2. VESTING

Vesting Commencement Date	[date of joining]
Vesting Schedule	
25% of the Options	on the first anniversary of the Vesting Commencement Date ("Cliff")
Thereafter 1/48th of the total Options	at the end of each completed calendar month

No Option shall vest earlier than one year from the Grant Date. Vesting is subject to your continued employment with the Company on each vesting date and is not pro-rated for partial months.

3. EXERCISE

Exercise Window	Any time after vesting until the earlier of (a) 10 years from the Grant Date, or (b) the expiry of the applicable post-termination exercise period in Clause 5.
Method	By submitting the Exercise Notice (Annexure A) together with payment of the aggregate Exercise Price and the

applicable withholding tax.

4. TAX

You are advised that (a) the difference between the fair market value of the shares on the date of exercise and the Exercise Price is taxable as a PERQUISITE under the head "Salaries", and the Company is obliged to withhold tax thereon; and (b) any subsequent gain on sale of the shares is taxable as capital gains. You are advised to obtain independent tax advice. The Company makes no representation regarding your tax position.

5. TERMINATION

Resignation (good leaver)	Vested Options exercisable within 180 days of the last working day; unvested Options lapse immediately.
Termination for Cause	All Options, vested and unvested, lapse immediately.
Termination without Cause	Vested Options exercisable within 365 days; unvested Options lapse.
Death / Permanent Disability	All unvested Options vest immediately; exercisable by you or your legal heirs within 12 months.

6. CHANGE OF CONTROL

In the event of a Change of Control, 50% of the then-unvested Options shall vest immediately, and the balance shall vest in accordance with the original schedule, subject to the Board's discretion to accelerate further.

7. GENERAL

The Options are personal to you, are not transferable, and carry no voting, dividend or other shareholder rights until equity shares are allotted upon exercise. This Letter is subject in all respects to the Plan, a copy of which is enclosed. In case of conflict, the Plan prevails.

Please sign and return the enclosed acknowledgement within 30 days.

For [COMPANY] PRIVATE LIMITED	ACKNOWLEDGED AND ACCEPTED
_____	_____
[Name], Director	[Employee Name]
	Date:

Strike price and the FMV question

Strike price choice	Effect	When used
At face value (₹1 or ₹10)	Employee pays almost nothing to exercise, but the perquisite at exercise is the full FMV — maximum tax at exercise	Very early companies where FMV is near zero anyway
At fair market value on the grant date	No "in the money" element at grant; the employee only pays tax on appreciation after grant	**The normal and recommended approach**
At a discount to FMV	Employee gets a cheaper entry but a bigger perquisite later	Occasionally for very senior hires
At the last preferred round price	Significantly overprices the option — ordinary shares are worth less than preferred shares	**Avoid.** It makes grants feel worthless

⚠ **The FMV certificate — verify the current rule at incometax.gov.in**
For perquisite valuation of unlisted shares under the Income-tax Act, the fair market value on the date of exercise must be determined by a **Category I Merchant Banker** under the prescribed Rule (historically Rule 3(8)/(9) of the Income-tax Rules, 1962, read with Rule 11UA for certain purposes). The certificate must be dated on the **date of exercise** or an earlier date within the permitted window (historically 180 days). Get a fresh FMV certificate at least annually; without it, your TDS computation on exercise is unsupportable in an assessment.

The exercise window problem

TEXT

```
WHY A 90-DAY POST-TERMINATION EXERCISE WINDOW MAKES OPTIONS
WORTHLESS FOR INDIAN EMPLOYEES

Rajesh, Senior Engineer, resigns after 3.5 years.
   Vested options                            18,000
   Exercise price                          Rs 60.00
   FMV at exercise (merchant banker)       Rs 940.00

   CASH HE MUST FIND, TODAY, WITHIN 90 DAYS:
     Exercise cost   18,000 x 60           Rs 10,80,000
     Perquisite      18,000 x (940 - 60)   Rs 1,58,40,000
     TDS on perquisite at 30% + cess
        (assume 31.2% effective)           Rs 49,42,080
     ------------------------------------------------
     TOTAL CASH REQUIRED                   Rs 60,22,080

   HE RECEIVES: illiquid shares in a private company that he
   cannot sell, in a company he no longer works for, with a ROFR
   in favour of the investors and a transfer restriction in the
   Articles.

   He will not do it. He forfeits Rs 1.58 crore of value.
   The options return to the pool. The company "saves" money.
   And every engineer in Bengaluru hears the story.

FIXES, IN ORDER OF GENEROSITY:
  1. EXTEND THE WINDOW. 180 days minimum; 12-24 months is
     increasingly common in India; some companies allow exercise
     until the earlier of a liquidity event or 10 years from grant
     for employees with 2+ years of service.
  2. CASHLESS EXERCISE at a liquidity event: the employee never
     pays; the exercise price and tax are netted out of the sale
     proceeds. Requires a buyer - i.e. a secondary or a buyback.
  3. COMPANY-ADMINISTERED BUYBACK programmes every 18-24 months
     (see below).
  4. The Sec. 192(1C) DEFERRAL for eligible start-ups (see below).
  5. LOAN TO EXERCISE: generally NOT available - Section 67 of the
     Companies Act restricts a company from giving financial
     assistance for the purchase of its own shares (with limited
     exceptions). Check with counsel before even discussing it.
```

The double taxation of ESOPs — fully worked

TEXT

```
ESOP TAXATION IN INDIA - TWO EVENTS, WORKED END TO END
(rates as at FY 2025-26 - VERIFY at incometax.gov.in)

TIMELINE
  1 Apr 2022  Grant   : 24,000 options, strike Rs 60
  1 Apr 2023  Cliff   : 6,000 vest
  ...
  1 Apr 2026  Fully vested: 24,000
  1 Jun 2026  EXERCISE: all 24,000. FMV per merchant banker Rs 940
  1 Sep 2028  SALE in a secondary at Rs 2,600 per share

_____________________________________________________________

EVENT 1 - EXERCISE : taxable as a PERQUISITE under "Salaries"
          [Sec. 17(2)(vi), Income-tax Act 1961]
_____________________________________________________________

  Number of shares allotted                        24,000
  FMV on date of exercise                       Rs   940
  Exercise price paid                           Rs    60
  Perquisite per share                          Rs   880
  TOTAL PERQUISITE                        Rs 2,11,20,000

  This is added to salary income for FY 2026-27.
  Employer MUST withhold TDS u/s 192.

  Assume his other salary is Rs 40,00,000 and he is on the
  OLD regime with deductions of Rs 2,00,000:
     Gross salary incl. perquisite       Rs 2,51,20,000
     Less deductions                     Rs    2,00,000
     Taxable income                      Rs 2,49,20,000

     Tax (old regime slabs):
        up to 2,50,000                   Rs          0
        2,50,001 - 5,00,000 @ 5%         Rs     12,500
        5,00,001 - 10,00,000 @ 20%       Rs   1,00,000
        above 10,00,000 @ 30%
           (2,49,20,000 - 10,00,000)
            = 2,39,20,000 @ 30%          Rs  71,76,000
        ____________________________________________
        Tax before surcharge             Rs  72,88,500
        Surcharge @ 25% (income > 2 Cr)  Rs  18,22,125
        ____________________________________________
                                         Rs  91,10,625
        Health & education cess @ 4% Rs   3,64,425
        ____________________________________________
        TOTAL TAX FY 2026-27             Rs  94,75,050

     Tax attributable to the ESOP perquisite (marginal):
        roughly 2,11,20,000 x 39% (30% + 25% surcharge + 4% cess
```

```
       effective ~39.0%)                Rs  82,36,800

  CASH POSITION ON EXERCISE DAY:
     Pays exercise price 24,000 x 60     Rs  14,40,000  OUT
     Pays/has withheld TDS               Rs  82,36,800  OUT
     Receives                            24,000 shares, ILLIQUID
     ------------------------------------------------------
     NET CASH OUT                        Rs  96,76,800
     *** He has paid Rs 96.77 lakh and received no cash. ***

================================================================
EVENT 2 - SALE : taxable as CAPITAL GAINS [Sec. 45 / 2(42A)]
================================================================
  Sale price per share                          Rs 2,600
  Cost of acquisition = FMV TAXED AS PERQUISITE
                     [Sec. 49(2AA)]             Rs   940
  Gain per share                                Rs 1,660
  TOTAL GAIN            24,000 x 1,660  Rs 3,98,40,000

  Holding period: 1 Jun 2026 --> 1 Sep 2028 = 27 months
     Unlisted shares: LONG-TERM if held > 24 months  --> LTCG

  LTCG at 12.5% without indexation (VERIFY current rate)
                                        Rs  49,80,000
  Plus surcharge (capped at 15% for capital gains - VERIFY)
                                        Rs   7,47,000
  Plus cess @ 4%                        Rs   2,29,080
  ------------------------------------------------------
  TAX ON SALE                           Rs  59,56,080

================================================================
LIFETIME SUMMARY
================================================================
  Gross proceeds        24,000 x 2,600  Rs 6,24,00,000
  Less exercise price paid              Rs   14,40,000
  Less tax at exercise                  Rs   82,36,800
  Less tax at sale                      Rs   59,56,080
  ------------------------------------------------------
  NET IN HAND                           Rs 4,67,67,120
  EFFECTIVE TAX RATE on the Rs 6.096 crore
  of economic gain (6,24,00,000 - 14,40,000)
                    = 1,41,92,880 / 6,09,60,000 = 23.3%

  NOT ACTUALLY DOUBLE TAXATION - the cost base steps up to the
  FMV taxed at exercise, so no amount is taxed twice. The
  problem is TIMING: Rs 96.77 lakh of cash out at exercise,
  26 months before any cash comes in.
```

The Section 192(1C) deferral for eligible start-ups

Section 192(1C) read with Section 140A(1) proviso and Section 191 — verify at incometax.gov.in

For an **eligible start-up referred to in Section 80-IAC**, the employer may **defer** deduction or payment of tax on the ESOP perquisite to the **earliest** of: (a) **48 months** from the end of the assessment year in which the shares were allotted; (b) the date the employee **sells** the shares; or (c) the date the employee **ceases to be an employee** of that company. The employee gets the same deferral for their own self-assessment tax on that perquisite.

Why it helps less than it sounds: it requires the company to hold the **IMB certificate** under Section 80-IAC, which only a small minority of DPIIT-recognised startups obtain. And trigger (c) means that if the employee leaves — which is exactly when they must exercise under a short window — the deferral collapses immediately. Confirm your company's eligibility with your CA before promising this to employees.

Liquidity: buybacks and secondary programmes

Mechanism	How it works	Constraints
Company buyback of ESOP shares	Company repurchases exercised shares from employees	Section 68 limits (25% of paid-up capital and free reserves), needs free reserves, Forms SH-8/SH-9/SH-11, solvency declaration. Post 1 Oct 2024 the proceeds are a **deemed dividend** in the employee's hands, taxable at slab rates — materially worse than capital gains. **Verify at incometax.gov.in**
Secondary purchase by an investor	An incoming or existing investor buys exercised shares directly from employees	Cleanest route. Capital gains treatment for the employee. Needs SHA consents, ROFR waivers, SH-4 transfer deeds and stamping; FC-TRS if the buyer is a non-resident
Company-funded liquidity programme	The company runs a window at Series B/C where employees can sell a defined percentage of vested-and-exercised shares at a set price to a designated buyer	Needs a willing buyer and board/investor approval. Typically allows 20–50% of holdings. Becoming standard at Indian Series C+
Cashless exercise at the liquidity event	Employee exercises and immediately sells; the exercise price and tax are deducted from proceeds; employee receives net cash	Requires a simultaneous buyer. Administratively the best outcome for employees
Phantom stock / SAR	A contractual cash payment equal to the appreciation, paid on a liquidity event	No shares, no cap table impact, no Section 62 process. Taxed entirely as salary at slab rates — worse than capital gains, but requires no cash from the employee ever. Useful for LLPs and for overseas contractors

✦ **The ESOP hygiene checklist your diligence will test**

Special (or permitted ordinary) resolution passed and MGT-14 filed · Scheme document approved by the Board and attached to the resolution · Grant register and **Form SH-6** maintained · Every grant letter signed and returned · Vesting tracked in a system, not a spreadsheet someone edits · Fresh merchant banker FMV certificate at least annually · TDS deducted and deposited at every exercise with Form 16 reflecting the perquisite · PAS-3 filed for every allotment on exercise · Pool reconciled to the cap table monthly · Board's Report containing the prescribed ESOP disclosures each year.

Investor Relations After the Round

The round closes and the relationship begins. Founders who treat investor reporting as a compliance chore get investors who show up only when there is bad news. Founders who run it well get introductions, candidates, follow-on cheques and the benefit of the doubt during a bad quarter. The whole thing costs about four hours a month.

Board meetings

Element	Statutory minimum	What good looks like
Frequency	At least **4 board meetings a year**, with not more than 120 days between two consecutive meetings (Section 173, Companies Act 2013). A small company or a one-person company may hold two — verify applicability	Quarterly, with a monthly written update in between
Notice	**7 days** written notice (Section 173(3)); shorter notice permitted subject to conditions	Calendar invites for the whole year, issued in January
Quorum	One-third of total strength or two directors, whichever is higher (Section 174)	Check that your SHA quorum clause has an adjournment fallback if an investor director does not attend
Minutes	Prepared and entered in the minutes book within 30 days (Section 118)	Circulate draft minutes within 7 days; finalise at the next meeting
Pack	—	Circulated **at least 72 hours in advance**. If the pack goes out in the meeting, you have wasted everyone's time
Participation	Video conferencing permitted for most matters (Rule 3, Companies (Meetings of Board and its Powers) Rules 2014) — some items were historically restricted; verify current position	—

TEXT

```
BOARD PACK STRUCTURE (circulate 72 hours before; 15-25 slides max)

 1. AGENDA AND ACTIONS FROM LAST MEETING   (1 slide, status of each)
 2. THE ONE-PAGE DASHBOARD
       ARR / MRR, growth %, net revenue retention, logo churn
       Cash, burn, runway in months
       Headcount by function, open roles
       Top 3 things going well / top 3 risks
 3. FINANCIALS
       P&L actual vs budget, month and YTD, with variance notes
       Balance sheet summary
       Cash flow and 13-week forward cash
 4. GO-TO-MARKET
       Pipeline by stage, win rate, sales cycle, ACV
       CAC by channel, payback, LTV:CAC
 5. PRODUCT
       Shipped last quarter, shipping next quarter, what slipped
 6. PEOPLE
       Hires, departures, regrettable attrition, key open roles
       ESOP pool: granted, available, planned grants
 7. COMPLIANCE AND GOVERNANCE          (one slide, every meeting)
       Statutory dues paid: GST, TDS, PF, ESIC - Y/N with dates
       MCA filings up to date - Y/N
       FEMA filings up to date - Y/N
       Litigation / notices - any new
 8. MATTERS FOR BOARD APPROVAL
       Each item: what, why, the ask, the alternative considered
 9. APPENDIX
       Cohort tables, detailed financials, customer list changes

RULE: no surprises in a board meeting. Anything that will be
difficult should have been a phone call the week before.
```

The monthly investor update email

TEXT

SUBJECT: [Company] - February 2026 update | ARR Rs 4.1 Cr (+9% m/m)

Hi all,

TL;DR: Strong month on revenue and hiring. One large logo churned. Runway 16 months. The ask this month is three intros (below).

METRICS

	Feb 2026	Jan 2026	Change	Plan
ARR	Rs 4.10 Cr	Rs 3.76 Cr	+9.0%	Rs 4.05 Cr
New ARR added	Rs 47 L	Rs 38 L	+23.7%	Rs 45 L
Churned ARR	Rs 13 L	Rs 4 L	-	Rs 8 L
Net revenue retention	108%	114%	-	110%
Logos	96	92	+4	95
Gross margin	74%	73%	+1pt	75%
Cash burn (net)	Rs 38 L	Rs 41 L	-7.3%	Rs 40 L
Cash balance	Rs 6.20 Cr	Rs 6.58 Cr	-	-
Runway	16.3 months	16.0 months	-	15 months
Headcount	41	38	+3	42

WHAT WENT WELL

- Closed [Customer A] at Rs 22 lakh ACV, our largest logo. Three month cycle, inbound from the comparison page. Second enterprise deal from the same channel this quarter.
- Shipped the SSO + audit-log release. Two deals were explicitly blocked on it; both have now moved to contract.
- Hired [Name] as Head of Customer Success (ex-[Company]). Starts 10 March.

WHAT DID NOT

- [Customer B] churned, Rs 13 lakh ARR. Root cause: they were sold a workflow we do not support well, by me, in month two. I have added a pre-sale fit checklist and I am reviewing every deal above Rs 10 lakh personally until the new CS lead is up.
- Engineering hiring is behind: 2 of 5 roles filled. We are losing candidates on compensation at the senior level. See the ask.

KEY METRICS WATCHLIST

- NRR fell from 114% to 108% because of the churn. Expansion pipeline is healthy; I expect 112%+ by April.
- CAC payback is 11 months, within our 14-month target.

THE ASK (specific, three items)

1. Intro to a VP Engineering candidate with 10+ years in B2B infra. We are hiring 3 senior engineers this quarter.
2. Intro to anyone senior at [Target Account 1] or

```
    [Target Account 2] - both are in our ICP and we have no warm path.
 3. Feedback on the attached Series A narrative draft. I plan to
    start conversations in June at roughly Rs 10 Cr ARR.

CASH AND COMPLIANCE
 Cash Rs 6.20 Cr across [Bank A] current and [Bank B] FD.
 GST, TDS, PF and ESIC paid on time for the month. All MCA and
 FEMA filings current. No notices.

Attachments: Feb management accounts, updated cap table, metrics
workbook.

Thanks,
Ananya
```

✦ **Three rules for investor updates**

(1) **Send it on the same date every month**, even in a bad month — especially in a bad month. Silence is what investors read as failure. (2) **Lead with the bad news and your plan**; it buys credibility you will need later. (3) **Always make a specific ask.** "Let me know if you can help" produces nothing. "Intro to a VP Engineering candidate" produces three CVs.

Delivering bad news

1. **Phone first, email second**
   Call the lead investor before the update goes out. Never let a board member learn something material from a group email.
2. **State the fact plainly in the first sentence**
   "We will miss the quarter by 22%." Not three paragraphs of context first.
3. **Own the cause**
   Attribute it to a decision you made, not to the market. Investors forgive mistakes; they do not forgive the absence of a learning.
4. **Bring the plan and the decision you have already taken**
   Not three options for the board to choose between. You run the company.
5. **State what you need**
   More time, a bridge, a specific introduction, or permission under a reserved matter.
6. **Re-baseline explicitly**

Issue a revised forecast. Do not let the original plan sit there as an unmet standard for the next three quarters.

Bridge rounds and down rounds

Situation	Typical structure	Founder considerations
Insider bridge (existing investors)	Convertible note with a 15–25% discount and a cap at or slightly above the last round, or a pro-rata CCPS extension at the last round price	Fastest and cheapest. If existing investors will not bridge you, new investors will read that signal correctly. Ask early, while you still have 9 months of runway
Flat round	Same price as the last round	Avoids anti-dilution triggering. The dilution is the cost of the cheque, which may be large
Down round	Lower price; anti-dilution triggers for prior investors	Model the anti-dilution adjustment **before** agreeing the price. Ask prior investors to **waive** anti-dilution in exchange for participating pro-rata (a pay-to-play). Get a **management incentive plan** or a founder/employee option refresh approved in the same transaction, otherwise your team is underwater
Structured round	Flat headline price but with a 2x participating preference, a ratchet or a guaranteed return	This is a down round wearing a disguise. **Model the waterfall.** A "flat ₹500 crore round" with a 2x preference is often worse for founders than an honest ₹300 crore round at 1x
Recapitalisation	Preference stack is collapsed into ordinary shares; new money comes in with a fresh preference; founders and employees are re-issued a meaningful stake	Painful but sometimes the only honest reset. Requires near-unanimous consent

Exits

Every term sheet you sign assumes an exit. In India, the realistic distribution is: a small number of IPOs, a larger number of strategic acquisitions and acquihires, a growing

volume of secondary sales to later-stage funds, and a long tail of quiet wind-downs. Plan for the one you are actually likely to have.

Secondary sales

Aspect	Detail
What it is	An existing shareholder sells shares to a buyer. No money enters the company
When founders can do it	Typically Series B onwards, subject to the lock-in in the SHA. Market practice allows founders to sell **5–15% of their holding** at Series B/C, often with a cap in absolute rupee terms (e.g. ₹3–10 crore each)
Why investors allow it	A founder with ₹5 crore in the bank takes better long-term risks than one with a home loan and no savings. Frame it that way
Process	SHA consents and ROFR/tag waivers → price agreed (usually at or slightly below the primary round price) → SPA → **Form SH-4** share transfer deed, stamped under the state Stamp Act → board approval of transfer → Register of Members updated → **FC-TRS within 60 days** if a non-resident is on either side
Tax	Capital gains for the seller (24-month holding for long-term on unlisted shares); Section 56(2)(x) risk for the buyer if below FMV; Section 195 TDS if the seller is a non-resident
Employee secondaries	Increasingly bundled into Series C+ rounds. Usually capped at 20–50% of each employee's vested-and-exercised holding

Mergers and acquisitions

TEXT

```
M&A STRUCTURES IN INDIA - WHAT THEY MEAN FOR YOU

SHARE PURCHASE (most common for startups)
   Buyer purchases shares from all shareholders.
   + Company continues with all its contracts, licences, GST
     registration, employees intact
   - Buyer inherits all historical liabilities → deep diligence,
     heavy warranties, large indemnity and escrow
   Seller tax: CAPITAL GAINS (12.5% LTCG regime for unlisted
     shares held > 24 months - VERIFY current rate)

ASSET / BUSINESS PURCHASE (slump sale)
   Buyer purchases the business undertaking as a going concern for
   a lump sum, without assigning values to individual assets.
   + Buyer leaves historical liabilities behind
   - Contracts need novation; licences need fresh applications;
     employees must be transferred with consent
   Seller tax: CAPITAL GAINS on slump sale under Sec. 50B, computed
     on "net worth" as the cost - and the TAX IS PAID BY THE
     COMPANY, not the shareholders, who then face a second layer
     of tax to extract the cash. Usually worse for founders.

MERGER / AMALGAMATION (Sec. 230-232, Companies Act 2013)
   Court/NCLT-approved scheme. Slow (6-14 months) and expensive.
   Used for group reorganisations, rarely for startup exits.
   Fast-track merger under Sec. 233 is available for small
   companies and holding/wholly-owned subsidiary mergers.

KEY COMMERCIAL TERMS TO NEGOTIATE
   Purchase price          cash vs acquirer stock vs both
   Escrow                  10-20% of consideration, 12-24 months
   Earnout                 20-40% of price contingent on post-close
                           revenue/EBITDA/product milestones
   Indemnity cap           ideally capped at the escrow; sellers
                           should resist uncapped liability
   Survival period         18-36 months for general warranties;
                           longer (often statute of limitations)
                           for tax, title and fundamental warranties
   Retention / earnout     founders usually locked in 12-36 months
   Non-compete payment     a portion of consideration allocated to
                           a non-compete is taxed as BUSINESS
                           INCOME, not capital gains - watch this
                           allocation carefully

EARNOUT WARNING, WORKED
   Headline price      Rs 120 crore
   Upfront               Rs 72 crore (60%)
   Escrow                Rs 18 crore (15%, released over 18 months)
```

```
Earnout                Rs 30 crore (25%, on FY+2 revenue of
                                    Rs 60 crore vs Rs 41 crore now)

You no longer control the budget, the pricing, the sales team,
or the product roadmap - the acquirer does. Earnouts tied to
metrics you do not control are frequently not paid.
NEGOTIATE: earnout metrics that are within your control
(gross revenue of YOUR product line, not group EBITDA);
an explicit covenant that the buyer will run the business in
the ordinary course and not take action to frustrate the
earnout; and acceleration of the earnout on your termination
without cause.
```

IPO — including the SME platforms

Dimension	BSE SME / NSE Emerge	Mainboard (BSE/NSE)
Governing regulations	SEBI (ICDR) Regulations, 2018 — Chapter IX for SME IPOs; exchange-specific criteria	SEBI (ICDR) Regulations, 2018 — Chapters II–III
Post-issue paid-up capital	Capped (historically ₹25 crore for SME platforms — verify current ceiling)	No cap; minimum thresholds apply
Minimum allottees	Lower (historically 50 for SME) — verify	1,000
Track record	Exchange criteria on operating profit / net worth in recent years; **SEBI tightened SME IPO norms significantly in 2024–25, including an operating-profit requirement and limits on offer-for-sale** — verify current rules at **sebi.gov.in**	Profitability / net tangible assets tests under Regulation 6(1), or the QIB route under Regulation 6(2)
Merchant banker underwriting	100% underwritten; market maker mandatory for 3 years	Not mandatorily underwritten
Minimum application size	Larger lot sizes (₹1 lakh+ historically) — effectively restricts retail	₹10,000–₹15,000 range
Cost	₹1.5–5 crore typical	₹15–60 crore+ typical
Timeline	6–10 months	9–18 months
Who it suits	Profitable companies with ₹25–150 crore revenue — often services firms, manufacturers, niche product companies	₹500 crore+ revenue, or large loss-making consumer/tech companies using the Reg 6(2) QIB route

⚠ **SME IPO rules changed materially — verify at sebi.gov.in and the exchange**
Following significant retail losses and concerns about price manipulation, SEBI tightened the SME IPO framework in 2024–2025: operating profit requirements in preceding financial years, caps on offer-for-sale by selling shareholders, restrictions on using proceeds to repay promoter loans, phased lock-in release for promoter holdings, and enhanced disclosure. Do not plan an SME listing on pre-2024 information. Also note: **all convertible instruments must convert to equity before filing**, the company must convert to a **public limited company**, and promoters face a minimum contribution and lock-in.

Acquihires and winding down

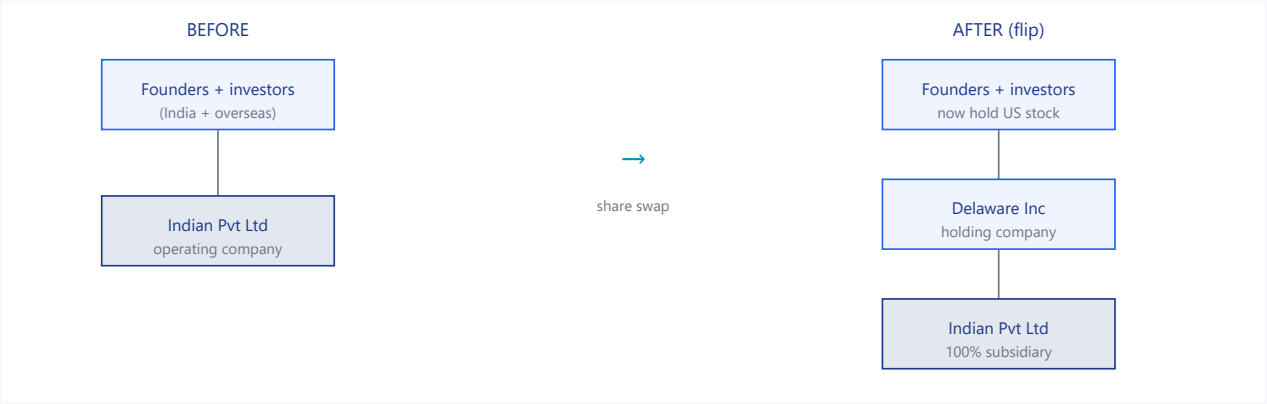
Outcome	What it looks like	Founder economics
Acquihire	Acquirer wants the team, not the product. Price is often computed as a per-engineer figure (₹50 lakh–₹2 crore per senior engineer, indicative)	Often below the preference stack, so investors take everything. The acquirer typically pays founders and key employees separately through **retention packages and sign-on grants** — which are salary income, not capital gains. Negotiate the split between purchase price and retention openly with your investors; investors generally accept it because an acquihire at least returns some capital
Asset sale + wind down	Sell the IP, the customer contracts and the domain; wind up the shell	Rarely material. The value is in a clean exit and preserved relationships
Voluntary strike-off	**Form STK-2** to the Registrar under Section 248(2), Companies Act 2013, after settling all liabilities, closing bank accounts, and filing up-to-date returns	Cost ₹25,000–₹75,000 in fees and professional charges. Takes 4–9 months. Requires an indemnity bond and affidavits from every director
Voluntary liquidation	Under Section 59 of the Insolvency and Bankruptcy Code, 2016, with an Insolvency Professional appointed	Used where there are assets to distribute. More expensive than strike-off; more defensible

✦ **Winding down gracefully — the founder's checklist**

Tell investors first, in person. Pay **employees** their full and final settlement before anyone else, including yourself and including statutory dues where you have a choice. Clear **statutory dues** (TDS, GST, PF, ESIC) — directors can be held personally liable for certain unpaid statutory amounts. Give customers 60–90 days' notice and help them migrate, with a data export. Transfer or formally abandon the IP. File the final returns. Close the bank accounts. File STK-2. Do not simply stop filing — an abandoned company accrues ₹100-per-day-per-form penalties with no cap and can lead to **director disqualification under Section 164(2)**, which blocks you from being a director of *any* company for five years.

The Flip and the Reverse-Flip

A "flip" moves the holding company of an Indian startup to Delaware or Singapore, making the Indian company a wholly owned subsidiary. For a decade it was the default advice for anyone raising from US investors. It is now a much closer call, and a visible cohort of Indian companies has paid large tax bills to reverse the decision ahead of an Indian listing.



The flip: shareholders exchange Indian shares for shares in a new overseas holding company. Taxable in India for resident shareholders.

Why startups flip

INVESTOR FAMILIARITY

US funds are set up to invest in Delaware C-corps on standard NVCA documents. A Delaware entity removes FEMA, pricing guidelines, FC-GPR, Section 42 and NDI Rules from their process entirely.

STANDARD INSTRUMENTS

SAFEs work in Delaware. Convertible notes work without a ₹25 lakh floor or DPIIT recognition. Option grants are a board resolution, not a special resolution plus MGT-14.

CUSTOMER PERCEPTION

Some US enterprise buyers and some procurement processes prefer contracting with a US entity. For a SaaS company selling to US mid-market and enterprise, this is a real commercial argument.

EXIT MARKET

US acquirers buy US companies more readily. Nasdaq listing requires a US (or foreign private issuer) structure.

ACCELERATOR REQUIREMENTS

Y Combinator and several US accelerators historically required or strongly encouraged a Delaware parent as a condition of the standard deal.

ESOPS FOR A GLOBAL TEAM

A single Delaware option plan covering employees in India, the US and Europe is far simpler than parallel plans under three legal regimes.

How a flip is executed, and what it costs

TEXT

```
FLIP MECHANICS (Delaware example) - and the Indian tax cost

STEP 1  Incorporate [NewCo] Inc. in Delaware.
STEP 2  Each existing shareholder of the Indian company transfers
        their Indian shares to NewCo in exchange for shares of
        NewCo in the same proportion (a SHARE SWAP).
STEP 3  The Indian company becomes a wholly owned subsidiary.
STEP 4  IP, contracts and sometimes employees are migrated or a
        services/cost-plus arrangement is put in place between
        NewCo and the Indian subsidiary.

THE INDIAN TAX PROBLEM
  For a RESIDENT shareholder, the swap is a TRANSFER of a capital
  asset under Sec. 2(47). Consideration = FMV of the NewCo shares
  received. This triggers CAPITAL GAINS even though NO CASH is
  received.

  WORKED:
    Founder holds 60,000 shares, cost Rs 60,000 (face value Rs 1)
    FMV at flip, based on last round of Rs 126 crore post-money
      with 211,045 FD shares = Rs 5,970.30 per share
    Deemed consideration  60,000 x 5,970.30 = Rs 35,82,18,000
    Cost of acquisition                     = Rs      60,000
    LONG-TERM CAPITAL GAIN                  = Rs 35,81,58,000
    Tax at 12.5% LTCG (VERIFY current rate)
                                            = Rs  4,47,69,750
    Plus surcharge and cess                 = Rs    ~62,00,000
    TAX PAYABLE IN CASH, with zero cash received
                                            ~ Rs  5,10,00,000

  *** THIS IS WHY YOU FLIP EARLY OR NOT AT ALL. ***
  At incorporation, FMV ~= cost, so the gain is nil and the tax
  is nil. After a Series A, the flip costs crores in cash tax.

OTHER COSTS AND REQUIREMENTS
  - FEMA: an Indian resident acquiring shares of a foreign company
    is OVERSEAS DIRECT INVESTMENT under the FEM (Overseas
    Investment) Rules and Regulations, 2022. A SWAP of shares has
    specific conditions and valuation requirements, and ODI
    reporting (Form FC) plus an annual APR. Some structures
    require RBI approval. VERIFY at rbi.org.in.
  - Indian company becomes a company with foreign holding -->
    downstream investment rules, Form DI, and the FDI sectoral
    conditions apply to the Indian subsidiary.
  - Valuation reports required on both sides.
  - Transfer pricing: all transactions between NewCo and the
    Indian subsidiary become INTERNATIONAL TRANSACTIONS with a
    RELATED PARTY, requiring an arm's-length price, a transfer
```

```
    pricing study, and Form 3CEB filed with the return. Typical
    structure: cost-plus 10-18% markup for the Indian R&D entity.
    Annual TP compliance cost Rs 3-10 lakh.
  - Professional fees for the flip itself: Rs 25-80 lakh
    (Indian counsel + US counsel + valuers + CA).
  - Ongoing: two sets of audits, two tax filings, US franchise
    tax, registered agent, and a US CPA.

LOSS OF INDIAN BENEFITS
  - DPIIT recognition and Sec. 80-IAC become unavailable to the
    Indian subsidiary in most structures (verify)
  - SISFS, CGSS, and most state incentives require Indian
    promoter holding
  - Government and PSU procurement preferences may be lost
```

The reverse-flip

Aspect	Detail
Why	To list on Indian exchanges (which generally require an Indian-incorporated issuer), to access the Indian retail investor base and Indian valuation multiples, to simplify a structure whose revenue and people are overwhelmingly Indian, and to remove transfer-pricing and dual-compliance overhead
Route	Typically an **inbound cross-border merger** of the foreign holding company into the Indian company under Section 234 of the Companies Act, 2013 read with Rule 25A of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the FEM (Cross Border Merger) Regulations, 2018 — requiring **NCLT approval**. Alternatively, a share swap back
Timeline	12–24 months, driven by NCLT scheduling
Tax cost	Potentially very large. Indian companies that reverse-flipped ahead of listing have reported tax outgoes running into hundreds of crores. Some merger structures qualify for exemption under Sections 47(vi)/(vii) subject to conditions — **this is highly fact-specific and must be structured with specialist tax counsel**
Trend	A visible cohort of Indian consumer and fintech companies reverse-flipped from Singapore/US to India in 2023–2025 ahead of domestic IPOs. The trend is real but each case is bespoke

GIFT City IFSC as a middle path

> **GIFT City — verify at ifscauthority.gov.in**
> The Gujarat International Finance Tec-City International Financial Services Centre is treated for many purposes as an offshore jurisdiction within India, regulated by the **International Financial Services Centres Authority (IFSCA)**. It offers a tax holiday for IFSC units under specified conditions, freely convertible foreign currency operations, and an AIF regime that lets funds pool foreign capital without being a Mauritius or Singapore vehicle. For a startup, the relevant uses are: domiciling a **fund**, a **treasury or global-services unit**, or in some cases an **intermediate holding entity**. It is not a drop-in replacement for a Delaware parent when your investors specifically want Delaware governance law. Benefits, eligibility and the tax holiday conditions change — verify currently.

The decision framework

Factor	Points to India	Points to a flip
Where are your customers?	India / rest of world	Predominantly US enterprise
Where is your capital coming from?	Indian funds, angels, government schemes	US seed funds, YC, US accelerators
Where will you exit?	Indian IPO or Indian strategic acquirer	Nasdaq or a US strategic acquirer
Stage	Post-Series A — the flip tax is now prohibitive	Pre-revenue / pre-seed — flip cost is near zero
Team location	Entirely India	Distributed with US leadership
Compliance appetite	One entity, one auditor, one tax regime	You can afford dual compliance and transfer pricing
Government schemes	You want 80-IAC, SISFS, CGSS, state incentives, government customers	Irrelevant to you

The practical rule

Decide **before your first priced round**, when the tax cost of a flip is near zero and the structure can be built cleanly. After a Series A, the default should be "stay in India unless there is a specific, quantified, commercial reason worth ₹5–50 crore in tax and ₹5–10 lakh a year in extra compliance". And get the answer from a cross-border tax specialist on your actual facts, not from a founder on a podcast.

The Fundraising Process and Materials

Fundraising is a sales process with a long cycle, a small addressable market and a binary outcome per account. Run it like one: a defined list, a pipeline, parallel conversations compressed into a window, a tight narrative, and a data room that is ready before the first meeting. Founders who treat it as a series of coffee chats take nine months and raise on worse terms.

The pitch deck, slide by slide

#	Slide	What goes on it	Common mistake
1	**Title**	Company name, one-line description a stranger understands, your name and role, date, contact	A tagline that could describe 200 companies
2	**Problem**	A specific customer, doing a specific thing, badly, at a quantified cost. Name a real customer if you can	Market trends instead of a customer's pain
3	**Solution**	What you built and the mechanism by which it fixes the problem. One product screenshot	Five screenshots and no mechanism
4	**Why now**	The change — regulatory, technological, behavioural — that makes this possible/necessary now and not three years ago	Omitting it entirely. This is the slide VCs remember
5	**Product**	The core workflow in 3–4 steps, plus what is technically hard about it	A feature list
6	**Traction**	Revenue over time (a chart with real numbers on the axis), logos, retention. **The most important slide after seed**	Vanity metrics: signups, downloads, "users"
7	**Business model**	How you charge, ACV, gross margin, the expansion motion	"Freemium then enterprise" with no pricing
8	**Go-to-market**	The channel that works, with CAC, payback, conversion rates, and the plan to scale it	A list of every channel you might try
9	**Market**	Bottom-up TAM: (number of target accounts in India/globally) × (realistic ACV). Show the arithmetic	A top-down ₹50,000 crore market from a consultancy report

10	**Competition**	Named competitors, honestly positioned, with your specific wedge. A 2×2 only if the axes are real	"We have no competition"
11	**Team**	Why these specific people win this specific market. Prior relevant experience and the founding story	Logos of former employers with no explanation of relevance
12	**Financials**	Three years of actuals (if any) and three years of projection: revenue, gross margin, burn, headcount	A hockey stick with no driver assumptions
13	**The ask**	Amount, use of funds by category, the milestones it buys, and the runway it provides	No amount, or "₹10–50 crore depending on terms"
14	**Appendix**	Cohorts, unit economics detail, cap table summary, product roadmap, customer quotes	Putting the appendix in the main deck

✦ **Two decks, not one**
Keep a **send deck** (14–18 slides, readable without you, used for intros and inbound) and a **present deck** (10–12 slides, sparse, used live). Export both to PDF. Never send a live-editable link that shows your edit history, and never send a deck with a view-tracking tool that an investor finds intrusive — though knowing who opened it is genuinely useful, so use tracking that is disclosed in the footer.

What investors ask for, by stage

TEXT

```
DATA REQUESTS BY STAGE — have these ready BEFORE the first meeting

PRE-SEED / SEED
  [ ] Monthly revenue for every month since the first rupee
  [ ] Customer list: name, start date, ACV, status, contact person
  [ ] Logo retention and revenue retention by cohort
  [ ] Monthly active usage, and the definition of "active"
  [ ] Cash balance, monthly burn, runway
  [ ] Cap table (current, fully diluted)
  [ ] Team list with roles and comp
  [ ] Any existing investor documents

SERIES A  (everything above, plus)
  [ ] Cohort retention by month of acquisition (the triangle chart)
  [ ] CAC by channel; blended CAC; CAC payback months
  [ ] LTV with the assumptions stated (churn rate, gross margin)
  [ ] Sales funnel: leads → qualified → demo → proposal → closed
      with conversion rates and cycle time at each stage
  [ ] ACV distribution and trend
  [ ] Net revenue retention and gross revenue retention
  [ ] Rep productivity if you have a sales team
  [ ] Pipeline with weighted value, by stage, by rep
  [ ] Monthly P&L for 24 months, actual vs budget
  [ ] Gross margin build: revenue less hosting, support, third-party
  [ ] Burn multiple (net burn / net new ARR)
  [ ] Headcount plan by function for 18 months
  [ ] Churn log: every lost customer, reason, ARR

SERIES B  (everything above, plus)
  [ ] Revenue by segment, geography, product line
  [ ] Magic number / sales efficiency by quarter
  [ ] Expansion revenue split: upsell vs cross-sell vs price
  [ ] Support ticket volume and cost to serve
  [ ] Infrastructure cost per customer and the scaling curve
  [ ] Organisational chart and leadership hiring plan
  [ ] Detailed competitive win/loss analysis
  [ ] Audited financials for 3 years
```

The financial model structure

TEXT

```
FINANCIAL MODEL - TAB STRUCTURE (build it in a spreadsheet; do not
buy a template that does not match your business)

TAB 1  ASSUMPTIONS          (every blue cell lives here, nowhere else)
   Pricing: ACV by tier, annual price increase
   Sales: reps hired by month, ramp time, quota, attainment %
   Marketing: spend by channel, CAC by channel, lead conversion
   Churn: monthly logo churn %, monthly expansion %
   Costs: salary by role and level, hiring plan, hosting per customer
   Other: office, software, professional fees, travel
   Macro: tax rate, working capital days

TAB 2  REVENUE BUILD        (driver-based, never a growth %)
   New logos per month = f(leads, conversion, reps, ramp)
   New ARR = new logos x ACV
   Churned ARR = opening ARR x churn %
   Expansion ARR = opening ARR x expansion %
   Closing ARR = opening + new - churned + expansion
   Recognised revenue = ARR / 12 with the right recognition timing

TAB 3  HEADCOUNT            (name every role and its start month)
   Role, level, function, start month, CTC, loaded cost (CTC x 1.12
   for employer PF, gratuity provision, insurance)

TAB 4  COST BUILD
   Cost of revenue: hosting, support headcount, third-party APIs,
      payment gateway fees
   S&M: sales headcount, marketing spend, travel, events
   R&D: engineering and product headcount, tools
   G&A: founders, finance, legal, audit, office, insurance

TAB 5  P&L                 (monthly for 24 months, annual for 5 yrs)
TAB 6  CASH FLOW            (the one that matters - see Tab 7)
TAB 7  BALANCE SHEET AND WORKING CAPITAL
   Receivable days, payable days, GST payable/refundable timing,
   TDS receivable, advance tax
TAB 8  CAP TABLE AND DILUTION
TAB 9  SCENARIOS            (base / upside / downside, by switching
                             3-5 assumptions, never by hard-coding)
TAB 10 OUTPUTS              (the 8 charts you will paste into the deck)

RULES
  - No hard-coded numbers outside the Assumptions tab. None.
  - Every formula consistent across a row.
  - A check row that ties the balance sheet and flags if it does not.
  - Monthly granularity for 24 months; annual beyond that.
  - Model the DOWNSIDE first. If the downside kills you in month 9,
    you are raising the wrong amount.
```

Running the process

1. **Build the target list**
   60–120 funds, each with: fund name, partner name, stage, sector fit, recent relevant investments, portfolio conflicts, path to a warm intro, and tier (A/B/C). Sources: fund portfolio pages, Tracxn, Inc42, VCCircle, Entrackr, LinkedIn, and other founders.

2. **Sequence by tier**
   Meet your **tier B** funds first. You will be bad at pitching in week one. Use 8–12 meetings to find the questions you cannot answer, fix the deck, and then go to tier A.

3. **Get warm intros**
   The ranking of intro quality: a portfolio founder of that fund > another investor in your cap table > a well-known operator > a lawyer/banker > a cold email. Ask for a **forwardable email** — write it yourself, three short paragraphs, so the introducer only has to forward it.

4. **Compress into a window**
   Run all first meetings inside 3–4 weeks. Parallel processes create competitive tension; sequential processes create a stale deal that every fund has already passed on.

5. **Track it like a CRM**
   Columns: `Fund | Partner | Source | First contact | Last touch | Stage | Next step | Owner | Notes`. Stages: Target → Intro requested → Intro made → First meeting → Second meeting → Partner meeting → Diligence → Term sheet → Closed / Passed.

6. **Run a tight follow-up**
   Send the deck and a two-paragraph summary within 24 hours of every meeting, with answers to anything you could not answer live.

7. **Create a deadline honestly**
   "We are aiming to close by the end of April" is legitimate and effective. Fabricating a term sheet you do not have is not, and the Indian investor community is small enough that it will be discovered.

8. **Negotiate the first term sheet with a second one in hand**
   If you only have one, your leverage is limited to walking away. Keep two tier-B conversations warm until you sign.

9. **Close the stragglers**

Once a lead is signed, go back to everyone in diligence and offer allocation in the round at the lead's terms. Many will take a smaller cheque.

TEXT

```
REALISTIC CONVERSION FUNNEL - SEED ROUND, INDIA

  Target list built                     100 funds
  Warm intro obtained                    55  (55%)
  First meeting taken                    38  (69% of intros)
  Second meeting / deep dive             14  (37% of first meetings)
  Partner meeting / IC presentation       6  (43%)
  Verbal interest / in diligence          3  (50%)
  TERM SHEET RECEIVED                     1-2
  ____________________________________________________

  Elapsed time, first intro to money in bank: 14-22 weeks
  Founder time: roughly 60-70% of one founder, full time

  SERIES A is HARDER, not easier:
  Target list                            80 funds
  First meetings                         30
  Partner meetings                        8
  Term sheets                             1-2
  Elapsed time: 18-30 weeks

  IMPLICATIONS
  - START 9 MONTHS BEFORE YOU RUN OUT OF CASH. Not 4.
  - A 1-2% conversion from target list to term sheet is NORMAL.
    Forty passes is not a signal that you are failing; it is the
    base rate.
  - The other founder must be able to run the company alone for
    four months. Decide who raises and who operates.
```

Common reasons for a pass, and what they actually mean

What they say	What it usually means	Your move
"Too early for us"	Not enough traction for our cheque size, or we do not believe the thesis yet	Ask: "What would you need to see to lead?" Then update them in 90 days when you have it
"We're not sure about market size"	The bottom-up TAM did not hold up	Rebuild the TAM from named accounts and real ACV. Share the workings
"Concerned about the competitive landscape"	They cannot see your moat	Articulate a specific, durable wedge: data, distribution, switching costs, regulation
"We have a portfolio conflict"	Usually true. Occasionally a polite pass	Ask if they can refer you to a non-conflicted fund
"Let's stay in touch"	No, for now	Put them on the monthly update list. A meaningful share of Indian seed rounds are led by a fund that passed earlier and watched the updates
No response after a second meeting	No	Two follow-ups, then move on. Do not spend three weeks chasing

Frequently Asked Questions

I have a working product and two paying customers. Should I raise now or wait?

Wait, in almost every case. Two customers gives you no pricing power in the negotiation and forces you to raise on narrative rather than evidence. The step-up from "two customers" to "₹60–80 lakh of ARR with three months of retention data" is usually 6–9 months of work and typically 2–3x the valuation, with far better terms. In the meantime: get DPIIT recognition (free), build the data room, fix your cap table and vesting, and run a mock diligence. The exception is a genuine land-grab market where a competitor with ₹50 crore will take the category before you can bootstrap into it — and you should be able to name that competitor and show their funding announcement.

An angel wants to give me ₹10 lakh as a convertible note. Is that legal?

Almost certainly not, as a convertible note. The exemption from the deposit rules under the Companies (Acceptance of Deposits) Rules, 2014 requires the company to be a **DPIIT-recognised startup** and the amount to be **at least ₹25 lakh (₹2,500,000) in a single tranche** from a single

person. A ₹10 lakh convertible note from a non-director, non-member individual is a **deposit** under Section 73 of the Companies Act, 2013, with penalties on the company and on every officer in default. Your legal options for ₹10 lakh are: (a) a priced issue of equity or CCPS under Section 42, (b) a loan from that person *after* appointing them a director, with the prescribed declaration that the funds are not borrowed, or (c) ask them to come in at ₹25 lakh alongside another angel in a note. Confirm the current Rules and exemptions at mca.gov.in before doing any of these.

The term sheet says 2x participating liquidation preference but the valuation is 40% higher than the other offer. Which should I take?

Build the waterfall at three exit values before answering. Using the worked example in Section 9: at a ₹120 crore exit, participation transferred ₹17 crore from founders and employees to the fund — and a 2x preference transferred ₹35 crore. A 40% higher headline valuation on a ₹6 crore round saves you roughly 5–6 percentage points of dilution, which at a ₹120 crore exit is about ₹7 crore. The lower valuation at 1x non-participating wins decisively at every exit under roughly ₹400 crore, and most Indian exits are under ₹400 crore. Model your actual cap table at ₹100 crore, ₹300 crore and ₹600 crore and take the offer with the better founder-and-employee number at the exit you actually believe in.

My co-founder wants to leave after 14 months. We never signed anything about vesting. What now?

Legally, their shares are theirs. Without a vesting agreement reflected in the Articles, there is no repurchase right. Your options, in order: **(1) Negotiate.** Offer a voluntary partial surrender or transfer at cost in exchange for a clean exit, a mutual release, a signed IP assignment covering everything they built, and a reference. Many people accept this because they do not want to be a passive shareholder in a company that will later ask them to sign documents. **(2) Offer a structured buyout** over 24 months funded from revenue, at a negotiated price. **(3) Accept a reduced stake** — negotiate them down from 40% to 10–15% rather than to zero. **(4) Live with it** and disclose it to investors with a clear narrative. What you must get regardless of the equity outcome: a **signed IP assignment deed** and a **confirmation that they hold no claim to further equity or compensation**. Separately, check Section 79 — extinguishing their shares can destroy your carried-forward losses. Get a corporate lawyer involved before the first conversation, not after.

How much should I raise?

Enough to reach the next set of milestones plus a 6-month buffer, and no more. Work backwards: define the metrics that make the next round fundable (for an Indian seed-to-Series-A, typically ₹8–15 crore ARR with 2.5–3x year-on-year growth), build a driver-based model of what that costs, add 30% for things going slower than planned, and add six months because the next raise will take 5–7 months. If the answer is ₹6 crore for 18 months of runway, raise ₹6 crore. Raising ₹12 crore "because it was available" doubles your dilution now and sets a valuation you must grow into, and the extra money will be spent — companies spend what they have. The one argument for raising more: if your business has a genuine step-function cost (a regulatory licence, a hardware tooling run, a data acquisition) that cannot be staged.

We took $150,000 from a US angel into our Indian company eight months ago and never filed anything with RBI. How bad is it?

It is a FEMA reporting contravention, and it is fixable, but start now. First establish which of two situations you are in. If the money was received against a proper **equity instrument** (equity shares or CCPS), allotted within 60 days, at or above fair value, and the only failure is the late FC-GPR, then you file FC-GPR late with a **Late Submission Fee** through your AD bank and the matter closes — cost is the LSF plus professional fees, timeline 4–10 weeks. If the money was received against a SAFE, an unallotted "advance", an optionally convertible instrument, or was allotted after 60 days or below fair value, then you have a **substantive contravention** requiring a **compounding application** to the RBI under Section 15 of FEMA, 1999 — cost is the compounding amount plus ₹1.5–5 lakh in professional fees, timeline 3–6 months. Either way: engage a CS and a FEMA-experienced CA this week, because no institutional investor will complete a round while this is open, and the LSF/compounding amount increases with delay. Verify the current LSF and compounding framework at rbi.org.in.

Is angel tax really gone? Do I still need a valuation report?

Section 56(2)(viib) was abolished for all classes of investors with effect from AY 2025-26 by the Finance (No. 2) Act, 2024 — **verify at incometax.gov.in**. You still need valuations, for three independent reasons. **(1)** A preferential allotment by an unlisted company requires a **Registered Valuer** report under Section 62(1)(c) of the Companies Act, 2013 and Rule 13 — that is company law, not tax law, and it is unchanged. **(2)** Any issue to a **non-resident** requires a fair-value certificate from a merchant banker or CA under the FEMA NDI Rules, 2019 — also unchanged, and your FC-GPR will be rejected without it. **(3) Section 56(2)(x)** taxes the *recipient* of shares acquired below fair market value, and it still applies to transfers, including secondaries and founder-to-founder transfers. Also note that assessments and appeals for earlier years under the old provision are still live. Budget ₹40,000–₹2 lakh for valuation reports in any round.

A senior candidate is asking what their ESOPs are actually worth. What do I tell them?

Tell them the truth with numbers. Give them: the number of options, the strike price, the current fair market value per share as certified by a merchant banker, the current fully diluted share count, the last round's post-money valuation and date, the vesting schedule, the **post-termination exercise window**, and whether the company has ever run a liquidity programme. Then show the arithmetic on two scenarios — the company is acquired at 3x the last round, and at 1x — and explain that in the second case a liquidation preference stack may absorb most or all of the proceeds before ordinary shares. Finally, explain the tax: perquisite at exercise taxed as salary, capital gains at sale, and the fact that exercise requires cash out of pocket with no cash in. A candidate who hears this and still joins will not resent you in four years. A candidate who is told "these could be worth ₹2 crore" will.

Should I flip to Delaware? My US investors are asking.

If you are pre-revenue and pre-Series-A, the tax cost of a flip is near zero and it is a commercial decision — flip if your customers, your capital and your eventual acquirers are all in the US. If you have already raised a priced round, the flip is a **taxable transfer** for every resident shareholder at the fair market value of the shares they receive, with no cash to pay the tax. In the worked example in

Section 18, a founder holding 28% of a ₹126 crore company faced roughly ₹5 crore of cash tax on a share swap that put no money in her pocket. On top of that you acquire ODI compliance under the FEM (Overseas Investment) Rules 2022, transfer pricing with Form 3CEB, two audits, and the loss of DPIIT benefits. Push back with a specific question: "Which of our terms would change if we stayed Indian, and what is the rupee value of that change?" Many US funds now invest directly into Indian companies on CCPS without difficulty. Decide with a cross-border tax adviser on your facts.

The investor wants my co-founder and me to personally guarantee that they will get an exit in five years. Is that normal?

A "best efforts" exit obligation on the **company** is standard in Indian SHAs and you should expect it. A **personal obligation on founders to buy back the investor's shares** is not something you should accept. It converts limited liability into unlimited personal liability for an amount that could be many times your net worth, and it is exactly the risk a company structure exists to avoid. It is also legally fragile where the investor is a non-resident: an assured-return put option against a non-resident is not permitted under the FEMA NDI Rules, which allow optionality only with a minimum one-year lock-in and exit at fair market value. Counter with: obligation on the company only, "best efforts", seven years not five, exit at independently determined fair value, drag-along as the agreed fallback mechanism, and an express carve-out that the obligation is "subject to applicable law including the Companies Act, 2013 and FEMA".

What does a seed round actually cost us in fees?

For a ₹5–10 crore Indian seed round, budget **₹12–25 lakh** all-in: your law firm ₹3–8 lakh, the investor's law firm ₹3–7 lakh (which you pay, so **cap it in the term sheet**), financial diligence ₹2–5 lakh, a Registered Valuer report ₹40,000–₹1.5 lakh, a merchant banker fair-value certificate ₹75,000–₹2 lakh if any investor is non-resident, CS fees ₹50,000–₹1.5 lakh for the resolutions, MGT-14, PAS-3, SH-7, DIR-12 and FC-GPR, plus MCA fees and state stamp duty on the SH-7, the share certificates and the agreements. Three ways to reduce it: cap the investor's legal costs and make them payable only on completion; use a combined SSHA rather than separate SSA and SHA; and agree a fixed fee with your own counsel upfront rather than hourly billing. Fee ranges are market observations as at early 2026, not quotations.

Can I give equity to my advisors and freelance developers through the ESOP pool?

For **advisors who are not employees**: no, not through Section 62(1)(b), which is limited to permanent employees and directors (excluding independent directors). Your options are **sweat equity shares** under Section 54 of the Companies Act, 2013 (which has its own conditions, a valuation requirement, and a special resolution), a **warrant**, a straightforward priced allotment of shares under Section 42, or a **phantom equity** contract paying cash on a liquidity event. For **freelance developers**: the same restriction applies, and there is a much more urgent issue — under the Copyright Act, 1957, in the absence of a written assignment an independent contractor generally retains copyright in what they create. Before you worry about their equity, get a **signed IP assignment deed** from every contractor who has touched your codebase, including ones you no longer work with. Missing

contractor IP assignments is one of the most common deal-stopping findings in Indian technical diligence.

We are three months from running out of cash and the round is not closing. What are the options?

In order of preference. **(1) Insider bridge** — go to your existing investors today, with a specific amount, a specific runway extension, and a specific plan. They have more to lose than anyone and they move fastest. A convertible note at a 20% discount to the next round takes 2–3 weeks. **(2) Cut burn immediately and visibly** — a credible 35–45% cost reduction buys months and materially improves the bridge conversation. Do it once, deeply, not in three rounds. **(3) Revenue acceleration** — offer annual prepaid contracts at a 15–20% discount to your existing customers; this is the fastest non-dilutive cash in any software business. **(4) Venture debt** — only realistic if you closed an equity round recently. **(5) Founder loan** — a director's loan is exempt from the deposit rules with the prescribed declaration, and is legitimate, but think hard before putting personal money into a company that could not raise. **(6) Accept a structured or down round** with anti-dilution modelled first. Whatever you choose, tell your investors and your senior team before, not after. Founders who go quiet in month 10 are the ones nobody bridges in month 12.

How do I know if a fund is actually going to invest or is just gathering market intelligence?

Watch for specific behaviours rather than enthusiasm. Real interest looks like: a **partner** (not only an associate) in the second meeting; a request for a detailed data pack with a named analyst attached; customer reference calls being scheduled; a question about your round timing and who else is in it; an explicit statement of what their process is and when their investment committee meets. Tyre-kicking looks like: repeated meetings with the same associate; detailed questions about your market and competitors with none about your numbers; no mention of process or timing; and a reluctance to say what would make them lead. The direct question is fair and professional: "*What is your process from here, what would you need to see to lead, and when does your IC meet?*" A fund genuinely interested will answer precisely. One that is not will be vague, and that answer is your answer.

Our cap table has eleven angels at 0.5–2% each. Is that a problem?

Yes, and it is worth fixing before your next round. Problems it creates: every future round needs consents and signatures from eleven people, some of whom will be unreachable; pre-emptive rights and ROFRs must be waived by each; any one of them can slow a closing by weeks; and institutional investors read a long angel list as a governance risk. Fixes, in order of practicality: **(1)** ensure the SHA gives a **power of attorney or drag mechanism** so that a majority can sign on behalf of all small shareholders in a future round — this is the single most valuable clause to add; **(2)** consolidate future small cheques through a **syndicate SPV** (LetsVenture, AngelList India) so they appear as one line; **(3)** offer a secondary at the next round so some angels can exit — but check Section 79 first, because angels exiting can break your loss carry-forward; **(4)** add a provision that information rights and consent rights fall away below a holding threshold. Do (1) and (4) at the next round regardless.

Fundraising Readiness Checklist, Document Inventory and Dilution Worksheet

Three artefacts to run before and during a raise. Print them, work through them, and keep them current. The readiness checklist should be complete before you take a single first meeting.

Fundraising readiness checklist

CORPORATE AND CAP TABLE

- ☐ Certificate of Incorporation, PAN, TAN located and scanned.
- ☐ MOA and AOA current, with a certified copy on file.
- ☐ Authorised share capital at least 3x the post-round requirement (file SH-7 now if not).
- ☐ Cap table reconciled share-by-share to the Register of Members and to every PAS-3 filed.
- ☐ All share certificates issued, signed and stamped under the state Stamp Act.
- ☐ Board minutes complete and signed for every meeting since incorporation.
- ☐ Shareholder meeting notices and minutes complete.
- ☐ All MCA annual filings current: AOC-4, MGT-7/7A, ADT-1, DIR-3 KYC for every director.
- ☐ No director disqualified under Section 164; MCA master data checked for every director.
- ☐ DPIIT recognition obtained; Udyam registration obtained.

FOUNDERS AND PEOPLE

- ☐ Founders' Agreement signed, with vesting, IP assignment, leaver provisions and deadlock resolution.
- ☐ Vesting terms mirrored in the Articles of Association so they bind the company.
- ☐ Founder IP assignment deeds executed, covering pre-incorporation work.
- ☐ Employment agreements signed by every employee, containing confidentiality, IP assignment and non-solicit.

- [ ] IP assignment deeds signed by **every** contractor and freelancer, past and present.
- [ ] ESOP scheme approved by the required resolution, MGT-14 filed, Form SH-6 register maintained.
- [ ] Every ESOP grant letter signed and returned; vesting tracked in a system.
- [ ] Current merchant banker FMV certificate for ESOP perquisite purposes.
- [ ] POSH policy adopted, Internal Committee constituted, annual report filed.
- [ ] No employee misclassified as a consultant; exposure quantified if any exist.

FINANCE, TAX AND FEMA

- [ ] Audited financial statements for every completed financial year.
- [ ] Monthly management accounts for the last 24 months, reconciled to the bank.
- [ ] GST returns filed for every period; GSTR-2B vs ITC reconciled.
- [ ] TDS deducted, deposited and returns filed; Form 16/16A issued.
- [ ] PF and ESIC registered where applicable, with all challans paid.
- [ ] Income tax returns filed within the Section 139(1) due date for every year (required to carry forward losses).
- [ ] Entity Master Form registered on the RBI FIRMS portal.
- [ ] FC-GPR filed and acknowledged with a UIN for every foreign allotment.
- [ ] FC-TRS filed for every resident/non-resident transfer.
- [ ] FLA return filed by 15 July for every year with foreign investment outstanding.
- [ ] No outstanding statutory dues, notices, demands or litigation undisclosed.

COMMERCIAL AND MATERIALS

- [ ] Data room built and indexed per the structure in Section 10.
- [ ] Send deck and present deck finalised and exported to PDF.
- [ ] Financial model built driver-based, with base, upside and downside scenarios.

- [ ] Metrics workbook: cohorts, CAC by channel, payback, NRR, churn log.
- [ ] Target investor list of 60–120 funds with warm intro paths mapped.
- [ ] Five to ten customers briefed and willing to take reference calls.
- [ ] Mock diligence completed by your CS and corporate lawyer; findings remediated.
- [ ] One founder designated to run the raise; the other able to run the company alone for four months.

Document inventory — what you must produce, and who produces it

Document	Produced by	When	Typical cost
Pitch deck, financial model, metrics workbook	Founders	Before first meeting	Your time
Data room	Founders + CA + CS	Before first meeting	Your time
Term sheet	Investor (you mark it up)	After partner meeting	Your counsel's review: ₹50,000–₹2 lakh
Registered Valuer report (Section 62(1)(c))	IBBI-registered valuer	Before the board/EGM resolutions	₹40,000–₹4 lakh
Merchant banker / CA fair-value certificate (NDI Rules)	Category I merchant banker or CA	Before allotment to a non-resident	₹75,000–₹5 lakh
SSA / SHA / SSHA	Investor's counsel, negotiated by yours	Weeks 2–8	₹6–55 lakh combined, both sides
Disclosure letter	Your counsel, with your input	Before signing	Within legal fees
Amended Articles of Association	Your CS / counsel	Before EGM	Within CS fees
Board and shareholder resolutions, PAS-4, PAS-3, MGT-14, SH-7, DIR-12	Company Secretary	Weeks 6–10	₹50,000–₹4 lakh
Share certificates, stamped	CS	Within 2 months of allotment	State stamp duty
FC-GPR with CS certificate, FIRC and KYC report	CS + AD bank	Within 30 days of allotment	₹25,000–₹1.5 lakh
Deed of Adherence for each new shareholder	Counsel	At closing	Within legal fees

Dilution-modelling worksheet template

TEXT

```
DILUTION MODELLING WORKSHEET
Copy into a spreadsheet. Blue = input. Everything else = formula.

═══ SECTION A: CURRENT STATE ═══
A1  Current fully diluted shares                    [input]
A2  Founder 1 shares                                [input]
A3  Founder 2 shares                                [input]
A4  Other existing shareholders (total)             [input]
A5  ESOP pool - granted                             [input]
A6  ESOP pool - ungranted                           [input]
A7  CHECK: A2+A3+A4+A5+A6 must equal A1

═══ SECTION B: ROUND INPUTS ═══
B1  Investment amount                               [input]
B2  Pre-money valuation                             [input]
B3  Post-money  = B1 + B2
B4  Investor %  = B1 / B3
B5  Target ESOP pool % of POST-money                [input]
B6  Pool created PRE-money? (1 = yes, 0 = no)       [input]
B7  Convertible notes outstanding - amount          [input]
B8  Note discount %                                 [input]
B9  Note valuation cap                              [input]

═══ SECTION C: NOTE CONVERSION (if B7 > 0) ═══
C1  Headline price/share   = B2 / A1
C2  Discount price         = C1 x (1 - B8)
C3  Cap price              = B9 / A1
C4  Conversion price       = MIN(C2, C3)
C5  Note shares            = ROUND(B7 / C4, 0)
C6  CHECK: C5 x C4 should approximate B7
C7  FD after note conversion = A1 + C5

═══ SECTION D: POOL AND NEW SHARES ═══
IF B6 = 1 (pool pre-money, founders bear it):
D1  Fixed non-pool shares  = C7 - A6
D2  Total post-money FD    = D1 / (1 - B4 - B5)
D3  Investor shares        = D2 x B4
D4  Total pool after       = D2 x B5
D5  Pool top-up            = D4 - A5 - A6     (can be negative)

IF B6 = 0 (pool post-money, everyone bears it):
D6  Investor shares        = C7 x (B4 / (1 - B4))
D7  FD after investment    = C7 + D6
D8  Total post-money FD    = D7 / (1 - B5)
D9  Total pool after       = D8 x B5

═══ SECTION E: PRICE ═══
E1  Price per new share    = B3 / D2       (or B3 / D8)
```

```
E2  CHECK: D3 x E1 must equal B1 (within rounding)
E3  Face value per share                              [input]
E4  Securities premium     = E1 - E3
E5  Share capital credit   = D3 x E3
E6  Securities premium cr. = D3 x E4
E7  Authorised capital required = D2 x E3
E8  FLAG: if E7 > current authorised capital → FILE SH-7

═══ SECTION F: RESULTING OWNERSHIP ═══
                        Shares        %FD        Value at post
F1  Founder 1           A2            A2/D2      F1% x B3
F2  Founder 2           A3            A3/D2      F2% x B3
F3  Other existing      A4            A4/D2      F3% x B3
F4  Note holders        C5            C5/D2      F4% x B3
F5  New investor        D3            D3/D2      F5% x B3
F6  ESOP pool           D4            D4/D2      F6% x B3
F7  CHECK               SUM = D2      SUM = 100.000%

═══ SECTION G: FOUR-ROUND PROJECTION ═══
Repeat Sections B-F for Seed, Series A, Series B, Series C.
Carry F-column shares forward as the new A-column inputs.
Plot: founder % by round, and founder VALUE by round.

═══ SECTION H: EXIT WATERFALL ═══
H1  Exit value                                        [input]
H2  Preference structure (1x non-part / 1x part / 2x) [input]
H3  Seniority (pari passu / stacked)                  [input]
For each preference class:
H4   Invested amount                                  [from F]
H5   Preference claim = H4 x multiple
H6   As-converted value = class % x H1
H7   Takes = IF(non-participating, MAX(H5, H6),
                H5 + share of residual)
H8  Residual to ordinary = H1 - SUM(preference taken)
H9  Founder proceeds = (founder shares / ordinary shares) x H8
H10 Run this for exit values of 0.5x, 1x, 2x, 4x and 8x the
    post-money. THIS TABLE IS THE OUTPUT THAT MATTERS.

═══ SECTION I: SANITY FLAGS ═══
I1  Founder total % after this round          FLAG if < 40% pre-A
I2  Founder total % projected after Series B  FLAG if < 25%
I3  Dilution this round                       FLAG if > 25%
I4  Pool as % of post                         FLAG if > 15%
I5  Implied next-round valuation needed
      for a 2.5x step-up                      = B3 x 2.5
I6  Revenue needed to justify I5 at your
      sector's typical multiple                [input multiple]
I7  Months of runway B1 buys at current burn  FLAG if < 15
```

✓ **The one-page version**

Raise only if the business can plausibly return a fund. Get DPIIT recognition and clean your cap table before you pitch. Negotiate liquidation preference, the option pool and reserved matters harder than valuation. Use CCPS, not SAFEs. File FC-GPR within 30 days, every time. Put founder vesting in the Articles on day one. Grant ESOPs at merchant-banker FMV with a long exercise window. Model the exit waterfall at three values before you sign anything. Start raising nine months before you run out of cash. And verify every number in this guide against the official portal before you act on it.